

PLANS IN MOTION

THE PHILIPPINE STOCK EXCHANGE, INC. 2014 ANNUAL REPORT





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ABOUT THE COVER

The Philippine Stock Exchange, Inc (PSE) is guided by its Strategic Plan focused on developing new products and services for the market. Coming from a historic year in 2013 both from a market and operational standpoint, the PSE continues to implement the programs needed for it to achieve its vision. Despite the numerous challenges through the year, it has kept its resolve and helped lead the capital market achieve bigger and greater milestones.

MISSION, VISION, & CORPORATE VALUES



VISION

A premier exchange with world-class standards for trading securities and raising capital that serves as a strong engine for a robust economy

MISSION

- Offer products and services responsive to the needs of investors and other stakeholders
- Provide a facility for fair, accurate, complete and timely information about listed companies, while extending market education and awareness programs to investors
- Be a preferred venue for raising capital
- Practice and promote good governance within the Exchange and among listed companies and trading participants
- Operate efficiently to optimize shareholder value
- Adopt world-class systems and global best practices for an efficient, fair and orderly market
- Develop a highly motivated and professional workforce, committed to serve and excel

CORPORATE VALUES

- Professionalism in delivering quality service and in meeting the highest standards of excellence
- Integrity, transparency and accountability in implementing business programs and enforcing decisions
- Teamwork in working towards a common and favorable goal for the market
- Mutual respect in relating with fellow employees
- Inner strength in prioritizing the common good of the market instead of individual interest
- Corporate responsibility in promoting market growth hand in hand with community welfare



FINANCIAL HIGHLIGHTS

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

TABLE: 01

			CHANGE	
(IN THOUSAND PESOS)	2014	2013	AMOUNT	%
RESULTS OF OPERATIONS				
OPERATING REVENUES	1,519,849	1,528,005	[8,156]	[0.53]
LISTING FEES, MAINTENANCE & PROCESSING FEES	816,365	722,111	94,254	13.05
TRADING FEES	299,255	316,782	[17,527]	[5.53]
SERVICE FEES	380,379	454,675	[74,296]	[16.34]
REGULATORY FEES	-	13,781	[13,781]	[100.00]
OTHERS	23,850	20,656	3,194	15.46
TOTAL EXPENSES	592,157	528,941	63,216	11.95
COST OF SERVICES	249,329	187,944	61,385	32.66
ADMINISTRATIVE EXPENSES	342,828	340,997	1,831	0.54
OTHER INCOME	194,219	117,872	76,347	64.77
INCOME BEFORE INCOME TAX	1,121,911	1,116,936	4,975	0.45
NET INCOME AFTER TAX	867,555	844,770	22,785	2.70
YEAR-END FINANCIAL CONDITION				
TOTAL ASSETS	3,137,082	3,152,460	[15,378]	[0.49]
CASH AND CASH EQUIVALENTS	1,045,475	1,070,968	[25,493]	[2.38]
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	458,842	374,277	84,565	22.59
LONG-TERM AVAILABLE-FOR-SALE INVESTMENTS	621,832	626,009	[4,177]	[0.67]
PROPERTY AND EQUIPMENT	464,586	509,847	[45,261]	[8.88]
TOTAL LIABILITIES	342,649	588,041	[245,392]	[41.73]
CURRENT LIABILITIES	327,055	554,792	[227,737]	[41.05]
RETIREMENT LIABILITIES	15,594	33,249	[17,655]	[53.10]
EQUITY	2,794,433	2,564,419	230,014	8.97
BOOK VALUE PER SHARE	P38.08	P34.97		
EARNINGS PER SHARE	P11.81	P11.53		
PRICE-EARNINGS RATIO	25.22	26.02		
DIVIDEND PAYOUT	P9.00 /SHARE	P9.00/SKARE		
DIVIDEND PAYOUT RATIO	82%	98%		
RETURN ON EQUITY	31%	33%		

MESSAGE FROM THE CHAIRMAN

Dear Shareholders,

I have always been a believer that any plan, no matter how well crafted, will always boil down to execution. In an environment that is fast changing, such execution will also entail having the capacity to readily adjust and be responsive.

2014 may not have been the most ideal of years for the Exchange both from a market and operational standpoint, but it has proven to be one of its better years in showing its resolve to stay the course and exhibit its capacity to adapt to any challenge in its drive to be a premiere exchange with world-class standards.

Coming from historic economic milestones in 2013 which led to record trading activity levels, the start of the year saw the market still reeling from the uncertainties in the global economy that have caused some initial dampening of investor sentiment in emerging markets. As a result, the year started with some decline in trading activity and delays in capital raising activities.

Locally, with governance issues on disbursements gaining headlines, the government cut down its spending towards the latter part of the year. As a result, the third quarter growth number slowed to 5.3 percent, the lowest in ten quarters.

The combination of strong macroeconomic fundamentals and the solid foundation that the Exchange has slowly built over time, however, proved critical and sufficient in allowing our market to remain buoyant amidst these challenges. Our resolve to stay the course and continue pursuing the programs we have laid out for the stock market indeed pays dividends.

Thus, amidst this difficult environment, the PSEi still managed to end the year up by 22.76 percent to close at 7,230.57 points marking the sixth consecutive year that the PSEi closed on positive territory. This makes us one of only two markets globally to achieve this winning streak for such sustained period. Total market capitalization also expanded by 19.45 percent as the size of the stock market closed the year at another record level of P14.25 trillion.

The domestic economy proved to be highly resilient as well. GDP growth reached 6.1 percent for the entire year to mark three straight years of economic growth of more than six percent. Not surprisingly, the revenues of listed companies also grew by 27.9 percent during the first nine months of the year mirroring the gains in the economy.

Even the developments which initially appeared as setbacks to our plans, turned out to be new windows for growth. It is no surprise then that when we closed the year 2014, we could look back and say that

“ Our resolve to stay the course and continue pursuing the programs we have laid out for the stock market indeed pays dividends. ”



we still managed to accomplish many milestones in our long to-do list.

Our market education activities continued to reach out to the different areas of the country. We adopted new programs leveraged on technologies to make our campaign more effective. This includes the PSE EDGE mobile application, the first of its kind in Southeast Asia, so investors can easily access the latest company disclosures. The exchange traded fund that was listed in December 2013 has also started to gain popularity with trading values growing almost five-fold during the second half of 2014 compared to the activity it posted in the first half. It has also ended the year to rank among the best performing ETFs in the region.

The PSETradex also continued to gain traction as we saw four more trading participants adopt this technology so they can offer online trading services to their clients.

The changes we made in our listing rules particularly on the enhancements to rules governing small, medium and emerging (SME) companies, also saw fruition in 2014 when we marked the first time that two companies listed at the SME board in the same year. On the governance front, we partnered with the Securities and Exchange Commission to help standardize the governance principles in line with ASEAN standards. This should pave the way to making our companies more prepared in a more integrated ASEAN market.



In the same vein, we have also expanded our marketing efforts to promote ASEAN as a viable asset class in the global arena. The PSE and the other ASEAN exchanges enhanced their partnership with FTSE to launch over 70 new indices that would give more options to investors in terms of their needs in the ASEAN market.

Meanwhile, the PSE wasted no time and immediately started work to ensure that we will be able to implement by mid-2015 our new trading system we now call the PSEtrade XTS. Our discussions with the shareholders of the Philippine Dealing System Holdings Corporation are also progressing and we hope to see an integrated capital market sooner than later.

Transforming difficulties into opportunities requires a lot of work and effort but we embrace this with great passion and zeal. I would like to take this opportunity to thank the untiring management and staff behind your Exchange for responding well to these challenges. With all the work done in the past year, we come into 2015 with great optimism about the major projects that we hope to complete and we believe, through them, will create an even stronger foundation for the growth of the Philippine Stock Market.

On behalf of the Board of Directors and Management and Staff of the PSE, we would like to thank all of you for your belief and faith in us in pursuing our plans to bring us closer to becoming a world-class stock exchange.

Mabuhay!

Sincerely Yours,

Jose T. Pardo
Chairman

“Our work is not done and we need to continue pursuing the programs and goals in our strategic plan.”



Dear Fellow Shareholders,

Our stock market continued its unprecedented run finishing on positive territory for six straight years. This exceptional feat has caught the attention of many investors, institutional and retail alike. Despite this, we know that our work is not done and we need to continue pursuing the programs and goals in our strategic plan.

We introduced several new products the year before. But there are several other asset classes and services that we would like to add to make the PSE the premiere exchange it envisions itself to be. The work continues on this front. We focused on preparing our human resource complement and our technology for the launch of other products.

The PSE invested in training our personnel to ensure our readiness for the roll-out of our plan. The holistic approach to our initiatives demanded a high level of interaction and coordination with our regulators. This is particularly relevant with respect to our plan to integrate depository and fixed income operations in the country into the PSE.

We had successes on the technology front as we introduced new mobile applications. In the first quarter, we unveiled the mobile application version of our disclosure technology called PSE EDGE. It is a free service for the investing public. The application had close to 30,000 downloads at the end of the year. There were also additional sign-ups to the online trading platform we developed, the PSETradex, some of which introduced the mobile application in the fourth quarter.

MESSAGE FROM THE PRESIDENT



We consider our decision to change our trading engine provider to NASDAQ, however, as the most transformational technology development. As soon as we announced this in July, our market operations and information technology teams started working doubly hard to ensure that the new trading system will be up and running by mid-2015.

As we move to PSEtrade XTS, we had to accelerate the depreciation cost of the current trading system. As reported, the full impact of the said acceleration was P43 million. This was the main reason behind the 12 percent increase in total expenses for the year.

While this weighed on the company's financial performance for the year, we believe that the shift to PSEtrade XTS will have more long run benefits for the company. Aside from having dependable technology support from NASDAQ, the system is equipped to serve as the trading platform for other investment products and it can accommodate more client orders.

For the year, we reported a 4.1 percent increase in total revenues to P1.71 billion while net income was also slightly up by 2.7 percent at P867.55 million. Unlike in previous years, our revenues had to contend with volatilities and mixed technical signals in the market in 2014. As average daily turnover declined by 16.3 percent in 2014 from the previous year, trading-related fees and service fees from the Securities Clearing Corporation of the Philippines (SCCP) were affected, down by 5.5 percent and 16.3 percent respectively versus the 2013 numbers.

The continued listing activity, brought by additional offerings and corporate restructuring by companies to prepare themselves for more growth, helped keep revenues afloat as listing-related income grew by 13 percent.

We also saw bright spots with our gains in income from subscription fees as well as income from data feed. We recognize the potential of these revenue streams and have started looking for opportunities to further boost these services. Along these lines, we signed a memorandum of understanding with Deutsche Boerse to explore areas of cooperation in market data and information services.

As we continued to enjoy profit growth, your Board approved the payout of cash dividends to all shareholders of P9.00 per share, matching the dividend amount given the previous year. Our dividend payout ratio of 82 percent is much higher than the company's 50 percent dividend policy.

Aligning employees and management with the goals of shareholders is always important. We provided them the opportunity to participate in our Employee Stock Purchase Plan to give them the option to benefit from the company's growth. All 50,000 shares offered were taken up. The company also invested in numerous training programs and courses to equip them with the know-how and skills relevant to their jobs.

The implementation of the company's Enterprise Risk Management Framework and enhancement of our Disaster Recovery Framework reflect our focus on risk mitigation. We are cognizant of the potential hazards that may disrupt our operations at any given time. Our risk scenarios were updated to broaden coverage and we implemented corresponding plans and measures to address them if and when they arise. We were also extra vigilant in terms of preparing for possible disasters. Several disaster recovery and business continuity testing and drills were executed throughout the entire year to prepare everyone for any eventuality.

The widespread destruction stemming from the country's experience of Typhoon Haiyan affected many beyond belief. With the financial help extended by various exchanges in the region as well as our very own trading participants, the PSE together with the PSE Foundation partnered with two foundations to construct school buildings in Leyte and Cebu. These contributions may be small compared with the overall rehabilitation work required, but we are grateful for the opportunity to reach out to these communities. We hope our contribution helps bring optimism to the teachers and students there.

As we move to the last year of our three-year strategy, we hope that you will continue to support our programs and initiatives. In pursuing our strategy, we hope to realize our aim to further develop the Philippine capital markets and contribute as a company to nation building.

Sincerely Yours,

Hans B. Sicat
President & CEO





ABOUT US

The Philippine Stock Exchange, Inc. (PSE) is one of the fastest growing markets in the region. Among the pioneer exchanges in Asia, it traces its origins from the country's two former stock exchanges, the Manila Stock Exchange (MSE), which was established in 1927, and the Makati Stock Exchange (MkSE), which was founded on May 27, 1963.

Although both the MSE and the MkSE traded the same stocks of the same companies, the bourses were separate stock exchanges for nearly 30 years until December 23, 1992, when both exchanges were unified to become the present-day Philippine Stock Exchange.

In June 1998, the Securities and Exchange Commission (SEC) granted the PSE a "Self-Regulatory Organization" (SRO) status, which meant that the bourse can implement its own rules to govern trading participants and listed companies.

In 2001, one year after the enactment of the Securities Regulation Code, the PSE was transformed from a non-profit, non-stock, member-governed organization into a shareholder-based, revenue-earning corporation headed by a president and board of directors. The PSE eventually listed its own shares on the exchange (traded under the ticker symbol PSE) by way of introduction on December 15, 2003.

Currently, the PSE maintains two trading floors, one at the PSE Centre (Tektite), Ortigas Center in Pasig City, and one at its principal office at the Ayala Tower One & Exchange Plaza in Makati City's Central Business District.

As of end December 2014, securities traded at the PSE include shares of 263 listed companies, exchange traded funds and warrants.







STRATEGIC PLAN

The PSE launched its three-year strategic plan in 2013. The strategy focuses on launching new products and services to increase investor participation, improve access to funds and make our market more competitive. To achieve these goals, the strategy is anchored on improving technical expertise, strengthening the market framework, and enhancing technology.

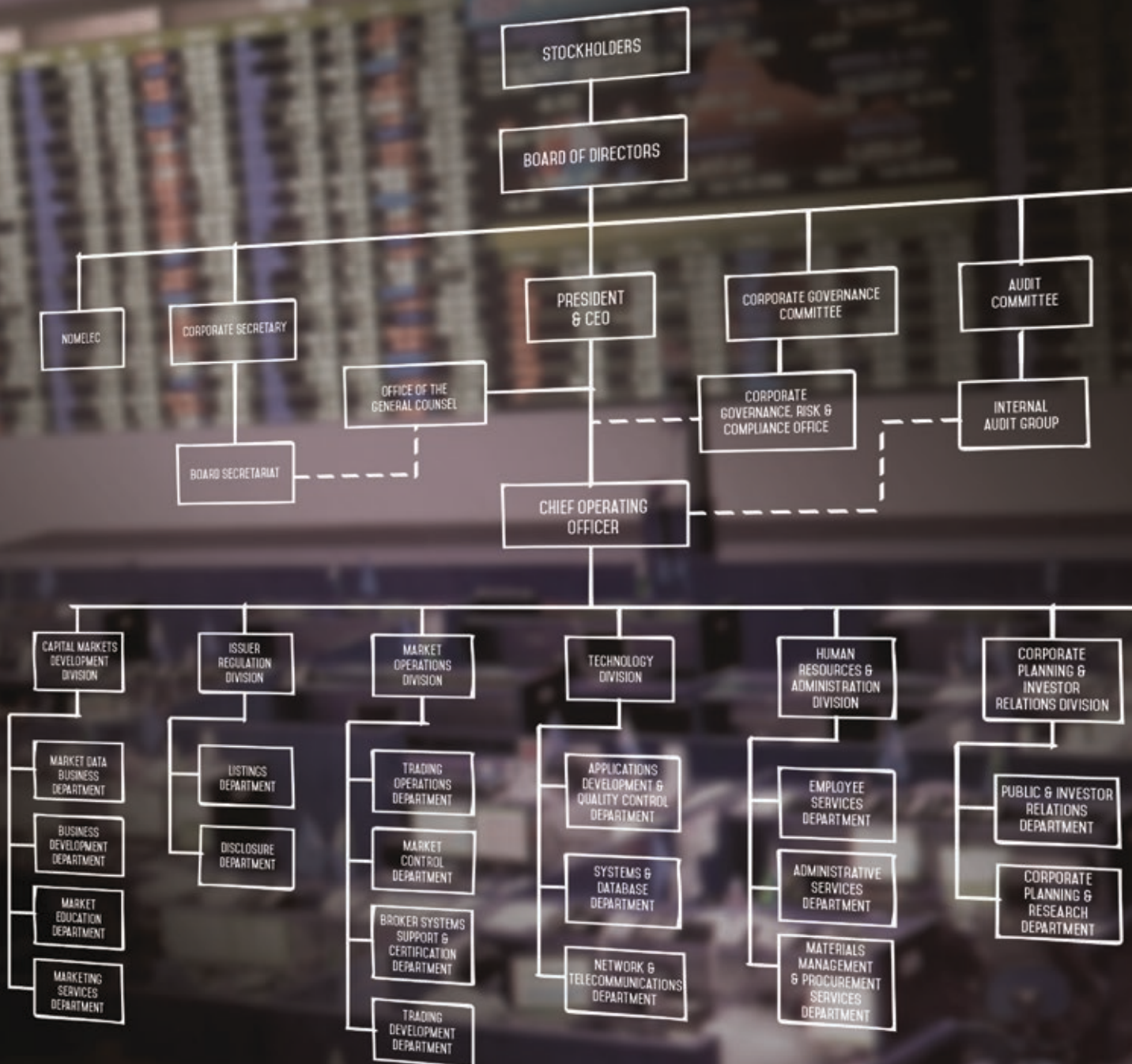
For 2014, several initiatives were taken in line with the strategic plan. The PSE continued its education and awareness campaign of products that were introduced in 2013 like the Exchange Traded Fund (ETF), PSETradex online trading platform, the SGX-PSE MSCI Philippines Index Futures that was listed in Singapore, and its quarterly update of Shari'ah-compliant securities.

The PSE also embarked on various technology-related projects to address the needs of its stakeholders. Among the major undertakings were the launch of the mobile application version of the Exchange's disclosure facility, the PSE EDGE, and the utilization of social media to market this mobile app. It also appointed NASDAQ OMX as its technology provider for the new trading system, and signed a Memorandum of Understanding with Deutsche Boerse to collaborate on market data-related initiatives.

Progress was also achieved by the PSE in its goal to have a unified local capital market. Likewise, the Exchange actively participated in the launch of the new FTSE ASEAN Index Series.

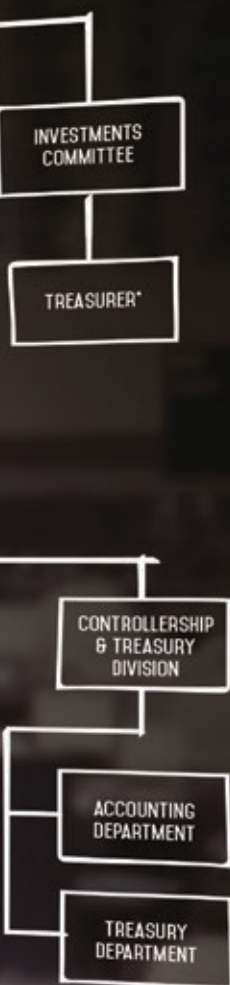
As the three-year strategic plan heads into its final year in 2015, the Exchange is looking to finish strong by intensifying efforts to complete its remaining priority initiatives, including the launch of the new trading system, implementation of short selling, and additional ETF listings, among others.

ORGANIZATIONAL STRUCTURE



*NOTE: THE TREASURER HAS OVERSIGHT FUNCTIONS OVER THE TREASURY DEPARTMENT OF THE CONTROLLERSHIP & TREASURY DIVISION.

FIGURE:01



CORPORATE GOVERNANCE AT THE PSE

The PSE recognizes the significant role of corporate governance in the overall growth of the market place. As such, the Exchange advocates the adoption of excellent corporate governance practices, including the adherence to corporate governance tenets such as fairness, transparency, and accountability among listed companies and trading participants.

The PSE wants to be a role model that it included the practice and promotion of corporate governance within the Exchange as one of its missions. It implements various rules and regulations to ensure that shareholder rights are upheld, material information are immediately disclosed, policies are observed, information sources are updated, employees practice ethical conduct, and many more. Living out this particular mission has helped the company incorporate the principles of corporate governance in its culture.

THE PHILIPPINE STOCK EXCHANGE, INC.

BOARD OF DIRECTORS

**JOSE T. PARDO, 75**

Chairman

Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and subsequently its Chairman in May 2011. He is a member of the Corporate Governance Committee of the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines. He is an Independent Director and Chairman of Philippine Savings Bank*, Philippine Seven Corporation* and an independent director of JG Summit Holdings*. He is also the Chairman of Bank of Commerce and EC Pay Network, Inc. and Director of the National Grid Corporation of the Philippines, ZNN Radio Veritas, and Calaca High Power Corp. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. He obtained his Bachelor of Science in Commerce, major in Accounting and his Master's Degree in Business Administration at the De La Salle University in Manila which he now heads as Chairman of its Board of Trustees.

HANS B. SICAT, 54

President and Chief Executive Officer, Director

Mr. Sicat has been a PSE Director since May 2009. He has been the President and Chief Executive Officer of the Exchange since January 2011. He also served as Chairman and Independent Director of the PSE from 2009 until his current appointment. He is the concurrent President and CEO of the Securities Clearing Corporation of the Philippines. At present, he is non-executive Vice Chairman and Director of LegisPro Corporation, Independent Director of Serica Balanced Fund and Master Fund, Member of Euromoney Asia Advisory Board, Independent Director of the Philippine Dealing System Holdings Corporation, Trustee of Securities Investors Protection Fund, and Director of Sky Cable Corporation, among others. He has more than two decades of experience as investment banker. He finished his coursework for Ph.D. Economics Program at the University of Pennsylvania, Philadelphia, and earned his Master of Arts in Economics and Bachelor of Science in Mathematics at the University of the Philippines. Mr. Sicat was conferred an Honorary Doctorate Degree in Business Administration by the Western University.

**EMMANUEL O. BAUTISTA, 54**

Director

Mr. Bautista has been a PSE Director since May 2011. He is currently the Chairman and Chief Executive Officer of Deutsche Regis Partners Inc., an affiliate of Deutsche Bank AG, where he has worked since 1994. Prior to this, he was connected with Pepsi Co., Inc. both in New York and in Manila as Director of Strategic Planning and Member of the Executive Committee. Mr. Bautista trained as an analyst at Philippine American Investment Corporation and Bank of America in Los Angeles. He graduated from the Ateneo de Manila University with a Bachelor of Science degree in Management Engineering, and holds a Master's degree in Business Administration from Georgetown University, USA.

ANABELLE L. CHUA, 54

Director

Ms. Lim-Chua first became a PSE Director from 2004 to 2010, and was re-elected in May 2011. She is a member of the Audit Committee of the Exchange. She is currently the Chief Financial Officer of Smart Communications, Inc. and Treasurer and Senior Vice President of Philippine Long Distance Telephone Company*. Her prior professional experience includes holding various executive positions at Citibank N.A., and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Lim-Chua graduated Magna Cum Laude from the University of the Philippines with a degree in Business Administration and Accountancy, and was a consistent University Scholar for ten semesters. She topped the Certified Public Accountant Licensure Examination in October 1982.



*Publicly-listed company

FRANCIS CHUA, 66

Director

Ambassador Chua has been a PSE Director since 2010. He is the Founding Chairman of BA Securities and is the Chairman Emeritus of the Philippine Chamber of Commerce and Industry Inc. (PCCI) as well as the Honorary President of the Federation of Filipino-Chinese Chambers of Commerce and Industry Inc. (FFCCCI). He is currently the President of the Foundation for Crime Prevention (Patrol 117) and the Philippine Business Center. He served as President to the country's top business organizations as the Philippine Chamber of Commerce and Industry Inc., the Chamber of Commerce of the Philippines Foundation Inc. and the Federation of the Filipino Chinese Chambers of Commerce and Industry. Amb. Chua is also the Consul General (ad honorem) of the Honorary Consulate General of Peru in Manila since 2006. He is also the Chairman of the Board of Negros Navigation, 2GO Group, Inc.*, DongFeng Automotive Philippines, and the Green Army Foundation. He is Vice Chairman and Excom Chair of Bank of Commerce and Vice Chairman of Basic Energy Corporation*. He has served as Director of various companies and academic institutions and has been conferred several awards by different organizations.

**DAVID O. CHUA, 46**

Director

Mr. Chua has been a PSE Director since 2007. He is currently the Nominee of Asia Pacific Capital Equities and Securities Corporation and is a member of the Advisory Board of the Metropolitan Bank and Trust Company*. He is a Director of Crown Equities Inc.*, NiHAO Mineral Resources International, Inc.*, and Dizon Copper-Silver Mines Inc.*; and Trustee of the University of the East and the University of the East Ramon Magsaysay Memorial Medical Center. He is also the President of Cathay Pacific Steel Corporation and the Philippine Steel Makers Association and Vice President of the Federation of Filipino Chinese Chambers of Commerce and Industry. He graduated with a BS Financial Services Management, Honors degree from St. Mary's College of California and finished his MBA from the Kellogg School of Management of Northwestern University, Evanston, Illinois and the Hong Kong University of Science and Technology.

**DAKILA B. FONACIER, 68**

Independent Director

Mr. Fonacier has been a PSE Director since May 2011 and is a member of the Exchange's Audit and Nomination and Election Committee. He is also the Chairman of Capital Markets Integrity Corporation (CMIC) and a Director of the Securities Clearing Corporation of the Philippines, the Philippine Dealing Systems Holdings Corporation, Philippine Depository and Trust Corporation, Philippine Dealing Systems Corporation (PDS), McManus Ventures, Inc., and MCX Konsult Corporation. Mr. Fonacier held various positions in government including as Commissioner of the Bureau of Internal Revenue, Undersecretary of the Finance Department (2000-2001), and Undersecretary of the Trade and Industry Department (1999-2000). He earned his Master's degree in Marketing and Finance from J.L. Kellogg Graduate School of Management Northwestern University in Chicago, Illinois and obtained his Bachelor's degree in Accounting, cum laude, from the University of the Philippines. He ranked fifth in the Certified Public Accountant Licensure Examination in 1968.

**EDDIE T. GOBING, 59**

Director

Mr. Gobing has been a PSE Director since 2006 and has held various stints with the Exchange since 1994. He is also the President of Lucky Securities, Inc. and is one of the longest tenured directors of the PSE Board serving as governor or director in various terms of the PSE since 1995. Mr. Gobing is the President of E.G. & Sons Insurance Agency, and the Chairman of Jacqui Foods Corp., G.G. Food Chain Corp., and J.G. Food Corp. He graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.





AMOR C. ILISCUPIDEZ, 63

Director

Ms. Iliscupidez has been a PSE Director since April 2006, and currently a member of the Audit Committee and Corporate Governance Committee of the Exchange. She is the General Manager of the San Miguel Corporation Retirement Funds Office and a member of the Board of Trustees of various Retirement Plans of the San Miguel Group. She also serves as a Director of the Securities Clearing Corporation of the Philippines and a member of its Audit Committee and Fails Management Committee. She has also been a Director of the Bank of Commerce since April 2008 and is a member of its Executive Committee, Trust Investment Committee and Nomination & Compensation Committee. She graduated, cum laude, with a Bachelor of Science degree in Business Administration, major in Accountancy, from the University of the East. She is a Certified Public Accountant.

EDGARDO G. LACSON, 70

Director

Mr. Lacson has been a PSE Director since May 2011. He is the President of MIS Maritime Corporation, Safe Seas Shipping Agency, Marine Industrial Supply Corporation, and EML Realty. He is the Chairman of Metrostore Corporation and Beacon Environmental Management Services and also Trustee of De La Salle University, Home Development Mutual Fund, Philippine Interisland Shipping Association, Philippine Petroleum Sea Transport Association, and Management Association of the Philippines. In addition, he is the President of Employers Confederation of the Philippines, a member of the Philippine Nippon Kyokai Technical, Honorary Chairman of the Philippine Chamber of Commerce and Industry and an Independent Director of Puregold Price Club, Inc.* He finished his Bachelor of Science in Commerce degree major in Accounting from De La Salle.



CORNELIO T. PERALTA, 81

Independent Director

Mr. Peralta has been a member of the PSE Board of Directors from 2004 to 2008 and 2010 to present. He likewise was the PSE Chairman from January to May 2011. He is a member of the Audit Committee and Corporate Governance Committee of the Exchange. Currently, he is an Independent Director of the Securities Clearing Corporation of the Philippines and JG Summit Holdings.* He is also a Trustee of the University of the East, UERM Memorial Medical Center, member of the Board of Governors of Makati Commercial Estate Association, Inc., Director of JG Summit Holdings, Inc.* and Director of Wan Hai Lines, Inc. Mr. Peralta finished his Bachelor of Arts degree, cum laude, and Bachelor of Laws degree from the University of the Philippines. He completed the Advanced Management Program of the Harvard Graduate School of Business.

EUSEBIO H. TANCO, 65

Director

Mr. Tanco has been a PSE Director since 2007 and a member of the Audit Committee and Corporate Governance Committee. He is the Executive Committee Chairman of STI Education Services Group, Inc. and Founding President of Global Resource for Outsourced Workers. He is also the Chairman of STI Investments, STI Education Systems Holdings, Inc.* and Capital Managers and Advisors, Inc., the Vice Chairman and President of Asian Terminals Inc.*, President of Venture Securities, Inc., Philippines First Insurance Co., Mactan Electric Company, STMI Logistics, Inc., Total Consolidated Asset Management Inc., Prime Power Holdings, Inc., and Board member of Delos Santos-STI College, DLS-STI Medical Center, DLS-STI Megaclinic, Philplans First, Inc., PhilhealthCare, Inc., Philippine Women's University, iACADEMY, Philippine Life Financial Assurance, United Coconut Chemicals, Inc., Philippine Racing Club*, and Leisure & Resorts World Corporation*. Mr. Tanco holds a Master of Science degree in Economics from the London School of Economics and Political Science. He finished his undergraduate studies at the Ateneo de Manila University.



*Publicly-listed company



ROBERT G. VERGARA, 53

Director

Mr. Vergara has been a PSE Director since October 2010. He is the President and General Manager of the Government Service Insurance System (GSIS). In addition, he sits as Vice Chairman and Member of the Board of Directors of National Reinsurance Corporation of the Philippines*, and Director of Philippine Health Insurance Corporation, Housing and Urban Development Coordinating Council, and Philippine National Construction Corporation. Prior to his appointment to GSIS, Mr. Vergara was Managing Director and the Founding Partner of Cannizaro Limited (Hong Kong), a multi-strategy hedge fund manager organization investing in the Asian markets. He was also a Principal of Morgan Stanley Asia from 1997 to 2001. He graduated from the Harvard Graduate School of Business Administration in Massachusetts, USA and earned his Bachelor of Science degrees in Management Engineering and Mathematics, magna cum laude, from the Ateneo de Manila University.

ALEJANDRO T. YU, 54

Director

Mr. Yu has been a PSE Director since 2004 and a member of the Audit Committee. He is the President of R.S. Lim & Company Inc. Mr. Yu was the Treasurer of the PSE and the Securities Clearing Corporation of the Philippines from 2005 to 2008. He participated actively in various working committees of the Exchange including Trading and Arbitration, Computer Membership and Sports. He has also been serving as Trustee of the PSE Foundation and the Securities Investors Protection Fund. Mr. Yu graduated from Xavier School and De La Salle University with a degree in Industrial Management Engineering, minor in Mechanical Engineering.



MA. VIVIAN YUCHENGCO, 63

Director

Ms. Yuchengco served as the Chairman of the Exchange from 2002 to 2003. She holds the distinction of being the first woman President of the Makati Stock Exchange and the first lady Chairperson of the PSE. She was Co-Chairperson of the committee that worked for the demutualization of the PSE and was a Board of Trustee of the Securities Investors Protection Fund, Inc. She is also a member of the Corporate Governance Committee of the Exchange. She is the Managing Director of The First Resources Management and Securities Corporation, which has been in operation for almost 35 years. She currently serves as Chairperson of the Philippine Association of Stockbrokers and Dealers Incorporated and Chairperson of Women Corporate Directors Philippines Chapter. She graduated with a Bachelor of Arts degree in Economics from Newton College of Sacred Heart in Boston, Massachusetts.

AISSA V. ENCARNACION, 49

Corporate Secretary

Ms. Encarnacion has been the Corporate Secretary of the PSE and the Securities Clearing Corporation of the Philippines since February 2004. Aside from her role as Corporate Secretary, Atty. Encarnacion is the Exchange's Corporate Information Officer, facilitating timely disclosures of the PSE's corporate actions as a publicly-listed company. She is a Partner of the Zamora Poblador Vasquez & Bretaña Law Offices, a part-time lecturer at the University of the Philippines, College of Business Administration and the President of Creative Juice\G1 Advertising, Inc. Atty. Encarnacion earned her Law and Bachelor of Science in Business Administration degrees from the University of the Philippines.



OMELITA J. TIANGCO, 61

Treasurer

Ms. Tiangco is the concurrent Treasurer of the PSE after having been appointed to the post by the PSE Board of Directors in 2011. She was Director of the Exchange from August 2006 to May 2011, during which, she also served as member of the PSE's Corporate Governance and Audit Committees. She was Executive Vice President and Chief Financial Officer of the Government Service Insurance System where she worked for 11 years. She received her Master's degree in Business Administration at the De La Salle University and her Bachelor of Science Degree in Commerce at the Arellano University. She is a Certified Public Accountant.

COMPOSITION OF THE BOARD

1. The Board of Directors is composed of 15 members who shall be elected by the stockholders of the Exchange (PSE Articles of Incorporation)
2. At least 51% of the members must be non-brokers and there must be at least three independent directors, at least one director representing Issuers, at least one director representing Investors, and at least one director representing Other Market Participants (Sec. 33.2(g), SRC)
3. Broker-directors shall not constitute more than 49% of the Board and shall proportionately represent the Exchange membership in terms of volume/value of trade and paid up capital (Sec. 33.2(f), SRC)

GENERAL QUALIFICATIONS OF DIRECTORS

1. He/she shall hold at least a college degree or have sufficient experience in managing a business to substitute for such formal education;
2. He/she shall possess competency and understanding of financial markets;
3. He/she shall be at least 21 years old;
4. He/she shall possess integrity and probity;
5. He/she shall be assiduous; and
6. He/she must be a resident of the Philippines;
7. An independent director shall have at least one share of stock of the corporation in his/her name.

BOARD COMMITTEES

Nominations and Elections Committee

The Nominations and Elections Committee (NOMELEC) has five members, two of whom are Independent Directors, with the Corporate Secretary as a Non-Voting Legal Member. The NOMELEC is tasked to formulate, screen, and evaluate the qualifications of nominees for directors, as well as those recommended to other positions requiring appointment by the Board of Directors. It is likewise tasked with completing the list of directors for nominations in accordance with the SRC as well as finalizing such rules and regulations as it may formulate within its jurisdiction for approval by the Board

MEMBERS OF THE NOMINATIONS AND ELECTIONS COMMITTEE

1. Remy T. Tigulo (Chairman)
2. Daisy P. Arce
3. Cornelio T. Peralta (Independent Director)
4. Dakila B. Fonacier (Independent Director)
5. Shirley Y. Bangayan
6. Aissa V. Encarnacion (Non-Voting Legal Member)

Corporate Governance Committee

The Corporate Governance Committee is designated to align the Exchange's CG practices with internationally accepted standards by assisting on issues directly connected with:

- a. The Exchange's internal processes, work procedures, and performance;
- b. The performance of the President and his Management team;
- c. Compensation, benefits and incentives;
- d. Succession planning;
- e. The overall corporate governance of the Exchange; and
- f. Market governance.

The PSE Corporate Governance Office (CGO) was created to assist the Committee in carrying out the fundamental functions of corporate governance, enterprise risk management, regulatory compliance, Trading Participant relations and responsible business practice in the Exchange. The CGO also supports the PSE's role in raising corporate governance standards in the Philippine market through various market initiatives, many in partnership with regulators, corporate governance advocates and other stakeholders.

MEMBERS OF THE CORPORATE GOVERNANCE COMMITTEE

1. Jose T. Pardo (Chairman, Independent Director)
2. Cornelio T. Peralta (Independent Director)
3. Edgardo G. Lacson
4. Ma. Vivian Yuchengco
5. Amor C. Iliscupidez
6. Eusebio H. Tanco

Audit Committee

The Audit Committee performs an oversight function to ensure that the PSE fulfills its responsibilities to its stockholders in matters relating to:

- a. The Exchange's financial statements and the financial reporting process;
- b. The systems of internal controls and financial reporting controls;
- c. Internal audit activity;
- d. Enterprise risk management;
- e. The annual independent audit of the Exchange's financial statements; and
- f. Compliance with the relevant laws, rules and regulations.

MEMBERS OF THE AUDIT COMMITTEE

1. Cornelio T. Peralta (Chairman, Independent Director)
2. Dakila B. Fonacier (Independent Director)
3. Anabelle Lim-Chua
4. Amor C. Iliscupidez
5. Alejandro T. Yu
6. Eusebio H. Tanco

PSE BOARD OF DIRECTORS ATTENDANCE 2014

TABLE: 02

Name of Directors	Organizational Board Meeting May 24, 2014	Special Board Meeting December 1, 2014	Regular Board Meetings	Total Board Meetings Attended
Jose T. Pardo - Chairman	Present	Present	22/22	24/24
Hans B. Sicat - President & CEO	Present	Present	21/22	23/24
Emmanuel O. Bautista	-	Present	20/22	21/24
Anabelle L. Chua	Present	Present	15/22	17/24
David O. Chua	Present	Present	19/22	21/24
Francis Chua	Present	Present	22/22	24/24
Dakila B. Fonacier	-	-	16/22	16/24
Eddie T. Gobing	Present	Present	22/22	24/24
Amor C. Iliscupidez	Present	Present	21/22	23/24
Edgardo G. Lacson	Present	Present	19/22	21/24
Cornelio T. Peralta	Present	Present	22/22	24/24
Eusebio H. Tanco	Present	Present	20/22	22/24
Robert G. Vergara	Present	-	19/22	20/24
Alejandro T. Yu	Present	Present	22/22	24/24
Ma. Vivian Yuchengco	Present	Present	19/22	21/24

COMPENSATION OF THE BOARD

The Chairman receives a per diem of P120,000.00 (net of applicable taxes) for each meeting attended, while all the other directors receive a per diem of P50,000.00 (net of applicable taxes) for each board meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full time employee, receives a fixed monthly salary. The incumbent Corporate Secretary is a partner of

the law firm that has a retainer relationship with the Company. The Corporate Secretary, through her law firm, receives a retainer fee of P80,000.00 per month.

In 2014, the directors as a group received a total aggregate per diem of P21,151,960.83.

In 2013, the directors as a group received a total aggregate per diem of P13,281,373.00.

COMPENSATION OF EXECUTIVE OFFICERS

TABLE: 03

SUMMARY OF ANNUAL COMPENSATION FOR 2014				
Name and Position	Salary	Bonus	Other Compensation (Per Diem)	Other Compensation (Per Diem)
Executive Officers & Aggregate from VP to President	P26.26 million	P11.76 million	P0.00	P38.03 million
Aggregate for all other officers	P12.70 million	P4.87 million	P0.00	P17.57 million
All other officers and directors as a group unnamed	N/A	N/A	N/A	N/A
Total	P38.97 million	P16.63 million	P0.00	P55.60 million

EXECUTIVE OFFICERS



01 | HANS B. SICAT, 54

President and Chief Executive Officer

Mr. Sicat has been the President and Chief Executive Officer of the Exchange since January 2011. He also served as Chairman and Independent Director of the PSE from 2009 until his current appointment. He is concurrent President and Chief Executive Officer of the Securities Clearing Corporation of the Philippines. He is currently non-executive Vice Chairman and Director of LegisPro Corporation. Mr. Sicat also holds positions in various business entities such as Independent Director of Serica Balanced Fund and Master Fund, Member of Euromoney Asia Advisory Board, Independent Director of the Philippine Dealing System Holdings Corporation, member of the Board of Trustees of the Securities Investors Protection Fund, Director of Sky Cable Corporation, among others. Mr. Sicat has more than two decades of experience as investment banker.

02 | ROEL A. REFRAN, 41

Senior Vice President and Chief Operating Officer

Mr. Refran, a certified public accountant (CPA)-lawyer, joined the PSE in March 2005, as the General Counsel and Compliance Officer of the Exchange and the Securities Clearing Corporation of the Philippines. Mr. Refran placed 18th in the CPA licensure examinations in May 1995, and ranked fourth in the 1999 bar examinations. He holds a Juris Doctor degree, Second Honors, from the Ateneo de Manila University, and a Bachelor of Science degree in Business Administration and Accountancy, Magna Cum Laude, from the University of the Philippines. He was a recipient of the prestigious Fulbright scholarship award from 2010-2012. He earned his Master of Business Administration degree, with specialization in capital markets and finance, from the Goizueta Business School of Emory University in the USA.

03 | JOHN BENETTE B. MAMAÑGUN, 37

Assistant Vice President and Head of Corporate Planning and Investor Relations Division

Mr. Mamañgun is the Exchange's Investor Relations Officer. Prior to his appointment in December 2011, he was the Head of the Corporate Planning and Research Section of the Exchange. Before joining the Exchange, he worked in various positions or as consultant of the Senate Economic Planning Office of the Senate of the Philippines, USAID –Accelerating Growth Investments Liberalization with Equity (AGILE), the Department of Agriculture and Caritas Manila. Mr. Mamañgun has a Master's degree in Economics from the Ateneo de Manila University where he also acquired his Bachelor of Arts in Philosophy degree.

04 | RACHELLE C. BLANCH, 39

Vice President and Head of Market Operations Division

Ms. Blanch has been with the Exchange for 17 years. Before heading the Market Operations Division of the PSE in July 2008, she was the Head of the Applications Development Department of the former Information Technology Division. Prior to joining the Exchange in 1997, Ms. Blanch was Project Implementer at the Computer Information System. She finished her Master's degree in Business Administration at the Graduate School of Business, in De La Salle University and graduated from the University of the Philippines with a Bachelor of Science degree in Mathematics.

05 | RAYMUND A. TAGUIBAO, 43

Assistant Vice President and Head of the Human Resources and Administration Division

Prior to joining the Exchange in December 2014, Mr. Taguibao was the Head of the Human Resources of the Armed Forces and Police Mutual Benefit Association, Inc. He also served as Human Resources Head at Philam Asset Management and as Head of Compensation and Rewards at Philam American Life and General Insurance Company. He held various HR positions in other multi-national firms, both local and foreign, including a ten year stint as executive expatriate at Luenthai Group in Hong Kong and China. He graduated from the Adamson University with a Bachelor of Science degree in Psychology.

06 | JINKY A. ALORA, 46

Assistant Vice President and Head of Internal Audit Unit

Ms. Alora has been with the Exchange for 19 years. She was the Head of the Trading Participants Regulation Department of the Market Regulation Division and was likewise designated as the Officer-in-Charge of the Market Regulation Division. Before she joined the Exchange in 1995, Ms. Alora was the Accounting Manager of USA Laboratories and Senior Auditor at Joaquin Cunanan Price Waterhouse Coopers. She graduated Magna Cum Laude with a Bachelor of Science degree in Commerce major in Accounting from the University Of Perpetual Help Of Laguna. Ms. Alora is a Certified Public Accountant and Master of Business Administration graduate.

07 | BUENAVENTURA S. SANGUYO, JR., 45

Assistant Vice President and General Counsel

Mr. Sanguyo started with the Exchange in July 2007 as a Legal Officer and became Deputy General Counsel in 2010. Before joining the PSE, Atty. Sanguyo was a Partner at Castro Sanguyo Margarejo and Rosas Law Office. He was also Contracts Manager at Caspian Wireless Technologies, Special Legal Counsel with the Department of Agrarian Reform, Senior Associate at Reyes Francisco & Associates Law Office and Assistant Tax Manager at Isla Lipana & Co/Pricewaterhouse Coopers. He graduated Cum Laude with a Bachelor of Arts in Political Science degree from the University of Santo Tomas. He obtained his Law degree from the University of the Philippines in 1994 and subsequently passed the 1995 Bar Examination.

08 | J. ARGEL A. ASTUDILLO, 56

Vice President for Governance, Risk and Compliance and Head of the Corporate Governance Office

Mr. Astudillo is the Compliance Officer of PSE subsidiaries Securities Clearing Corporation of the Philippines and the Capital Market Integrity Corporation. Prior to joining the Exchange in 2010, he was a Risk Management Consultant of the Board of Trustees of the Government Service Insurance System from August 2008 to June 2010. He was a Citibanker for 22 years holding various senior roles in internal audit, risk management, operations and compliance. Mr. Astudillo earned his Bachelor of Science degree in Business Administration from the University of the Philippines and his Master of Business Administration from Case Western Reserve University in the United States.

09 | MARSHA M. RESURRECCION, 39

Assistant Vice President and Head of Issuer Regulation Division

Ms. Resurreccion started her career with the Exchange as a Listings Specialist in 2002 and became the Head of the Issuer Regulation Division in 2011. Before joining the PSE, Ms. Resurreccion was an Officer Development Program Trainee at SolidBank Corporation and Regional Marketing Officer for Mindanao and Account Assistant of its Branch Lending Division. She was also Marketing Consultant and Compliance Officer at South Bank, Inc. in Cagayan de Oro City. She holds a Bachelor of Science degree in Business Management from the Ateneo de Manila University.

TRISTAN G. GILLEG0

Assistant Vice President and Head of Technology Division – Resigned on 30 September 2014

CONCEPCION J. JIMENEZ

Assistant Vice President and Head of Controllershship & Treasury Division – Resigned on 30 January 2015



DEPARTMENT HEADS



01 [**JOSE VALERIANO B. ZUÑO III**
Head, Listings Department

02 [**JO ANN G. BAUTISTA**
Officer-In-Charge, Administration

03 [**ZALDY RONIE P. ROCERO**
Head, Network & Telecommunications
Department

04 [**JOSIELYN S. ARELLANO**
Head, Materials Management & Procurement
Services Department



01 [**JOSE ANTONIO S. VILAR**
Head, Marketing Services Department and
Officer-in-Charge, Market Education Department

02 [**MARTHA H. VINZONS**
Head, Public & Investor Relations Department

03 [**MARK FREDERICK V. VISDA**
Head, Corporate Planning & Research
Department and Officer-in-Charge, Business
Development Department

04 [**ROEL M. VILLANUEVA**
Head, Market Control Department

05 [**VERONICA V. DEL ROSARIO**
Officer-in-Charge, Market Data Business Department

06 [**KHOMEINI M. ZAMAN**
Risk Officer, Corporate Governance Office



01 **EMIL G. CRUZ**
Officer-in-Charge, Technology Division and
Concurrent Head, Applications Development &
Quality Assurance Department

02 **ELIZA S. RODRIGUEZ**
Head, Accounting Department

03 **HERBERT G. VERGARA**
Head, Administrative Services Department

04 **RIENA JO C. ERESMAS**
Head, Employee Services Department



01 **ELISA L. BENAVIDEZ**
Head, Budget & Treasury Department

02 **MARVIN M. REFUERZO**
Head, Trading Operations Department

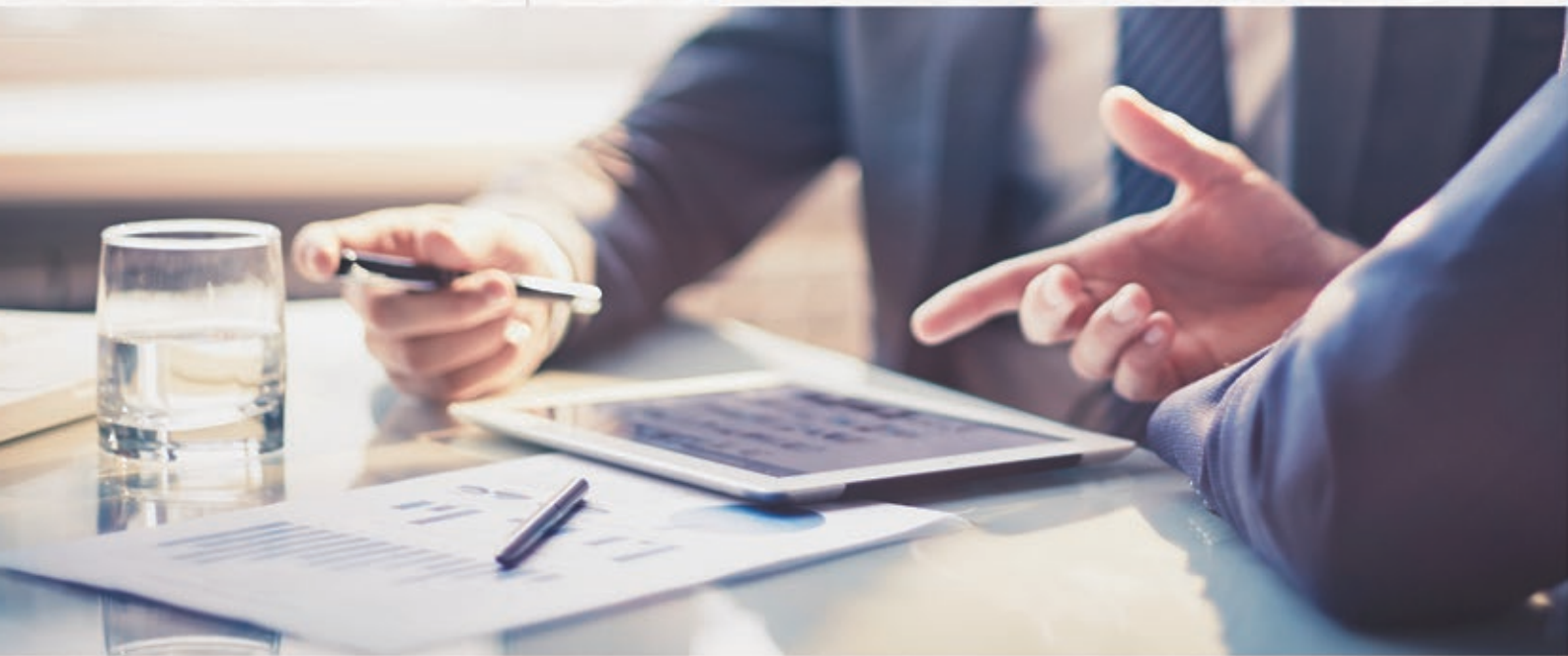
03 **SHERYL V. PERILLO**
Head, Trading Development Department

04 **ADONIS H. GILDORÉ**
Head, Systems & Database Department

05 **SHERYL J. LOPEZ**
Head, Broker Systems Support &
Certification Department

**NOT IN
PHOTO:** **JANET A. ENCARNACION**
Head, Disclosure Department

CORPORATE GOVERNANCE POLICIES



Honest and Ethical Conduct

The PSE expects all employees to act with the highest standards of honesty and ethical conduct while working on Exchange premises, at offsite locations where Exchange business is being conducted, at Exchange-sponsored business and social events, or at any other place where the employees are representing the Exchange.

Compliance with Laws, Rules and Regulations

As a publicly-listed company, the Exchange is subject to numerous laws and regulations, including its own Listing and Disclosure Rules. Compliance with laws, both in letter and in spirit, is the foundation on which this Company's ethical standards are built. All employees and officers must respect, obey and comply with the laws, rules and regulations applicable to the PSE's business.

Bribes and Kickbacks

Exchange employees are prohibited from offering, giving, soliciting or accepting bribes or kickbacks. A bribe is defined as a thing of value given to someone with the intent of obtaining favorable treatment from the recipient. Kickbacks consist of payment in cash or in kind, including goods, services, the use of another company's property, or for giving any sort of obligation provided to a customer or supplier for the purpose of improperly obtaining or rewarding favorable treatment in connection with a transaction. Bribes and kickbacks may not be offered either directly or through a third party in order to obligate the recipient to return the favor.

Fair and Free Markets

The Exchange is committed to promoting free and competitive markets. The Exchange will not tolerate any attempt by any of its employees or representatives to manipulate or tamper with the markets or the prices of securities or other financial instruments. The Exchange's goal is to ensure candor and honesty in all its dealings, including those with business partners, regulators, other stakeholders and the public.

Conflict of Interest

A "conflict of interest" exists when a person's private interest interferes or even appears to interfere in any way with the interests of the Company. A conflict situation can arise when an employee or officer takes actions or has interests that may make it difficult to perform his or her Company work objectively and effectively. Conflicts of interest may also arise when an employee or officer, or a member of his or her family receives improper personal benefits as a result of his or her position in the Company.

The PSE has an obligation to the marketplace and to its shareholders to make sound business decisions that are not influenced by the personal interests of its employees. This means that PSE employees are expected to act in the interest of the Exchange, without favor or preference based on possible direct or indirect personal gain. Employees must avoid and, if needed, remove themselves from relationships and activities that may lead to a conflict of interest or the appearance of a conflict of interest.

Personal Trading and Insider Information

Employees of the Exchange are prohibited from buying or selling securities listed on the Exchange, whether for their own account or for the account of another. An exception is trading PSE shares under an approved Employee Stock Purchase Plan and subject to the proper disclosure to the Securities & Exchange Commission.

Subscribing to initial public offerings (IPO) from listed companies or underwriters is likewise prohibited. These prohibitions, besides being imposed by Exchange rules, are to avoid actual or potential conflicts of interest, or the perception of conflict of interest, arising from the possession by Exchange employees of insider information resulting from their work in the Exchange.

Employees may at some time have access to information related to our Company or to other issuers that is not known to the general public. All non-public information about the Company or other issuers should be considered confidential information and should not be disclosed to third parties (including family members) or used for any direct or indirect personal benefit unless or until such information is disclosed to the public.

Employees and officers who have access to confidential information about the Company or any other entity are not permitted to use or share that information for trading purposes in the Company's or the other entity's securities or for any other purpose except the conduct of the Company's business. To use non-public information for personal financial benefit or to "tip" others who might make an investment decision on the basis of this information is not only unethical but also illegal.

Gift, Meal and Entertainment Policy

The purpose of gifts and business entertainment in a commercial setting is to create goodwill and sound working relationships, not to give or gain unfair advantage to or from third parties. These third parties may include, but not be limited to, existing or potential vendors, suppliers, service providers and business partners, regulators, as well as the Exchange's regulated entities such as listed companies, trading participants and listing applicants.

Employees or any of their family members up to the 2nd degree of consanguinity and 1st degree of affinity have an obligation not to solicit, accept, offer or provide any entertainment, meals or gifts that are not appropriate or could be perceived as an improper attempt to influence business. They may only accept gifts which can be considered token gifts or corporate giveaways and other related circumstances.

Corporate Opportunities

Employees and officers are prohibited from taking for themselves opportunities that arise or are discovered in the course of their employment at the Exchange or through the use of corporate property, information or position without the consent of the President and CEO. No employee or officer may use corporate property, information, or position for personal gain, and no employee or officer may compete with the Company directly or indirectly. Employees and officers owe a duty to the Company to advance its interests when the opportunity to do so arises.

A non-cash gift given in consideration of an employee's lecture, speaking engagement, participation in a forum and the like sponsored or arranged by an outside organization shall be governed by the Exchange's gift policy.

The policy on honoraria and fees does not apply to an employee's private or personal speaking engagements not endorsed by the Exchange, provided that such activities do not conflict with the interests of the Exchange.

Outside Employment and Directorships

An employee may not accept outside employment or directly or indirectly conduct outside business that interferes with the proper performance of his or her job at the Exchange, is conducted during his or her normal working hours, utilizes confidential information and other assets of the Exchange (including proprietary assets) or specialized skills and knowledge gained as an employee of the Exchange, and competes with the Exchange or otherwise conflicts with the interests of the Exchange. This includes becoming a contractor, consultant or supplier to the Exchange while being employed at the Exchange. Outside consultancies are prohibited outright.

All officers and employees of the Exchange must disclose any and all outside employment or business activity to the Employee Services Department, for which approval by the Corporate Governance Committee upon endorsement by the President and CEO should be obtained. Outside employment or business activity may be disapproved at any time if it is determined that it would conflict with the interests of the Exchange.

Related-Party Business Dealings

An employee must disclose to the Corporate Governance Office any business relationship or proposed business transaction that the Company may have with any company in which he or she or a related party (spouse, children, siblings, parents) has a direct or indirect interest (employment, directorship, controlling ownership) or from which he or a related party may derive a benefit, if such a relationship or transaction might give rise to a conflict of interest or the appearance of a conflict of interest (for example, if the employee or a family member owns or controls property of significant value that the Company is either purchasing or leasing).

Anti-Fraud Policy

Employees have a responsibility to identify and ensure that situations involving fraud do not occur. Fraud is the intentional misrepresentation or concealment of a material fact for the purpose of procuring an unjust or unlawful benefit. Fraud encompasses all forms of theft, including intellectual property, identity theft and manipulation or misuse of Company information or assets.

Employees are encouraged to report suspected fraud through the proper channels. Retaliation for reporting, in good faith, a violation is prohibited and will itself result in disciplinary action.

Raising Ethical Issues

If an employee encounters an unethical situation or faces an issue where he or she has concerns or is not sure what to do, he or she must think the situation through and ask the following questions until the employee is confident that he or she is doing the appropriate thing:

- What specifically am I being asked to do?
- Is it consistent with our Code, applicable policies and laws?
- Does it feel like the right thing to do, or does it look or feel unethical or improper?
- What might be the consequences of my action or inaction?

Further guidance may be sought by the employee from his Department or Division Head or the Corporate Governance Office.



STOCK MARKET PERFORMANCE AND HIGHLIGHTS

The Philippine stock market continued to scale unprecedented heights in 2014 as its main index, the PSEi, surged by 22.8 percent for the year. This marked the bellwether indicator's sixth consecutive year of growth, an impressive feat achieved by only two out of the 64 member-exchanges of the World Federation of Exchanges. This unparalleled run of success, when examined on an aggregate growth basis, showed the PSEi nearly quadruple in value and total market capitalization of companies listed in the local stock market expand to P14.25 trillion or 3.5 times from six years ago. These growth numbers continue to lend credence to the country's ever-increasing attractiveness to the global investing community.

At the start of the year, expectations ran high that the Philippine economy would be able to sustain the level of growth rate it achieved in the past years. These expectations were further highlighted by the fact that multilateral institutions seconded the sentiment and to an extent, even forecasted an optimistic albeit lower forecast of 6.6 percent Gross Domestic Product (GDP) growth for 2014, following a 7.2 percent growth a year earlier.

The economy would, however, find itself struggling to meet these expectations as it was confronted with challenges both at the global and domestic front.

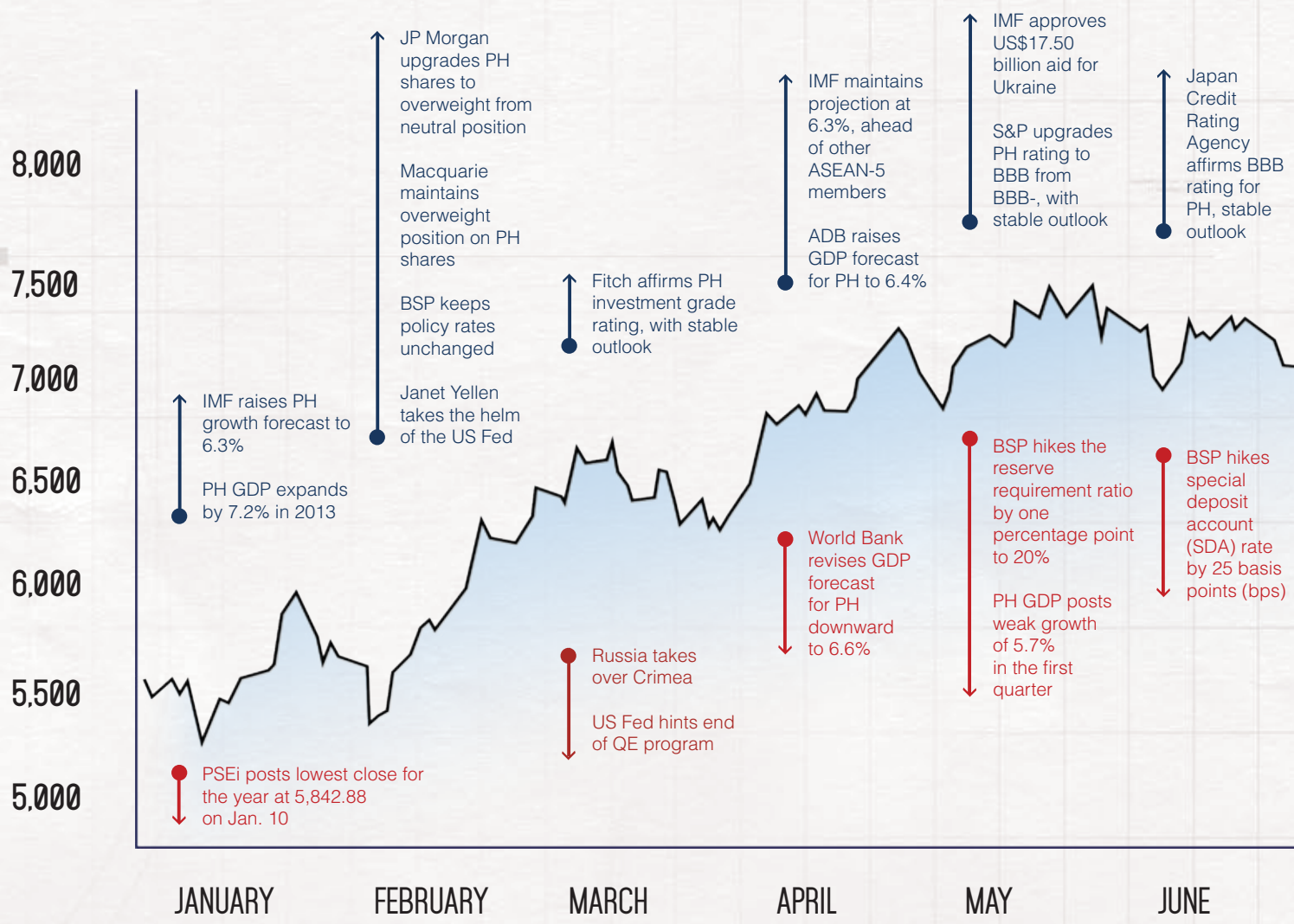
During the first quarter, geopolitical tensions owned the headlines when Russia successfully annexed Crimea. The conflict that arose from this action pushed Ukraine's economy to the brink of bankruptcy, prompting the International Monetary Fund to provide a US\$17.50 billion aid for Ukraine to stave off default. Russia, on the other hand, was beset with economic sanctions from the United States and Europe, which would not be lifted until a peace deal is implemented.

PSEi PERFORMANCE

The winding down of the US Federal Reserve's (US Fed) bond-buying program from January to October also cast a pall on investor sentiment. While the decision to end the program may be seen as an indication of an improved US economy, emerging markets like the Philippines were shaken as it signaled the repatriation of funds that had helped them buck the dismal economic growth in advanced economies. Because of this, the country's foreign portfolio investments (FPIs) yielded a net outflow of US\$1.84 billion for the month of January. Even seven months of net inflows throughout the year failed to reverse the trend, causing the FPIs to end with a net outflow of US\$310.21 million. This was a stark contrast to the US\$4.22 billion net FPI inflow for the whole year of 2013.

Trades at the foreign exchange, stock, and commodities markets likewise suffered. The peso registered on February 5 its lowest close for the year at P45.41 per US dollar, a level not seen since 2010. By yearend though, the local currency managed to recover from depreciation and ended at P44.62 per US dollar, only 0.5 percent or 21 centavos weaker from the P44.41 to a US dollar close in 2013. At the stock market, total value turnover fell by 16.3 percent to P2.13 trillion from P2.55 trillion, while the average daily value turnover dropped by 16.3 percent to P8.80 billion from P10.52 billion in 2013.

Volatility was more pronounced in the trading of gold at the US Commodity Exchange. The price of gold traded from a low of US\$1,142.60 per ounce to as high as US\$1,379 per ounce, reflecting the divided sentiment of investors towards the true state of the global economy. By the end of the year, the price of gold settled at US\$1,184.10 per ounce, 1.5% down from the previous year's US\$1,202.31 per ounce close.



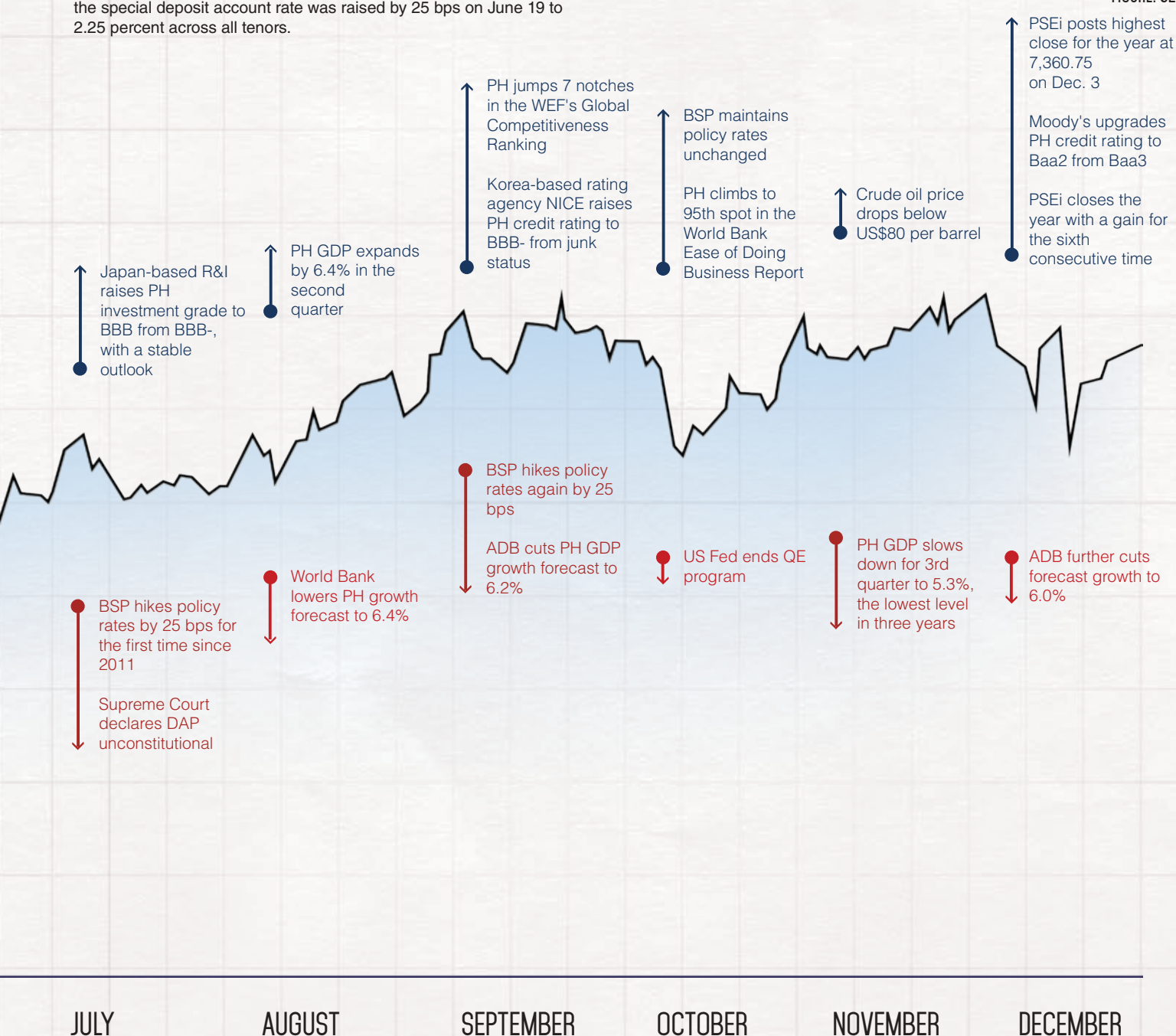
A downward spiral in crude oil prices was clearly evident at the New York Mercantile Exchange. Crude oil prices began to decline to a low of US\$98.17 per barrel on July 31 and failed to go back to the US\$100 per barrel levels. Crude oil prices further skidded in the last quarter of the year after the Organization of Petroleum Exporting Countries ignored calls for a cut in oil production in a bid to retain market share and hold off competition from the US shale production. At yearend, the price of crude oil closed at US\$53.27 per barrel, its lowest level for 2014, and 45.9 percent down from the US\$98.42 per barrel close in 2013.

The unstable environment surrounding these markets stoked inflationary pressure and influenced monetary policy at home. Although still within the Bangko Sentral ng Pilipinas' inflation targets, headline inflation in 2014 averaged 4.1 percent, 1.1 percentage points higher than the 3.0 percent average a year earlier. During months that headline inflation showed signs of continued rise, the Monetary Board was swift to utilize monetary policy tools to arrest the uptick. On July 31, the overnight borrowing and lending rates were in fact raised by 25 basis points (bps) for the first time since 2011. Another 25-bps hike ensued on September 11, bringing the overnight borrowing and lending rates to 4.0 percent and 6.0 percent, respectively, by yearend. The reserve requirement ratio was also increased by one percentage point to 20.0 percent on May 8, while the special deposit account rate was raised by 25 bps on June 19 to 2.25 percent across all tenors.

Local developments hounded the Philippine stock market as well. On July 1, the Supreme Court (SC) declared certain acts under the Disbursement Acceleration Program (DAP) as unconstitutional. DAP, which was intended to transfer savings and unused funds from slow-disbursing programs of one department to fast-moving projects of another, was initiated in 2011 as a means to accelerate growth in the economy. As a result, the decision constrained the government agencies' ability to release funds for their projects and affected the country's fiscal position. This contributed to the decline in government expenditures by 13.2 percent to P1.98 trillion from the programmed P2.28 trillion. Meanwhile collected revenues fell 5.4 percent short of the P2.02 trillion target set for the year. The country's fiscal deficit was nevertheless trimmed at P73.09 billion, the lowest level in six years.

The lackluster spending consequently gave reason for multilateral institutions to slash growth forecasts in the second half of the year. The Philippine economic growth indeed decelerated in the third quarter of the year to 5.3 percent, its softest quarterly growth in three years. The figure was also below the 6.4 percent and 6.2 percent lowered yearend forecasts of the World Bank and Asian Development Bank, respectively.

FIGURE: 02



Resilience and Optimism in the Face of Adversity

Setting aside these challenges, the country still had a lot of reasons to cheer and remain hopeful for. Net FDIs, for the first time in Philippine history, reached US\$6.20 billion, almost double the US\$3.74 billion amount posted in 2013. This phenomenon is largely hinged on the country's relatively young population with a huge purchasing power coming from the robust inflow of overseas remittances as well as a flourishing business process outsourcing (BPO) industry. In 2014, BPO revenues grew by 18.7 percent to US\$18.40 billion, while cash remittances aggregated to another record level of US\$24.31 billion.

The strong domestic consumption likewise allowed listed companies to generate more revenues and higher profits. For the January to September period, the combined revenues of listed companies expanded by 27.9 percent to P4.89 trillion from P3.83 trillion in the same period a year ago. The combined net income meanwhile rose by 4.1 percent to P440.53 billion during the nine-month period from P423.05 billion in 2013. This has led to overweight rating on local shares.

As economic reforms were continually upheld, so has the Philippines' improvement in the ranking of competitive economies. In September, results of the Global Competitiveness Report by the World Economic Forum reported a seven-place jump to 57th place from its ranking in 2013. The report also cited the Philippines as one of the biggest gainers among the countries surveyed, having climbed 33 spots since 2010. Similarly a month later, the World Bank released its report that pushed the country 13 spots higher to 95th out of 189 economies included in the Ease of Doing Business Report.

The country also earned rating upgrades from Standard & Poor's (S&P) on May 8; Rating and Investment Information, Inc. (R&I) on July 10; National Information and Credit Evaluation Ratings Inc. (NICE) on September 2; and Moody's Investors Service (Moody's) on December 11. Both S&P and R&I raised the credit rating to BBB from BBB-. NICE elevated the Philippines to BBB- from junk status, while Moody's upgraded the credit rating to Baa2 from Baa3. Japan Credit Rating Agency Ltd. meanwhile affirmed on June 13 its BBB rating on the Philippines. All credit raters accorded a stable outlook.

These developments augured well for the local stock market as the benchmark PSE index continued its uptrend for the sixth year in a row. The PSEi registered a significant increase of 22.8 percent or

1,340.74 points to close the year at 7,230.57 points. While no fresh all-time high was recorded, the PSEi managed to reach a peak of 7,360.75 points, which was only a few points away from the 7,392.20-point record close on May 15, 2013. Among select Asian indices, the PSEi was the fifth best performing index but it was undoubtedly the best performing index in Southeast Asia.

All sector indices recorded positive growth rates in 2014. The Industrial Index led the gainers with an increase of 37.9 percent, followed by the Mining and Oil, and Property Indices at 32.7 percent and 27.4 percent, respectively. The Financials Index rose by 18.8 percent; the Holding Firms Index by 16.0 percent; and the Services Index, by 13.9 percent. The broader All Shares Index, meanwhile, went up by 18.0 percent to end at 4,264.61 points from the closing level of 3,614.32 points in 2013.

Total market capitalization soared to a new high of P14.25 trillion, 19.4 percent more than the P11.93 trillion level a year ago. Domestic market capitalization, which excludes companies originally listed abroad, likewise posted a fresh record of P11.71 trillion, up by 21.4 percent from P9.65 trillion in 2013. The Holding Firms sector accounted for largest share in domestic market capitalization at 26.9 percent or P3.16 trillion.

Accounting for 49.1 percent of total trading activity, foreign transactions netted a buy of P55.45 billion, a remarkable expansion of 255.7 percent from the P15.59 billion net foreign buying figure the previous year.

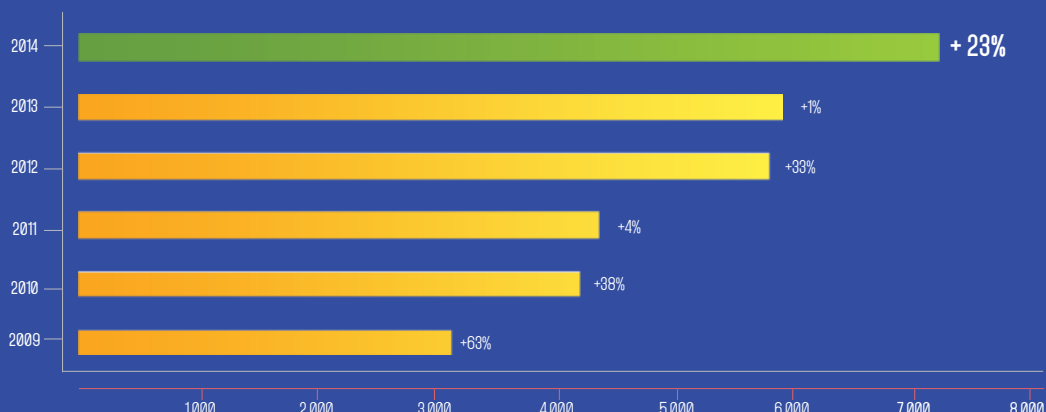
The momentum in capital raising activities was maintained in 2014. Forty-one companies tapped the local market to rake in P153.08 billion worth of capital, just slightly lower than the P175.07 billion capital raised the previous year. This was largely boosted by private placements amounting to P64.26 billion, cornering 42.0 percent of the total capital raised. Stock rights and follow-on offerings meanwhile contributed P45.60 billion and P31.81 billion, respectively. On the other hand, the initial public offering (IPO) of five companies contributed P11.41 billion as the market saw for the first time the listing of two SME companies in a year. DoubleDragon Properties Corp. and Xurpas Inc. listed under the enhanced rules for the Small, Medium and Emerging Board of the PSE.



SELECT PSE MARKET INDICATORS

IN BILLION PHP

TABLE 04



THE PSE IS ONE OF ONLY TWO EXCHANGES GLOBALLY TO POST GROWTH FOR SIX CONSECUTIVE YEARS*

*Based on data from the World Federation of Exchanges

MARKET INDICATOR	2009	2010	2011	2012	2013	2014	2014 VS 2013 % CHANGE
PSE INDEX (PSEI), YEAREND CLOSE	3,052.68	4,201.14	4,371.96	5,812.73	5,889.83	7,230.57	▲ 22.76%
TOTAL VALUE TRADED (IN BILLION PHP)	994.15	1,207.38	1,422.59	1,771.71	2,546.18	2,130.12	▼ -16.34%
AVERAGE DAILY VALUE TRADED (IN BILLION PHP)	4.11	4.95	5.71	7.26	10.52	8.80	▼ -16.34%
FOREIGN BUYING (IN BILLION PHP)	329.28	477.38	565.86	850.16	1,308.51	1,073.53	▼ -17.96%
FOREIGN SELLING (IN BILLION PHP)	314.37	441.76	509.35	740.18	1,292.93	1,018.09	▼ -21.26%
NET FOREIGN BUYING/(SELLING) (IN BILLION PHP)	14.92	35.62	56.52	109.98	15.59	55.45	▲ 255.73%
TOTAL FOREIGN (IN BILLION PHP)	643.65	919.13	1,075.21	1,590.35	2,601.44	2,091.62	▼ -19.60%
SHARE OF FOREIGN TRADING TO TOTAL TRADING	32.37%	38.06%	37.79%	44.88%	51.09%	49.10%	▼ -3.89%
CAPITAL RAISED (IN BILLION PHP)	38.77	84.94	107.50	219.07	175.07	153.08	▼ -12.56%
INITIAL PUBLIC OFFERINGS (IN BILLION PHP)	0.02	12.78	9.04	23.99	60.98	11.41	▼ -81.29%
ADDITIONAL LISTINGS (IN BILLION PHP)	38.75	72.16	98.46	195.08	114.08	141.67	▲ 24.18%
MARKET CAPITALIZATION, YEAREND (IN BILLION PHP)	6,032.22	8,866.11	8,696.96	10,930.09	11,931.29	14,251.72	▲ 19.45%
DOMESTIC FIRMS (IN BILLION PHP)	3,995.07	6,892.21	7,238.99	9,416.31	9,645.22	11,712.79	▲ 21.44%
FOREIGN FIRMS (IN BILLION PHP)	2,037.15	1,973.90	1,457.97	1,513.78	2,286.08	2,538.93	▲ 11.06%
NO. OF LISTED COMPANIES, YEAREND							
DOMESTIC	248	253	253	254	257	263	▲ 2.33%
FOREIGN	246	251	251	252	254	260	▲ 2.36%
NO. OF LISTED ISSUES, YEAREND							
DOMESTIC	2	2	2	2	3	3	▲ 0.00%
FOREIGN	318	328	326	294	294	305	▲ 3.74%
DOMESTIC	316	326	324	292	291	302	▲ 3.78%
FOREIGN	2	2	2	2	3	3	▲ 0.00%
TOTAL MARKET							
DIVIDEND YIELD (IN %)	3.52	2.64	2.91	2.33	2.36	2.31	▼ -2.23%
PRICE-EARNINGS RATIO (x)	23.26	21.32	16.54	19.09	17.95	18.78	▲ 4.66%

PSEi VS SELECT ASIAN INDICES, 2014 VS. 2013

TABLE: 05

RANK	COUNTRY	INDEX	END-2013	END-2014	YTD CHANGE
1	CHINA	CHINA SE SHANGHAI COMPOSITE INDEX	2,115.98	3,234.68	▲ 52.9%
2	CHINA	CHINA SE SHENZHEN COMPOSITE INDEX	1,057.67	1,415.19	▲ 33.8%
3	INDIA	NSE NIFTY	6,304.00	8,282.70	▲ 31.4%
4	INDIA	BSE SENSEX	21,170.68	27,499.42	▲ 29.9%
5	PHILIPPINES	PSEi	5,889.83	7,230.57	▲ 22.8%
6	INDONESIA	JAKARTA COMPOSITE INDEX	4,274.18	5,226.95	▲ 22.3%
7	THAILAND	SET INDEX	1,298.71	1,497.67	▲ 15.3%
8	VIETNAM	VN INDEX	504.63	545.63	▲ 8.1%
9	JAPAN	TOPIX INDEX	1,302.29	1,407.51	▲ 8.1%
10	TAIWAN	TAIEX INDEX	8,611.51	9,307.26	▲ 8.1%
11	JAPAN	NIKKEI 225	16,291.31	17,450.77	▲ 7.1%
12	SINGAPORE	STRAITS TIMES INDEX	3,167.43	3,365.15	▲ 6.2%
13	HONG KONG	HANG SENG INDEX	23,306.39	23,605.04	▲ 1.3%
14	SOUTH KOREA	KOSPI INDEX	2,011.34	1,915.59	▼ -4.8%
15	MALAYSIA	KUALA LUMPUR COMPOSITE INDEX	1,866.96	1,761.25	▼ -5.7%

FIGURE: 03

22.8% ▲

PSEi enjoyed a huge
22.8% growth in 2014.

286% ▲

In total, the PSEi has
grown by 286% in the
past 6 years.

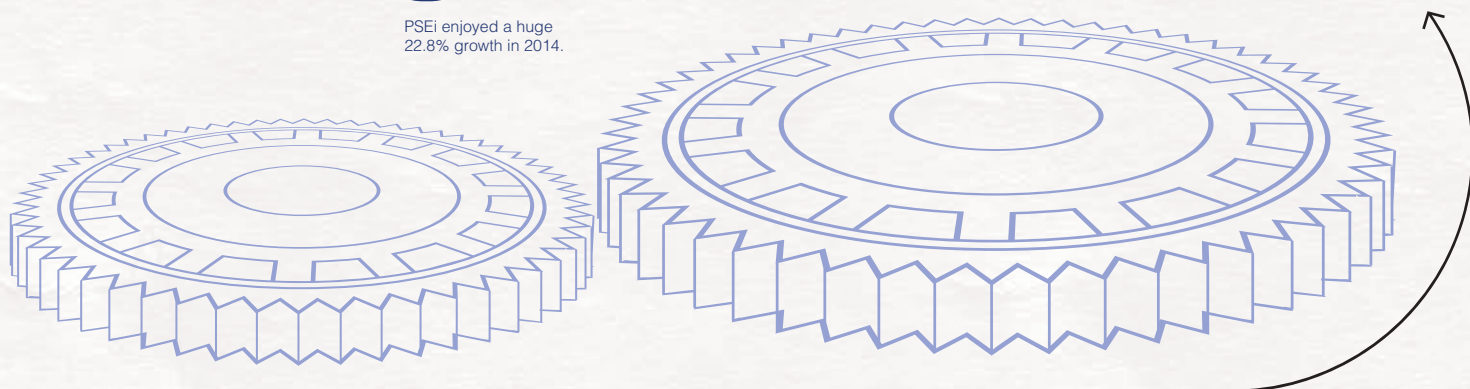
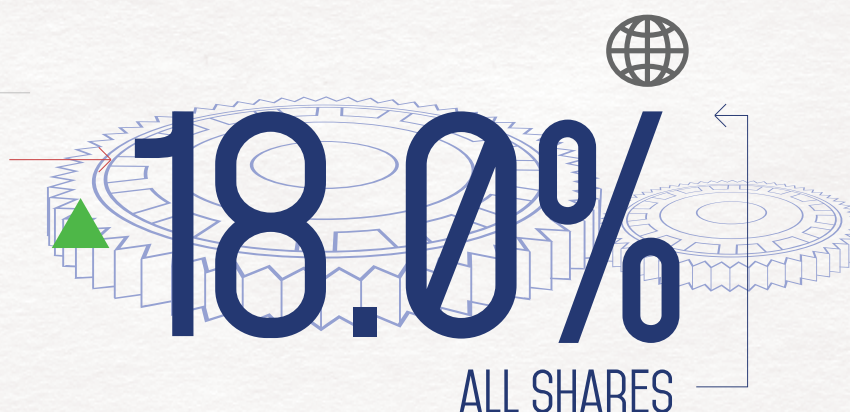


TABLE: 06

ANNUAL GROWTH OF INDICES

INDEX	2013	2014	% CHANGE
ALL SHARES	3,614.32	4,264.61	18.0%
FINANCIALS	1,428.00	1,696.20	18.8%
INDUSTRIAL	8,690.37	11,982.76	37.9%
HOLDING FIRMS	5,429.48	6,299.94	16.0%
PROPERTY	2,205.45	2,810.25	27.4%
SERVICES	1,866.04	2,126.19	13.9%
MINING AND OIL	11,917.94	15,815.26	32.7%



▲ 18.8% 
FINANCIALS

▲ 37.9% 
INDUSTRIAL

▲ 16.0% 
HOLDING FIRMS

▲ 27.4% 
PROPERTY

▲ 13.9% 
SERVICES

▲ 32.7% 
MINING & OIL

PSEi RECOMPOSITION

RESULTS OF RECOMPOSITION 2014

TABLE: 07

	AS OF MARCH 17, 2014		AS OF SEPTEMBER 15, 2014	
1	AYALA CORPORATION	1	AYALA CORPORATION	
2	ABOITIZ EQUITY VENTURES, INC.	2	ABOITIZ EQUITY VENTURES, INC.	
3	ALLIANCE GLOBAL GROUP, INC.	3	ALLIANCE GLOBAL GROUP, INC.	
4	AYALA LAND, INC.	4	AYALA LAND, INC.	
5	ABOITIZ POWER CORPORATION	5	ABOITIZ POWER CORPORATION	
6	BDO UNIBANK, INC.	6	BDO UNIBANK, INC.	
7	BLOOMBERRY RESORTS CORPORATION	7	BLOOMBERRY RESORTS CORPORATION	
8	BANK OF THE PHILIPPINE ISLANDS	8	BANK OF THE PHILIPPINE ISLANDS	
9	DMCI HOLDINGS, INC.	9	DMCI HOLDINGS, INC.	
10	ENERGY DEVELOPMENT CORPORATION	10	ENERGY DEVELOPMENT CORPORATION	
11	FIRST GEN CORPORATION	11	EMPERADOR, INC.	
12	GLOBE TELECOM, INC.	12	FIRST GEN CORPORATION	
13	GT CAPITAL HOLDINGS, INC.	13	GLOBE TELECOM, INC.	
14	INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.	14	GT CAPITAL HOLDINGS, INC.	
15	JOLLIBEE FOODS CORPORATION	15	INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.	
16	JG SUMMIT HOLDINGS, INC.	16	JOLLIBEE FOODS CORPORATION	
17	LT GROUP, INC.	17	JG SUMMIT HOLDINGS, INC.	
18	METROPOLITAN BANK & TRUST COMPANY	18	LT GROUP, INC.	
19	MEGAWORLD CORPORATION	19	METROPOLITAN BANK & TRUST COMPANY	
20	MANILA ELECTRIC COMPANY	20	MEGAWORLD CORPORATION	
21	METRO PACIFIC INVESTMENTS CORPORATION	21	MANILA ELECTRIC COMPANY	
22	PETRON CORPORATION	22	METRO PACIFIC INVESTMENTS CORPORATION	
23	PHILEX MINING CORPORATION	23	PETRON CORPORATION	
24	ROBINSONS LAND CORPORATION	24	ROBINSONS LAND CORPORATION	
25	SEMIARARA MINING AND POWER CORPORATION	25	SEMIARARA MINING AND POWER CORPORATION	
26	SM INVESTMENTS CORPORATION	26	SM INVESTMENTS CORPORATION	
27	SAN MIGUEL CORPORATION	27	SAN MIGUEL CORPORATION	
28	SM PRIME HOLDINGS, INC.	28	SM PRIME HOLDINGS, INC.	
29	PHILIPPINE LONG DISTANCE TELEPHONE COMPANY	29	PHILIPPINE LONG DISTANCE TELEPHONE COMPANY	
30	UNIVERSAL ROBINA CORPORATION	30	UNIVERSAL ROBINA CORPORATION	

TOTAL MARKET CAPITALIZATION AND TRADING VALUE BY SECTOR

IN BILLION PHP

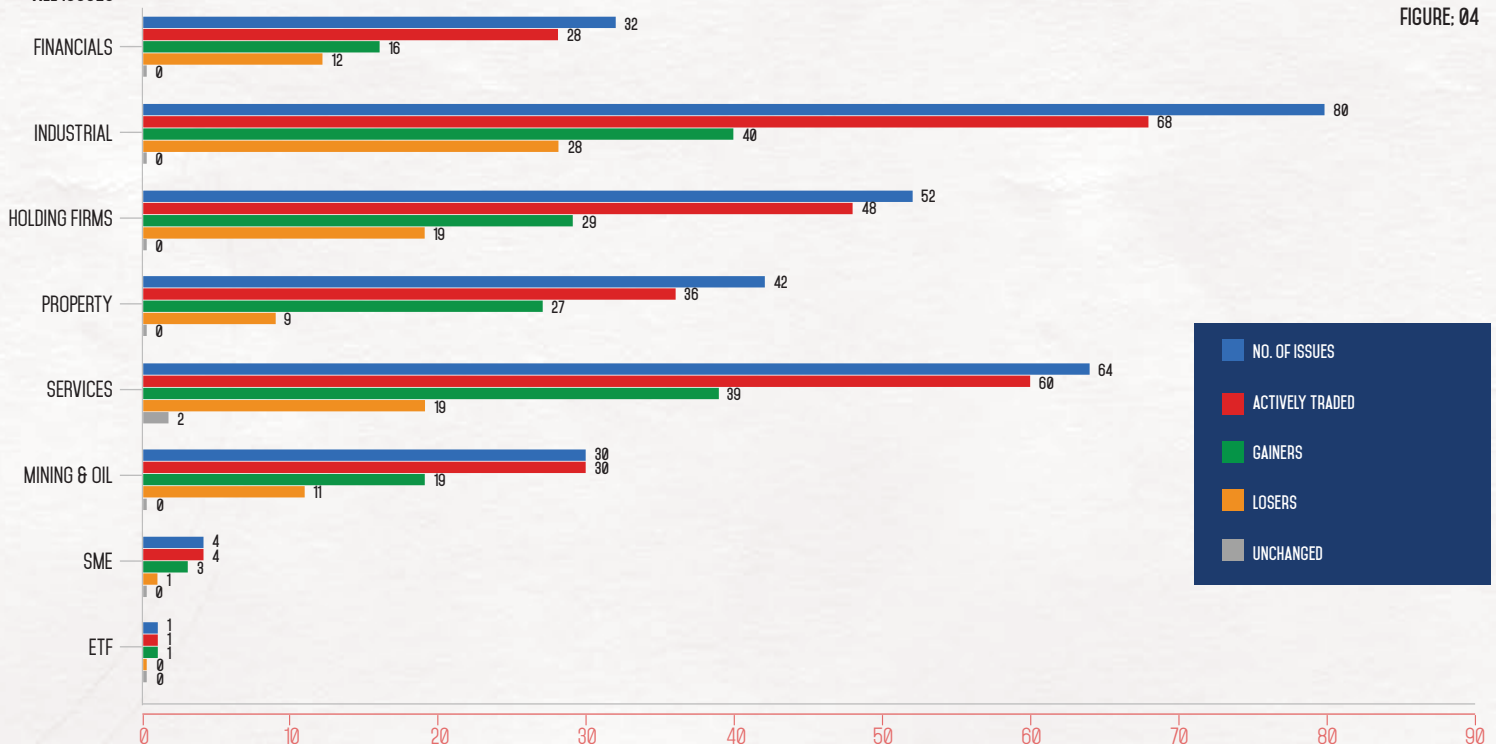
TABLE: 08

	MARKET CAPITALIZATION					VALUE TRADED				
	2012	2013	2014	%CHANGE	%SHARE	2012	2013	2014	%CHANGE	%SHARE
FINANCIALS SECTOR	1,378.51	1,406.40	1,645.14	17.0%	14.0%	282.98	342.31	278.29	-18.7%	13.1%
BANKS	1,300.41	1,337.81	1,594.32	19.2%	13.6%	273.72	332.40	272.71	-18.0%	12.8%
OTHER FINANCIAL INSTITUTIONS	78.09	68.59	50.82	-25.9%	0.4%	9.26	9.91	5.58	-43.7%	0.3%
INDUSTRIAL SECTOR	2,695.09	2,392.35	2,621.99	9.6%	22.4%	419.11	684.09	428.17	-37.4%	20.1%
ELECTRICITY, ENERGY, POWER & WATER	1,059.12	959.69	1,155.39	20.4%	9.9%	196.72	280.59	201.44	-28.2%	9.5%
FOOD, BEVERAGE & TOBACCO	1,334.57	1,132.56	1,188.53	4.9%	10.1%	171.63	325.90	190.79	-41.5%	9.0%
CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES	221.46	201.83	217.84	7.9%	1.9%	24.30	33.28	23.37	-29.8%	1.1%
CHEMICALS	19.47	75.65	16.36	-78.4%	0.1%	3.27	41.24	6.65	-83.9%	0.3%
ELECTRICAL COMPONENTS & EQUIPMENT	18.75	19.51	40.79	109.1%	0.3%	2.06	2.87	5.70	98.2%	0.3%
OTHER INDUSTRIALS	41.71	3.11	3.07	-1.5%	0.0%	21.14	0.21	0.23	8.2%	0.0%
HOLDING FIRMS SECTOR	2,110.73	2,325.10	3,156.54	35.8%	26.9%	400.48	605.71	499.99	-17.5%	23.5%
PROPERTY SECTOR	1,262.37	1,312.29	1,611.00	22.8%	13.8%	244.18	409.15	360.39	-11.9%	16.9%
SERVICES SECTOR	1,430.35	1,892.78	2,208.89	16.7%	18.9%	287.07	442.78	461.55	4.2%	21.7%
MEDIA	60.28	58.84	64.38	9.4%	0.5%	17.59	17.30	7.72	-55.4%	0.4%
TELECOMMUNICATIONS	695.36	797.05	871.43	9.3%	7.4%	136.61	163.16	218.32	33.8%	10.2%
INFORMATION TECHNOLOGY	30.38	22.42	24.97	11.3%	0.2%	14.85	31.55	9.35	-70.4%	0.4%
TRANSPORTATION SERVICES	235.16	416.87	456.49	9.5%	3.9%	39.85	54.98	49.80	-9.4%	2.3%
HOTEL & LEISURE	5.14	6.98	5.06	-27.5%	0.0%	7.33	4.51	2.34	-48.2%	0.1%
EDUCATION	26.23	34.52	37.23	7.9%	0.3%	0.62	1.09	1.26	16.2%	0.1%
CASINOS & GAMING	185.45	301.68	454.58	50.7%	3.9%	22.70	64.57	99.93	54.8%	4.7%
RETAIL	129.40	227.68	284.15	24.8%	2.4%	25.16	102.38	68.65	-33.0%	3.2%
OTHER SERVICES	62.95	26.76	10.59	-60.4%	0.1%	22.36	3.25	4.20	29.0%	0.2%
MINING & OIL SECTOR	538.68	315.42	434.77	37.8%	3.7%	137.88	62.01	89.92	45.0%	4.2%
MINING	371.16	289.95	416.58	43.7%	3.6%	118.94	56.94	86.14	51.3%	4.0%
OIL	167.52	25.47	18.19	-28.6%	0.2%	18.94	5.07	3.78	-25.5%	0.2%
SME	0.59	0.87	34.47	3858.8%	0.3%	0.01	0.01	11.07	99504.4%	0.5%
ETF		0.75	0.90	19.4%			0.12	0.74	529.9%	0.0%
TOTAL MARKET	10,930.09	9,645.22	11,712.79	21.4%	100.0%	1,771.71	2,546.18	2,130.12	-16.3%	100.0%

2014 MARKET ACTIVITY

ALL ISSUES

FIGURE: 04



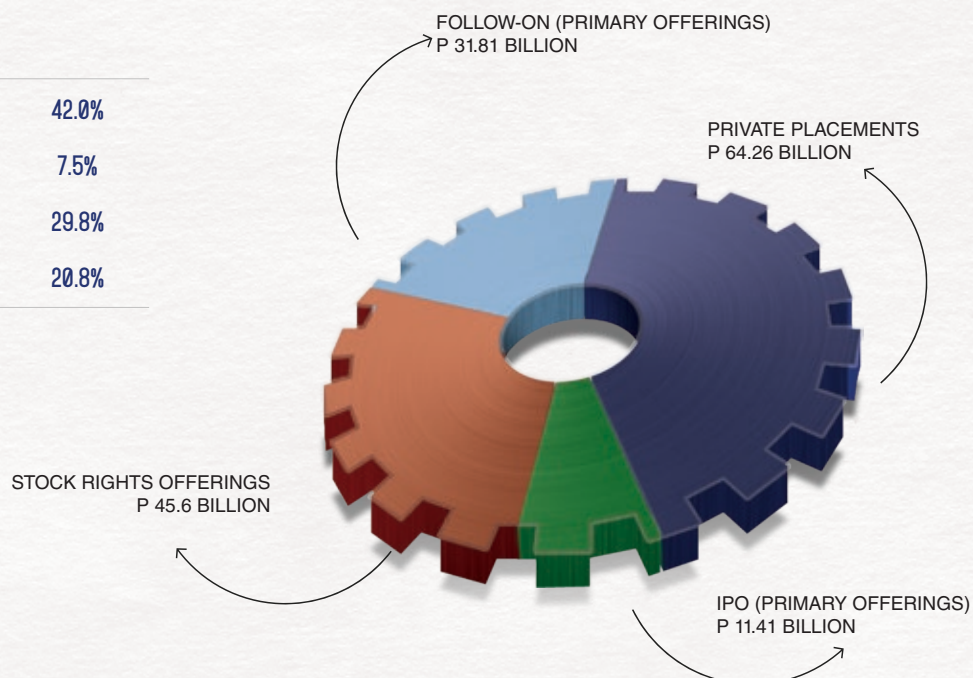
SUMMARY OF 2014 CAPITAL RAISING ACTIVITIES

IN BILLION PHP

TABLE: 09

FIGURE: 05

PRIVATE PLACEMENTS	64.26	42.0%
IPO (PRIMARY OFFERINGS)	11.41	7.5%
STOCK RIGHTS OFFERINGS	45.60	29.8%
FOLLOW-ON (PRIMARY OFFERINGS)	31.81	20.8%
TOTAL	153.08	



INITIAL PUBLIC OFFERINGS IN 2014

TABLE: 10

COMPANY	CODE	TYPE OF OFFERING	OFFERED SHARES	LISTING DATE	OFFER PRICE (IN PHP)	OFFER PROCEEDS (IN PHP)	BOARD UPON LISTING
TOP FRONTIER INVESTMENT HOLDINGS, INC.	TFHI	LISTING BY INTRODUCTION	-	13-JAN-14	178.00*	-	MAIN BOARD
DOUBLEDragon PROPERTIES CORP.	DD	IPO	PRIMARY	07-APR-14	2.00	1,159,460,000.00	SME
CENTURY PACIFIC FOOD, INC.	CNPF	IPO	PRIMARY	06-MAY-14	13.75	3,157,748,055.00	MAIN BOARD
TRANS-ASIA PETROLEUM CORPORATION	TAPET	LISTING BY INTRODUCTION	-	28-AUG-14	4.60*	-	MAIN BOARD
SSI GROUP, INC.	SSI	IPO	PRIMARY	07-NOV-14	7.50	5,217,761,475.00	MAIN BOARD
		IPO	SECONDARY	07-NOV-14	7.50	1,263,929,797.50	MAIN BOARD
		IPO	SECONDARY ¹	07-NOV-14	7.50	972,253,695.00	MAIN BOARD
PHOENIX SEMICONDUCTOR PHILIPPINES CORP.	PSPC	IPO	PRIMARY	01-DEC-14	3.15	511,497,000.00	MAIN BOARD
		IPO	SECONDARY	01-DEC-14	3.15	511,497,000.00	MAIN BOARD
XURPAS INC.	X	IPO	PRIMARY	02-DEC-14	3.97	1,365,680,000.00	SME

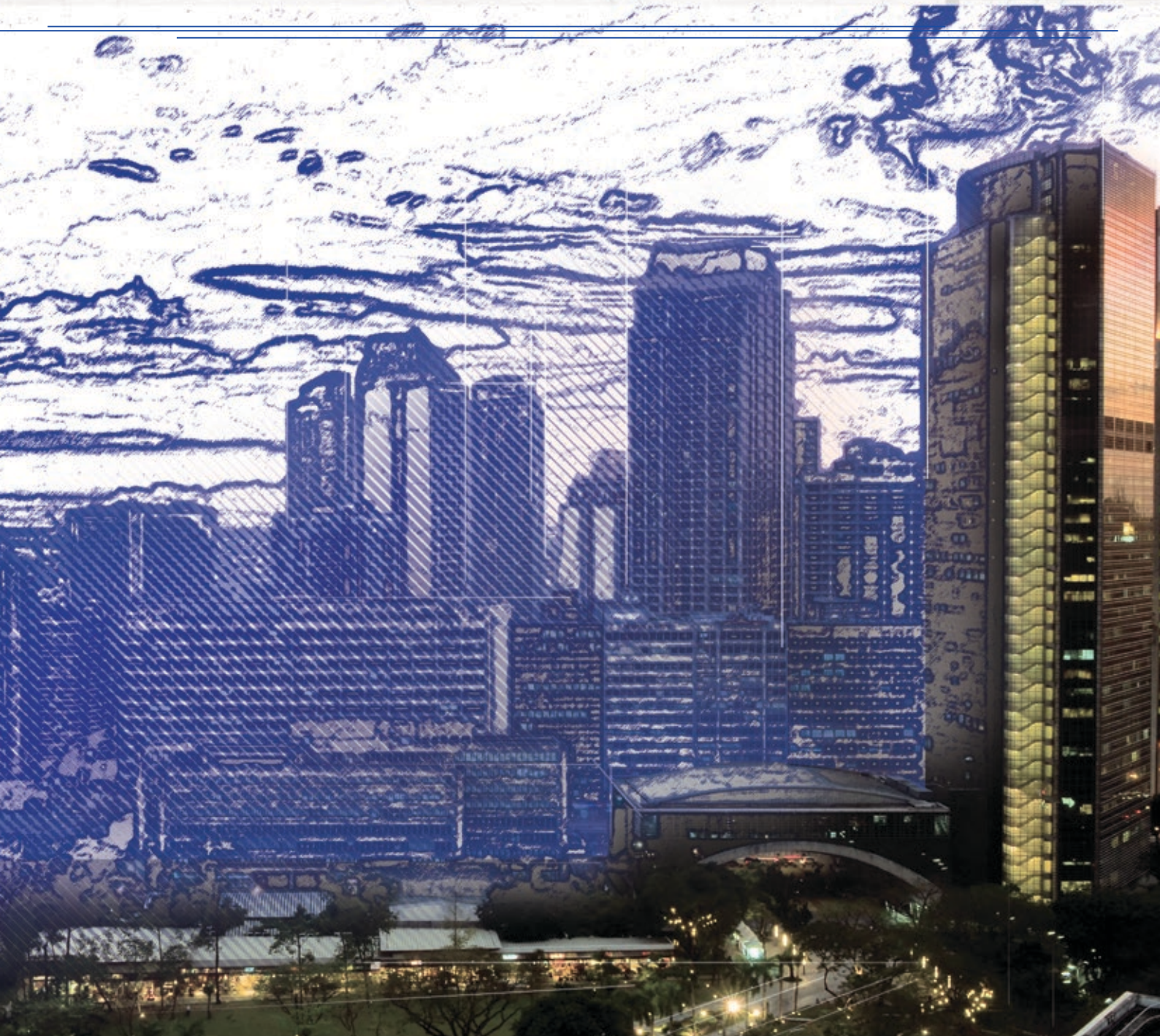
TOTAL INITIAL PUBLIC OFFERING PROCEEDS (PRIMARY SHARES)

11,412,146,530.00

TOTAL INITIAL PUBLIC OFFERING PROCEEDS (SECONDARY SHARES)

2,747,680,492.50

*LISTING PRICE
¹OVER-ALLOTMENT



EXPANDING DIMENSIONS

The PSE took a huge step in developing the Philippine capital market by pushing for the unification of the equity and fixed income exchanges, through the purchase of additional shares in Philippine Dealing Systems Holdings Corporation (PDS). The PSE currently holds a 21 percent stake in the PDS.

On October 7, the PSE signed an indicative term sheet with Bankers Association of the Philippines (BAP) regarding PSE's proposal to purchase BAP's 28.9 percent stake in PDS. On November 20, both San Miguel Corporation (SMC) and Golden Astra Capital signed their respective term sheets as well, effectively bringing the PSE's majority shareholding to 54.24 percent. Other shareholders, namely: Investment House Association of the Philippines, Financial Executives Institute of the Philippines Research and Development Foundation, Social Security System, Computershare Technology Services Philippines, Inc., Philippine American Life and General Insurance Company, Tata Consultancy Services Asia-Pacific Pte. Ltd., and Singapore Exchange Limited, were offered the same terms.

The merger is timely in the midst of the ASEAN integration, as having a unified exchange is expected to result in a larger and more competitive exchange in terms of products and services.

The consolidation initiative is also seen to create synergies that can redound into various benefits to the market. This potentially includes significant reduction on operational costs for both PSE and PDS as systems and services of the two exchanges are aligned, resulting in greater business scalability and profitability. Another possible area for improvement that can be made is on the risk management side, as PSE and PDS infrastructures can be vertically integrated and enhanced in parallel with each other, and more investment instruments become recognized as eligible collateral for both equities and fixed income trading. The human resource expertise from both institutions are likewise viewed to come together seamlessly in the pursuit of introducing fresh ideas in the fields of product creation, regulatory development, and technology enhancement.

The transaction is subject to terms and conditions that shall be finalized after the satisfactory completion of a due diligence to be conducted by the PSE on PDS, as well as PSE's compliance with regulatory, corporate, and other related requirements.

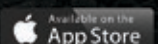


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PSE EDGE - the mobile app that gives you access to real-time updates on company disclosures, exchange notices and more, anytime, anywhere. Download it on your mobile device now.

Real-time updates on company disclosures anytime, anywhere.



NEW TRADING PLATFORM IN PROGRESS

The PSE selected NASDAQ OMX as its new service provider for the Exchange's trading engine in July 2014. NASDAQ OMX shall deploy its X-stream Trading System (XTS) to the PSE to replace the NSC trading system provided by NYSE Euronext Technologies SAS. The new trading system called the PSEtrade XTS is being developed with enhanced trading capacity and increased risk management parameters in line with PSE's overall strategy of introducing more products and services to the market.

Since the selection of NASDAQ OMX, the Exchange has been preparing its systems for the new trading platform. It also started training for stockbrokers to familiarize themselves with the features and functions of the PSEtrade XTS.

In December, the PSE released the beta test environment for the new trading system. The beta test environment is the version of NASDAQ's industry-leading trading technology, X-stream Trading, that has already been customized to fit the specific requirements of the PSE.

The PSEtrade XTS is expected to go live by mid-2015.

NASDAQ's Exchange technology operates in over 100 marketplaces across USA, Europe, Asia, Australia, Africa and Middle East. The ASEAN Exchanges using the platform include the Singapore Exchange, Bursa Malaysia and the Indonesia Exchange.

LAUNCH OF THE PSE EDGE MOBILE APPLICATION

To improve transparency in a fast-paced market, the PSE launched in March the mobile application of the Exchange's disclosure portal called PSE Electronic Disclosure Generation Technology (PSE EDGE).

The mobile application is designed to provide investors on-the-go a convenient access to real time corporate disclosures critical for trading and investment decisions. It has nine main segments namely: Corporate Information, Company Announcements, Financial Reports, PSEi Company Disclosures, Dividends and Rights, Halts and Suspensions, Exchange Notices, ETF and Other Reports.

The EDGE mobile app also has a My Page feature that allows users to identify up to 10 listed companies as favorites. Notifications on the latest disclosures of companies tagged as favorites will be automatically sent to the EDGE app user real time. Another notable feature of the app is the Share function, which gives users the flexibility to share company disclosure reports via Facebook, Twitter, e-mail and SMS.

The PSE also deployed a digital marketing campaign to increase awareness about the availability of the free mobile application on iOS and Android supported smartphones and tablets. As of December 2014, there have been around 30,000 downloads of the PSE EDGE App with an average user rating review of 4.0 out of 5.0 among Android users and a 4.0 out of 5.0 stars rating among iOS users.

GREATER ADOPTION OF PSETRADEX

In 2014, four brokers launched their online trading systems all powered by PSETradex, a trading platform developed by the PSE to enable trading participants to offer online trading services. These stockbrokers are Maybank ATR Kim Eng with MAKE Trade, Optimum Securities with Optimum Online, DA Market Securities with iTrade, and Regina Capital Development Corporation with Regina Capital Online Investing.

In addition, the PSE accepted 10 more broker sign-ups for PSETradex. These brokers are in different phases of development and testing of their online trading facility.

LAUNCH OF THE PSETRADEX MOBILE APPLICATION

The PSE launched in November the mobile application for trading called the PSETradex mobile. This new service offers easy and unparalleled access to the stock market and empowers investors to conveniently trade Philippine stocks by always staying connected to the market.

The mobile app, which runs initially on iOS devices, has the following key features:

- **Synchronized transactions**
View trades and actions accomplished through PSETradex eXplore and eXpert on PSETradex Mobile instantaneously, using a single log-in account.
- **Detailed portfolio management**
Learn from past trading performances by tracking realized and unrealized gains or losses on current and prior holdings.
- **Comprehensive access to market data**
View up-to-date statistics on the market's top movers, gainers, and losers, and look into order book and time and sales data that refreshes every 5 seconds.
- **Expansive watchlist**
Organize a vast selection of stocks into particular groups of interest and monitor their market performance.
- **Latest market news**
View corporate actions, exchange announcements, and other relevant market events.

PSETradex Mobile is available to clients of brokerage firms using the online trading platform developed by the Exchange called PSETradex. Its Android platform will be launched in 2015.



PARTNERSHIP WITH DEUTSCHE BOERSE FOR MARKET DATA DEVELOPMENT

The growing interest of investors in the Philippine stock market has created greater demand for more extensive market data. To further strengthen its market data segment both as a service and as a revenue stream, the PSE signed a memorandum of understanding (MOU) with Deutsche Boerse, one of the world's leading data and technology service providers for the securities industry.

The two exchanges agreed to collaborate in exploring and developing concrete programs for licensing of current market data offerings to foreign clients, expanding international client base and creating new product design and innovation.

PSE is targeting second quarter of 2015 for the launch of the marketing arrangement with Deutsche Boerse.

INCREASED TRADING IN ETF

Following the successful launch in December 2013 of the country's first Exchange Traded Fund (ETF), the PSE continued its efforts to educate the investing community of the dynamics and advantages of investing in ETFs. Part of these activities is the inclusion of ETF topics in regular market education seminars, roadshows, securities course, webinars, and media interviews. The PSE also conducted seminars with brokerage firms to aid them in explaining to their clients how an ETF works. As more investors started trading ETFs, volumes have grown five times in the second half of 2014 compared to the average trading numbers during the first half.

To complement the market education campaign, the PSE also sought BSP's support on the ETF product to clarify ETFs as "securities of resident enterprises listed at the PSE" that should form part of allowable securities for inward portfolio investments under BSP regulations.

The PSE also worked closely with the Insurance Commission for the eventual issuance of IC Circular Letter 30-2014. The Circular paved the way for Insurance/Re-insurance Companies and Mutual Benefit Associations to invest in ETFs, provided prior approval of IC is obtained. To support this development, the PSE conducted a seminar to introduce ETFs to insurance companies and to explain to them how they can benefit from investing in the product.

In preparation for more ETF listings, the PSE, as an index provider, has also conducted studies for the creation of new indices which ETF companies may track.

EXPANDING SECURITIES BORROWING AND LENDING

Increasing the supply available for securities lending is one of the priority initiatives of the Exchange. Hence, the PSE engaged various regulators and representatives from the private sector in an effort to encourage more lenders to participate in Securities Borrowing and Lending (SBL) transactions. One of the institutions the Exchange collaborated with is the IC. On July 8, the IC released its Guidelines for Securities Borrowing and Lending under Circular Letter 31-2014, to allow insurance companies to engage in securities lending. To support IC's initiative, the Exchange conducted a briefing for insurance companies on SBL. The PSE has also invited government pension funds to participate in this initiative.

The implementation of Circular Letter 31-2014 was, however, deferred in view of concerns raised by the Financial Stability Coordinating Council (FSCC) on repurchase agreements. The FSCC is composed of representatives from the Department of Finance, the IC, the Bureau of Treasury, the BSP and the Philippine Deposit Insurance Corp. The PSE is currently working with the IC to address these concerns and restart the insurance industry's participation in the SBL program.

Alongside the efforts relating to bilateral transactions, the PSE and the Securities Clearing Corporation of the Philippines (SCCP) also resumed their study of the central counterparty SBL model, which envisions the SCCP as the central counterparty to both lenders and borrowers who engage in SBL transactions. To this end, the PSE and SCCP have embarked on a re-examination of SCCP rules, regulations and other related materials to determine if the same are relevant and up-to-date.

GROWING SHARI'AH COMPLIANT SECURITIES

The PSE continued with the Shari'ah program it launched in 2013 with the quarterly review of the list of Shari'ah-compliant equity securities. In 2014, there were around 50 to 60 companies that would comprise the list of compliant securities. The PSE continued to engage Ideal Ratings, Inc., a US-based Islamic screening agency, to screen the securities listed at the Exchange in accordance with the



PSE and Deutsche Boerse Officials at the MOU signing for market data collaboration

standards for Shari'ah compliance as stipulated by the Accounting and Auditing Organization for Islamic Finance Institutions.

This initiative is intended to attract Islamic funds and other asset management firms or retail investors who use the Shari'ah law as basis for investing to invest in local stocks.

The PSE is also studying the possibility of creating a Philippine Islamic Index to enable investors to easily track the performance of Shari'ah-compliant listed firms.

PERSONAL EQUITY AND RETIREMENT ACCOUNT GAINING TRACTION

The PSE, together with the Trust Officers Association of the Philippines (TOAP), continued to meet with regulators and legislators to finalize preparations for the launch of Personal Equity and Retirement Account (PERA). The PSE and TOAP participated in discussions with various stakeholders, such as the House of Representatives Committee on Economic Affairs, the Bureau of Internal Revenue, the SEC, and the BSP.

Among the major milestones for this initiative was the issuance by the BSP in December of the approved guidelines on the qualification and accreditation of PERA market participants and the product categories that are eligible for PERA investment.

The BSP is targeting to see the launch of the first PERA product in 2015.

LAUNCHING NEW ASEAN INDICES

Together with other ASEAN Exchanges, the PSE successfully launched in May its enhanced partnership with global index provider FTSE. The new FTSE ASEAN Index Series features an expanded portfolio of ASEAN-centric benchmarks, which consist of the FTSE ASEAN Stars, FTSE ASEAN All-Share, FTSE All-Share ex-Developed, and FTSE ASEAN Sector indices. The new index series offers broader coverage of over a thousand companies from six ASEAN countries, namely, Indonesia, Malaysia, Philippines, Singapore, Thailand, and Vietnam. The ASEAN Exchanges expect more investment products to be created out of these indices, offering more variety for investors who wish to take advantage of the unique and attractive opportunities presented by ASEAN corporates.

The Exchanges also continued to focus on working together towards building an integrated capital market by actively participating in the development of an ASEAN Capital Market Infrastructure (ACMI) Blueprint. The ACMI Blueprint envisions a multilateral linkage model where each ASEAN market will connect to an offshore ASEAN national market infrastructure that will be able to support the full spectrum of trading, clearing and settlement, and custody services. This initiative should further align the ASEAN capital markets with the ASEAN Economic Community (AEC) 2015 vision.

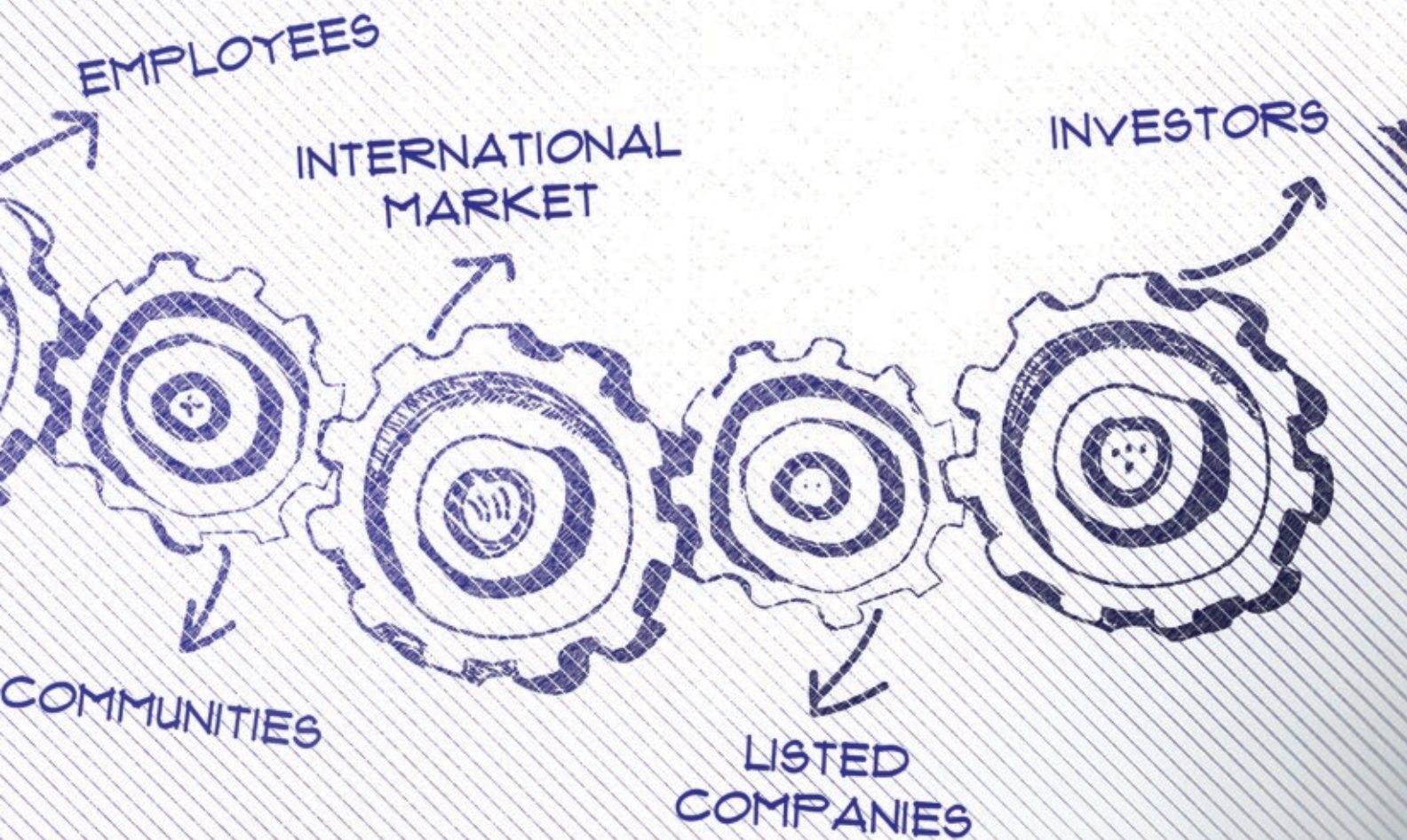
TRAINING ON NEW PRODUCTS

The PSE, in partnership with the Singapore Exchange (SGX) and MSCI, Inc., conducted educational seminars on June 4 and 5 focused on the SGX-PSE MSCI Philippines Index Futures. This product was launched and listed on the SGX last November 25, 2013 to provide investors with a mechanism to hedge Philippine equities, and to potentially pave the way for the establishment of a local derivatives market in the Philippines.

Representatives from SGX provided trading participants and institutional investors with an overview of derivatives, and discussed the specifications of the said product. Attendees likewise learned how futures can be utilized in various trading strategies. In addition to learning about derivatives, the seminar also had speakers from financial institutions to talk about their insights on the Philippine growth story, and from MSCI to elaborate the steps on how the global index provider constructs indexes, which includes the MSCI Philippines Index.

Later in September, the PSE organized a two-day training for the employees of the PSE, SCCP, CMIC and SEC on securities borrowing and lending, short selling and derivatives trading conducted by Fitch Learning, a global leader in financial education.

The participants learned how the securities lending industry works and the key drivers behind it, including the principles of short selling and how the two are intertwined. Both the opportunities and challenges faced by investors involved in short selling and securities lending were also explored as participants gained an understanding of the associated rewards and risks. Participants, likewise, learned the importance of collateral and collateral re-investment within the overall process. They also gained valuable knowledge about the derivatives marketplace and the practical realities of trading derivative instruments. The knowledge gained from this training will be used in the development of such products that will be offered by the Exchange in line with its strategic plan.





SCALE OF REACH

The Exchange cultivated its partnerships with various institutions and individuals to promote the expansion of the country's investor base in line with its strategic plan.

PROVIDING MARKET EDUCATION FOR FILIPINOS

Financial Literacy Roadshows

The PSE intensified its market education efforts to increase the awareness of Filipinos about the local equities market and help them understand the Exchange's new products and services through its financial literacy roadshows in Luzon, Visayas, and Mindanao.

Cebu

The domestic roadshow kicked off with the "Philippine Capital Markets Investment Conference" in Cebu City on May 16 which was graced by Vice President Jejomar C. Binay as keynote speaker and attended by almost 300 participants.

The whole-day conference had plenary sessions in the morning and breakout sessions in the afternoon with speakers from the National Economic and Development Authority, Bloomberg, CBRE Philippines, BPI Trade, COL Financial Group, Inc., and Maybank ATR KimEng Securities, Inc. Nine breakout sessions in the afternoon featured topics such as basic stock market investing, exchange-traded funds, online trading, investing strategies, investor protection, listing in PSE, and the economic outlook on the Philippines.

Batangas

In July, the PSE joined efforts with the Provincial Government of Batangas to provide investor education seminars for its component agencies and departments. The "Batangas Financial Literacy Seminar" was developed to impart the importance of saving, and to provide awareness on the array of opportunities available in investing in different financial products. Close to 900 government employees in Batangas attended the two-day seminar series.

Pampanga

Pampangueños showed vigorous interest in learning more about the local equities market during the stock market seminar in Angeles City, Pampanga on October 17 with the theme "Achieving Financial Freedom through Investments". PSE's Stock Market 101 was complemented by a presentation on online trading by DA Market Securities.

Cagayan de Oro

The PSE also reached as far as Mindanao. Cagayanons met the PSE's "Building Wealth With Stocks" seminar with overwhelming support. The seminar held on December 4 was supported by Regina Capital Development Corporation.

Davao

The last leg of PSE's roadshow was held in Davao City on December 6. The well-attended event was supported by Maybank ATR KimEng Securities, Inc.

Launch of the PSE Stock Market 101 Webinar

To reach a wide range of potential and current retail investors, the PSE hosted its first Stock Market 101 Webinar on November 7.

The free webinar saw the participation of over 500 individuals based in the Philippines and around Asia, Australia, Europe, and North America. The webinar facilitator explained basic stock market concepts, investment procedures, trading schedule, and stock market quotations. The webinar provided an interactive platform where the participants could ask questions addressed real-time by the PSE team.

Following the success of its first webinar, the PSE plans to hold more webinars in 2015 to provide investors with information on ETFs, the Exchange's Shari'ah program, navigating the PSE EDGE mobile disclosure, as well as the other products and services in the pipeline.

Stock Market 101 Seminars

PSE's semi-monthly basic stock market seminars gathered close to 4,000 participants in 2014. Conducted every second and last Tuesday of the month, the seminars provide interested individuals with basic knowledge about the stock market as they start their journey to investing.

Programs for Young Investors

Targeting to educate the younger generation about the benefits of saving and investing at an early age, the PSE collaborated with Kiddo-preneur, an organization that carries out various initiatives that aim to teach children about business and entrepreneurship. Initial concepts of saving and investing in the equities market were introduced to young audiences aged 4-15 years old through fun and educational activities such as cartoon-viewing to explain how the stock market works, games, tour of the Exchange, and a candid question-and-answer portion with PSE President and CEO Hans B. Sicat.

In 2014, the PSE encouraged a total of 6,124 young students and professionals to learn more about saving and investing in the stock market during Exchange Visit activities. Students taking up business-related courses from as far as the University of Guam and the Yokohama National University also paid a visit to the Exchange.

Certified Securities Specialist Course

The PSE completed seven runs of its flagship continuing education program, the Certified Securities Specialist Course (CSSC) producing a total of 105 graduates or "Certified Securities Specialists" in 2014.

The PSE has partnered with distinguished academic institutions, such as the Ateneo Center for Continuing Education, Information and Communications Technology Academy, Inc. or iACADEMY, University of Santo Tomas Center for Continuing Professional Education and Development, and the University of San Carlos in Cebu City, for the conduct of the CSSC.

The PSE and its partner schools regularly conduct a curriculum review and faculty development workshops to further enhance the program. In order to align PSE's market education program offerings with its peer exchanges, the PSE will also soon offer an internet-based version of the course as well as customized financial training programs for market participants.

1st Provincial Run of the PSE Advanced Stock Market Course

In partnership with First Metro Securities Brokerage Corporation (FMSBC) and First Metro Asset Management, Inc. (FAMI), the PSE successfully held its first provincial run of the Advanced Stock Market Course on January 24 and 25 in Cebu City. The course was divided into three modules—fundamental analysis, technical analysis, and practical portfolio management. The lectures were given by officers of both partner companies.

Financial Literacy Competitions

The PSE has been actively promoting financial literacy among Filipino students. To complement its literacy campaign, the Exchange partnered with various organizations for financial literacy competitions.

The PSE hosted the National Intercollegiate Finance Quiz Competition of the Junior Confederation of Finance Associations of the Philippines on February 22 which saw the University of Santo Tomas emerge as champion of the competition, followed by Ateneo de Manila University, and De La Salle University.



Vice President Jejomar C. Binay at the Philippine Capital Markets Investment Conference in Cebu



Top three students of the 5th PSE-UST Certified Securities Specialist course at the graduation ceremony on December 16 at the UST

Meanwhile, the Inter-High School Economics and Capital Market Quiz Competition of the University of Makati was held on February 24. Bangkal High School took home the top prize, followed by Makati Hope Christian School, and Fort Bonifacio High School.

The PSE also partnered with the University of the Philippines Junior Finance Association (UP JFA) in hosting the culminating activity of the first Intercollegiate Valuation and Strategies Competition on November 29 at the PSE Ortigas trading floor. The PSE collaborated with UP JFA in designing the featured case challenge and in providing mentors to the participating teams.

Industry Exposition

In its aim to increase the awareness and participation of retail investors about the stock market, the PSE participated as an exhibitor during the 3rd Asia-Pacific Real Estate Investment Summit held on November 20 at SM Aura, Taguig City. The PSE was able to put up information desks and conduct marketing activities like leafleting, material display, and basic investing consultations.

MARKET EDUCATION BY THE NUMBERS

105	GRADUATES OF C65 AND ADVANCED STOCK MARKET COURSES
166	SEMINARS AND EXCHANGE VISITS
500	WEBINAR ATTENDEES
13,668	INDIVIDUALS REACHED THROUGH BRIEFINGS, SEMINARS, EVENTS, AND COURSES
39,943	FACEBOOK FOLLOWERS
24,876	TWITTER FOLLOWERS
90,585	PSE ACADEMY UNIQUE VISITORS

DEVELOPING INTERNATIONAL PARTNERSHIPS

International Roadshows

In 2014, the PSE participated in international roadshows that provided foreign investors a better understanding and appreciation of the Philippine stock market.

To promote Philippine listed companies, the PSE, together with DBP-Daiwa Capital Markets, conducted the Daiwa-PSE Philippine Corporate Day from February 14 to 15 at the Daiwa Corporate Offices in Tokyo, Japan. The two-day event gave 11 participating listed companies from the Philippines the opportunity to meet with various Japanese fund and asset management firms.

The PSE also participated in Bank of America Merrill Lynch (BAML)'s ASEAN Stars Conference held from March 5 to 7 at the Fullerton Hotel in Singapore. Through the partnership between the Exchange and BAML, 12 Philippine listed companies participated in the three-day conference. Several individual and group investor meetings were conducted among the 10 participating listed companies from the Philippines and BAML's clients.

In October, the PSE took part in the Philippine government's non-deal roadshow entitled "Philippine Economic Briefing in Japan: Sustaining Inclusive Growth through Infrastructure and Capital Market Development" held at the Tokyo Shangri-La. The event participants took part in panel discussions on Philippine investment opportunities and updates and developments in the Philippine infrastructure sector.

Listing Forums for Japanese Investors

To spur interest among Japanese companies with Philippine subsidiaries to go public in the Philippines, the PSE, together with Takara Printing Co., Ltd., Deloitte Touche Tohmatsu LLC and DLA Piper Tokyo, held a listing forum on February 14 in Tokyo, Japan. The forum covered discussions on the listing process at the PSE, doing business in the Philippines, economic updates, the current tax regime and the landscape of the Philippine capital market.

As more Japanese companies are transferring their regional headquarters and key operations in Singapore, the PSE held another forum for Japanese corporates in the city-state on November 10. The Exchange partnered with Deloitte Singapore, Navarro Amper & Co. (Deloitte Philippines) and Deloitte Thailand for the conduct of the forum, which was attended by regional officers of 39 Japanese corporates with Philippine operations. The forum covered topics such as investment opportunities in the Philippines, clarification of tax regulations, and the advantages of listing their Philippine subsidiaries in the PSE.



Students from The King's School Manila with PSE Chief Operating Office Roel A. Refran during an Exchange Visit



PSE President and CEO Hans B. Sicat and Daiwa Securities Co. Ltd. President and CEO Takashi Hibino at the Philippine Corporate Day 2014



The 2014 PSE Bell Awardees for listed companies during the awards ceremony held on November 10 at the Makati Shangri-La Hotel

PROGRAMS FOR LISTED COMPANIES AND TRADING PARTICIPANTS

The 3rd PSE Bell Awards for Corporate Governance

The PSE once again recognized the achievement of the country's top listed companies (LC) and trading participants (TP) in corporate governance. On its third year, the PSE Bell Awards has proven to be a helpful guidepost for LCs and TPs in their quest to improve their corporate governance practices.

The 3rd PSE Bell Awards ceremony, held on November 10 at the Makati Shangri-La Hotel, handed anew finalist trophies to 10 LCs and nine TPs. From the roster of Finalists, five LCs and six TPs were conferred the 2014 PSE Bell Awards.

Panel of Judges

1. **Hon. Teresita J. Herbosa** - SEC Chairperson and Chair of the Bell Awards Panel of Judges
2. **Atty. Cornelio C. Gison** – Capital Markets Integrity Corporation President and CEO
3. **Amb. Asif Ahmad** – British Embassy Manila, Her Britannic Majesty's Ambassador
4. **Hon. Maria Leonor Gerona-Robredo** – Republic of the Philippines' House of Representatives, 3rd District Representative of Camarines Sur
5. **Bro. Dennis M. Magbanua, FSC** – De La Salle University Officer-In-Charge President

Launched in December 2011, the PSE Bell Awards has remained one of the Company's core initiatives to raise awareness and standards of corporate governance and help sustain the Philippines' attractiveness as an investment destination.

SEC-PSE Corporate Governance Forum

In partnership with the SEC, with technical assistance and funding from the USAID and the Makati Business Club Integrity for Investments Initiative, the PSE organized a Corporate Governance Forum on October 20 at the Shangri-La Makati. The Forum took up proposed amendments to the Corporation Code, the Securities Regulation Code and its Implementing Rules and Regulations, various SEC Corporate Governance-related issuances and the ASEAN Corporate Governance Scorecard, an initiative of the ASEAN Capital Markets Forum and the Asian Development Bank in preparation for the ASEAN economic integration in 2015.

Investor Relations Seminar

The PSE continued to advance investor relations practice among listed firms in the country by organizing seminars for Investor Relations Officers. In January, the Exchange again conducted the Fundamentals of Investor Relations seminar which it rolled out in 2013. Subsequent seminars were conducted in June and October that tackle effective investor relations practices and investor targeting as well as discussions on IR performance and scorecard, and opportunities and challenges in the Philippine IR practice.

The Seminar Series had resource speakers from Bloomberg, BNY Mellon and NASDAQ OMX Corporate Solutions as well as local resource speakers. More than one hundred IR practitioners from large, mid, and small cap listed companies took part in the seminars organized by the PSE.

THE 2014 PSE BELL AWARDEES

LISTED COMPANY AWARDEES

1. ABOITIZ POWER CORPORATION (AP)
2. AYALA LAND, INC. (ALI)
3. CEBU HOLDINGS, INCORPORATED (CHI)
4. CHINA BANKING CORPORATION (CHIB)
5. MANILA WATER COMPANY, INC. (MWC)

TRADING PARTICIPANT AWARDEES

LARGE TP CATEGORY

1. DEUTSCHE REGIS PARTNERS, INC.
2. FIRST METRO SECURITIES BROKERAGE CORPORATION
3. MAYBANK ATR KIM ENG SECURITIES, INC.

SMALL TP CATEGORY

1. I. B. GIMENEZ SECURITIES, INC.
2. JSG SECURITIES, INC.
3. R. S. LIM & COMPANY, INC.

The Bell Awards selection process follows a strict selection criteria that are applied by an esteemed panel of judges. Listed companies are judged on the basis of their compliance with the PSE Corporate Governance Guidelines as well as their adherence to rules and regulations of the PSE and the SEC.

For TPs, the selection goes through an Initial Regulatory Screening to review stockbrokerage firms' compliance with relevant laws, rules, and regulations of the PSE, the SEC, CMIC and the SCCP. The panel of judges also evaluate TPs on the basis of their programs to help educate the public about the stock market as well as any investor awareness and protection measure they undertake.

The members of the distinguished Bell Awards Panel of Judges for 2014 represented prominent personalities from the government, the diplomatic corps, and the academe who were selected for their independence, integrity and commitment to corporate governance.



The PSE has been active in responding to TP requests to access the testing environment, providing support during their system testing, answering their inquiries, and certifying the enhancements done on their FEOMS. The number of times that CCG subscribers have requested access in the testing environment has significantly increased by 40 percent. In 2014, the PSE also received and processed close to 1,600 TP requests including the activation of more trading and viewing accounts and terminals, PSE ID, RSA Security Token, Trading Floor Access, CCG Testing and conduct of PAM training.

All TP's incidents, problems and queries were reported via helpdesk@pse.com.ph or the TP hotline, 819-4450.

The Exchange also updated its PSETrade website, ensuring that it contains all the latest PSETrade-related memos, announcements, presentations, technical requirements, documentations, training schedules and schedule of events.

More efforts are lined up in 2015 to provide better service TPs and help facilitate compliance with the membership requirements of the Exchange.

Trading Participant Service Tracking System

Carrying on the momentum from the systems improvement efforts in 2013 through PSE EDGE's compliance reporting facility, the Exchange continued its initiatives towards further professionalizing operational procedures related to the administration of Trading Rights and Trading Participants (TP). The PSE implemented its TP service tracking system in October to ensure that trading participants are provided with the appropriate assistance and timely response pertaining to TP's membership matters and concerns with the Exchange.

Rules Governing Trading Participants

Similarly, the PSE embarked on an extensive review of TP compliance in line with ensuring the effective and proper enforcement of the Rules Governing Trading Rights and Trading Participants (TP Rules). Compliance to the TP Rules aids in fostering a fair, transparent and business-friendly environment for all trading participants of the Exchange.

PAM System

By the end of 2014, another 59 trainees were certified as users of the Poste D'Access Aux Marche (PAM) System, bringing the total number of PAM Certified Users to 970 at the end of 2014. PAM is an order and trade management tool provided by the Exchange for TPs. The certification is offered to TP personnel who are preparing to be licensed traders and who want to learn about the trading system, trading rules, and order execution/management using the PAM System. Forty-four percent of the newly certified PAM users already have PAM accounts or trading accounts and are now trading at the Exchange.

As a result, the total number of PAM accounts has increased by 3 percent from 2013.

Customer Common Gateway

There were two additional Customer Common Gateway (CCG) subscribers in 2014. The CCG allows the Trading Participants to connect their own Front-End Order Management System (FEOMS) to the Exchange as well as provide the capacity to offer online trading services to their investors.

WORKING TOGETHER FOR CAPITAL MARKET DEVELOPMENT

Partnership with PCCI

The Capital Market Development Committee (CMDC) and the Philippine Chamber of Commerce and Industry (PCCI) formalized its partnership to work together for the development and promotion of the capital market by signing a Memorandum of Understanding during the 40th Philippine Business Conference and Expo of PCCI held on October 22 at the Manila Hotel. The two institutions committed to develop and promote the Small, Medium and Emerging Board of the Exchange as a venue for listing and to conduct market education programs to help expand the retail investor base of the stock market.



CMDC and PCCI Officials at the MOU signing for capital market development

Partnership with DBP

The PSE and the Development Bank of the Philippines (DBP) inked a Memorandum of Agreement (MOA) on April 7 to jointly undertake capital market development initiatives. Among the areas for cooperation between both parties include the holding of Listing 101 Forums for DBP's clients and holding market education sessions for DBP employees.

Among the early offshoots to the MOA was the conduct of the listing forum entitled "PSE-DBP Equity Financing for Rural Banks and Microfinance Institutions" held on November 20. The forum was attended by CEOs and top level executives from 21 financial institutions.

Sports and wellness program for PSE employees



Night of glitz, glam, and fun at the PSE Gatsby Christmas Party



Recreation and relaxation time for PSE employees

Keeping the PSE on track to meet its goals and realize its strategic plan are its employees. Recognizing the vital role of people behind the company, the Exchange provided programs and activities that will promote their holistic well-being.

PROMOTING EMPLOYEE GROWTH

Workplace Wellness

To maintain a healthy and productive workforce, the Exchange provided the following health care programs and carried out activities to engage its employees to give importance to physical fitness:

- Hepatitis B vaccination for all employees
- Flu vaccination for all employees, including their dependents and interested trading participants
- Health Benefits Orientation conducted by Philam Life and Intellicare
- Zumba sessions at the Brokers' Lounge
- Basketball Tournament at the Makati Guadalupe Viejo Sports Gym
- Bowling Tournament at the Coronado Lanes at EDSA Starmall in Mandaluyong
- Badminton Tournament at the Powersmash Badminton Court, Makati City

Employee Socials and Events

The PSE held events and programs for employees to foster camaraderie and fun at the work place. These programs include the summer outing held at the Graceland Estates and Country Club in Tayabas, Quezon and the much anticipated Halloween Party where the employees' creativity through creative costume designs was exhibited. Meanwhile, the PSE Christmas Party held at the

Dusit Thani Manila Hotel, served as a fitting ending to a productive year with a party Gatsby style. In addition, the company also held quarterly socials led by PSE President & CEO Hans B. Sicat who also gave timely updates about the achievements of the company.

Code of Ethics and Business Conduct and Social Media Policy

Considering its role and reputation in the capital markets, the PSE believes that its conduct as an organization and that of its officers and employees should be beyond reproach. To this end, the Exchange developed and rolled out its Code of Ethics and Business Conduct. Based on global best practices, the Code covers areas such as regulatory compliance, conflict of interest, personal and insider trading, gift policy, protection and authorized use of company resources, and employee safety and welfare.

Given the popularity of social media and the risk of inappropriate conduct in social networking sites that may inadvertently affect the standing of the Company, the PSE also released a Social Media Policy for employees. The Exchange had a policy briefing for all employees to explain how social media should be responsibly used by the Company and its employees both in their official and personal capacities.

Job Ranking Evaluation

In 2014, the PSE completed a job evaluation study that aimed to objectively determine the relative ranking of jobs, both benchmark and non-benchmark, across all divisions of the Company. Towers Watson, a leading global professional services company offering services in the areas of benefits and talent management, was tapped by the PSE to conduct the study.



Running enthusiasts during the 10th PSE Bull Run



Turnover of classrooms in Typhoon Yolanda-stricken areas built by the PSE, the PSE Foundation, Philam Foundation, and SM Foundation



CONTRIBUTING TO SOCIAL WELFARE AND GROWTH

Among the corporate values of the PSE is corporate responsibility in promoting market growth hand in hand with community welfare. The Exchange achieves this by always looking for opportunities to educate Filipinos about the value of saving and investing to secure their financial future. It is also mindful of its role to reach out to communities in need of help and support. A conduit of the Exchange in this undertaking is its corporate social responsibility arm, the Philippine Stock Exchange Foundation, Inc. (PSEFI).

School Buildings for Typhoon Yolanda-stricken Communities

To contribute to the country's rebuilding efforts for the communities that were severely affected by Typhoon Yolanda, the PSE entered into partnerships that paved the way for the construction of school buildings.

The PSE teamed up with SM Foundation and SM Prime Holdings to build a two-storey, four-classroom building for the students of the San Roque Elementary School in typhoon-stricken Tanauan, Leyte. The school building was formally presented to school officials and students in February 2015.

Together with Philam Foundation, the PSE also turned-over a one-storey, two classroom building to Sta. Fe Central Elementary School in Bantayan Island, Cebu.

The Exchange used a portion of the donations received from stock exchanges in the region and trading participants to fund the school

PSE "Build Run" 2014

Thousands of running enthusiasts participated in the PSE Bull Run held on February 16 at the Bonifacio Global City in Taguig. In celebration of the run's 10th anniversary, the PSE Bull Run was made more special and unique by donating part of the event's proceeds to the rebuilding efforts in the communities affected by Typhoon Yolanda.

The 10th PSE Bull Run had five competitive categories, the 21K, 16K, 10K, 5K and 3K events. Claiming the top awards for the half marathon category were elite runners Rene Herrera and Luisa Yambao Raterta for the men's and women's division, respectively. Herrera finished with an official time of 1:15:49 while Raterta topped at 1:27:01.

The PSE Bull Run is the annual running event organized by the PSE as part of its advocacy campaign to raise awareness about the Philippine stock market.

Support for Capital Market Development

In support of capital market development, the PSE donated P90,000 to the FINEX-Capital Market Development Council (CMDC) for the operating expenses of the CMDC secretariat.

Computers and Tables for Schools

The PSE donated 38 used computers and 28 used staff tables to the following institutions:

- a. Fr. Al's Children Foundation, Inc. / The Sisters of Mary Girlstown Complex, Cavite – 28 Desktops and 23 tables
- b. Dilao Elementary School, Balayan, Batangas- 5 Desktops
- c. Our Lady of Consolacion Parish, Quezon City Seminary School- 5 Desktops and 5 tables



FORTIFYING FOUNDATIONS



The PSE makes sure that its systems are always in order and can withstand natural and man-made disruptions. It ensures that all possible vulnerabilities are addressed and that the business operates smoothly under the most stressful environments. Rules and regulations governing listed companies and trading participants are also constantly reviewed to ensure that the foundation remains solid to support a continually growing market.

ENTERPRISE RISK MANAGEMENT

The PSE fortified its enterprise risk management (ERM) framework in 2014 by re-assessing and updating the list of risks the Company faces across all units. More importantly, the risk management plan was enhanced with the identification of action plans, risk mitigating measures and commitments from all PSE units. Risk monitoring and reporting processes were also implemented through the development of Key Risk Indicators (KRIs), dashboards and risk management reports.

The ERM framework provides the Exchange with a comprehensive, systematic, and proactive approach to managing risks encountered by the PSE. The framework was developed based on best practices in risk management and governance, such as the model of the International Organization of Securities Commission (IOSCO).

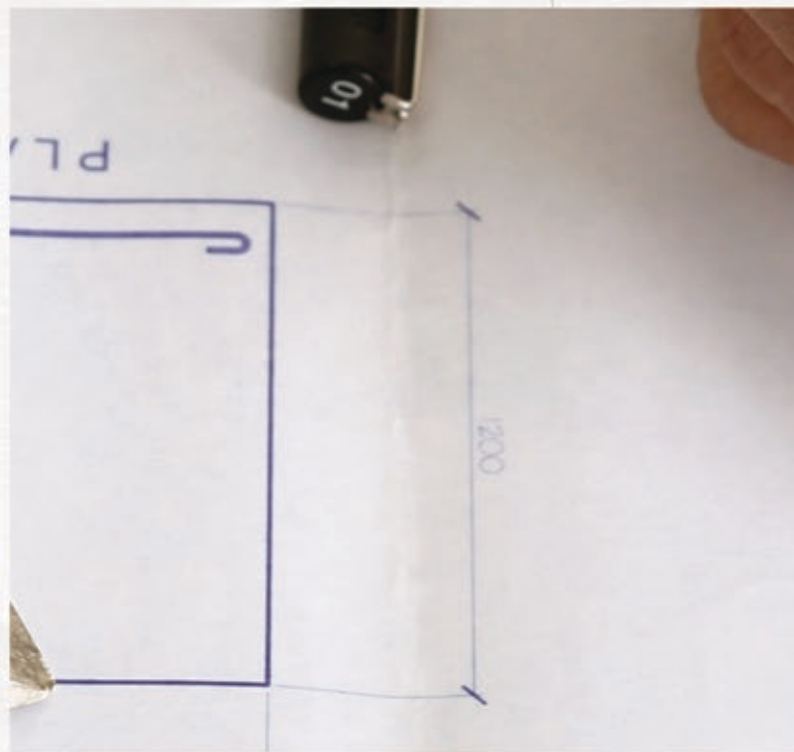
BUSINESS CONTINUITY MANAGEMENT

A key component of PSE's risk management plan is business continuity. To this end, the Exchange successfully completed its remote off-site testing of its Disaster Recovery site. The Disaster Recovery site is a secure and reliable facility located in a different topographic location and power grid. It is compliant with industry standards and best practices in terms of distance from primary data center, seismic zone and environment site details, accessibility, capacity for expansion, and network latency. It also has a Tier 3 certification. Power supply inside the facility is fully fault-tolerant and everything is dual-powered.

Throughout the year, the Company also had various disaster preparedness drills and seminars in its main office in Ayala and at the trading floor in Tektite.

The PSE also developed division-level business continuity plans in preparation for an enterprise-wide business continuity plan and broader business continuity testing involving the PSE, SCCP, trading participants and other market participants.

Lastly, the PSE also continued building its operations manual under its comprehensive SOP program. For 2014, 274 new Standard Operating Procedures were added to the Company's on-line SOP database. These SOPs are readily accessible to all employees for easy reference.



FINALIZATION OF THE RULES ON BACKDOOR LISTING

The PSE started the process of enhancing its Backdoor Listing Rules with the view of providing the public an opportunity to participate in fund raising activities of companies through backdoor listing. The enhanced rules should clarify the circumstances that trigger the requirement for public offering and as a result, to expand the obligations of listed companies consistent with the goal of promoting transparency and protecting the interest of the investing public. In 2014, the PSE has completed its consultations with various market participants and has conducted careful deliberation on all the comments and inputs received. The finalized Backdoor Listing Rules will be effective upon approval of the Commission.

RULES FOR COMPANIES UNDER FINANCIAL DISTRESS AND UNDER CORPORATE REHABILITATION

The PSE submitted to the SEC its proposed Rules for Companies under Financial Distress and Rules for Companies under Corporate Rehabilitation. Both rules are expected to provide additional safeguards to minority stockholders of companies experiencing financial problems and those undergoing corporate rehabilitation. The proposed rules aim to address the gap under the current Rehabilitation Guidelines which does not provide for an exit mechanism for the minority stockholders of companies under rehabilitation in view of the immediate suspension of the trading of these companies' shares. Although the existing Rehabilitation Guidelines provide for lifting of the trading suspension upon the occurrence of certain conditions, the price of the subject shares are expected to drastically drop upon commencement of the rehabilitation proceedings, leaving the stockholders with no option but to sell their shares at a huge discount or stay in a financially unstable company. The PSE conducted a survey of the rules of other jurisdictions to benchmark the PSE rules.

Under the Proposed Rules for Companies under Financial Distress, listed issuers that will become the subject of the following conditions shall be required to immediately disclose the following: (a) cessation of business operations for at least six months for any reason; (b) negative stockholders' equity; (c) delay in payment of loans amounting to at least ten percent of its total assets; and (d) adverse or qualified auditor's opinion on the financial statements of the company for three consecutive years.

Upon PSE's receipt of the relevant disclosure, the concerned issuer will be flagged as a company under financial distress in the PSE's trading reports as well as the issuer's stock information page on the PSE's website. An issuer may request for the removal of the notice of financial distress anytime within a period of three years by showing that the ground upon which the same was issued no longer subsists.

Under the proposed Rules for Companies under Corporate Rehabilitation, the PSE proposes to impose a trading suspension on the shares of the company five (5) trading days after the filing of the disclosure on corporate rehabilitation, as opposed to the existing PSE rehabilitation guidelines which call for the immediate imposition of a trading suspension on the shares of a company upon receipt of the company's relevant disclosure.

The proposed Rules for Companies under Corporate Rehabilitation also incorporates the possible rehabilitation schemes envisioned in the Financial Rehabilitation and Insolvency Act of 2010 namely, court supervised rehabilitation initiated either by the debtor or the creditor; pre-negotiated rehabilitation; and informal or out-of-court rehabilitation.

RECONCILIATION OF LISTED COMPANIES' SHARES

In 2014, the PSE continued its tracking of listed companies with significant discrepancies between the number of their issued, outstanding and listed shares. This is to ensure that all listed companies comply with the PSE Listing Rules which mandate that all issued and outstanding shares of a listed company are applied for listing. Following the approval by the PSE of the proposed Implementing Guidelines for Listing of Issued and Outstanding Shares of Listed Companies, the PSE completed consultations with market participants and conducted careful deliberation on the comments and inputs received.

The Guidelines aim to provide specific periods of filing of the relevant listing applications and the corresponding sanctions for any violations of the PSE requirements. The finalized Guidelines will be effective upon approval by the SEC.



CONTINUING EDUCATION FOR CORPORATION INFORMATION AND COMPLIANCE OFFICERS

The Exchange continued to intensify its campaign to educate and assist listed companies in complying with the Listing and Disclosure Rules.

In the annual seminars conducted for the listed companies' Corporate Information and Compliance Officers, the Exchange emphasized the responsibilities of the directors and principal officers of listed companies and discussed the frequently violated provisions of the Disclosure Rules, and related new and proposed amendments to existing rules. Recent developments on reports required by the SEC and PSE on corporate governance programs and practices of listed companies were likewise highlighted in the seminars.

In addition to the annual Listing and Disclosure Rules seminar, the Exchange conducted trainings for the authorized users of the PSE EDGE. These trainings were held to assist listed companies in complying with good disclosure practices.

BROKER ANONYMITY

The PSE has been preparing the market and various systems for the implementation of broker anonymity, or the practice of not showing the broker identifiers involved in trades matched at the PSE trading engine. The adoption of broker anonymity is aimed at encouraging more liquidity, preventing "herd" mentality, and reducing bid-ask spreads. Broker anonymity is targeted to be launched after the implementation of the PSEtrade XTS.

The move to a broker anonymous environment will align the country's trading to the practices of several stock markets in the United States, Europe, Australia, New Zealand, Japan, Hong Kong, Singapore, Malaysia, and Thailand.



ACTIVITIES CENTRALIZED SUPERVISION SYSTEM (ACCESS PSE)

To further utilize technology in office processes, the Company adopted an automated project management system called ACCESS PSE. This system is a cloud-based application that will serve as a user-friendly and portable version of the Company's electronic database for tracking activities that is currently being used by the Exchange.

ACCESS PSE is designed to allow users to immediately provide updates to an activity and simultaneously enable Management to access and view these through real-time notifications. The application shall also help the Exchange in monitoring the actual progress of all activities and generate more in-depth reports as soon as needed.

The implementation of ACCESS PSE is expected to start by the second quarter of 2015.

PSE OFFICE-WIDE DIGITIZATION PROJECT

To ensure the security, survivability and preservation of records and improve PSE's record monitoring and retrieval processes, the Company continues to embark on digitizing its trading- and operations-related records.

An estimated 700,000 pages of records from various departments are expected to be scanned and transferred to a Document Management System that will serve as the storage and retrieval facility of the Exchange's digital records.

The digitization project began in 2011 with the scanning of the PSE Library's historical records. These files have been accessible to library visitors since 2012 through the Electronic Search and Access Facility of the PSE Library.

Phase 2 of the project, which involves the implementation of a Records Management Framework, is expected to be completed by the first half of 2015.

IMPROVED SUPPLIER ACCREDITATION SYSTEM

To address risk management concerns, the Exchange improved its supplier accreditation system by enhancing the requirements for suppliers and establishing a framework for monitoring suppliers, checking duplicate and blacklisted suppliers, determining the financial capacity of the supplier, and requiring the supplier to submit any related insurance coverage that will help protect PSE against breaches and negligence by suppliers.

BUILDING A REPUTATION OF EXCELLENCE

AAA TRIANGLE
PHILIPPINE
STOCK
EXCHANGE

PSE President & CEO Hans B. Sicat receiving the Corporate Director of the Year Award at the 10th Corporate Governance Recognition Awards



PSE President & CEO Hans B. Sicat accepting the IABC PH CEO Excel Award



The PSE Annual Report 2013 winning the Philippine Quill Awards for Excellence



The PSE received various recognitions for its corporate governance initiatives and programs. It was among the Top 50 listed companies in the Philippines in the 2013-2014 run of the ASEAN Corporate Governance Scorecard as rated by corporate governance peer reviewers in the ASEAN.

It was conferred the Outstanding Company on Corporate Governance at the 10th Corporate Governance Asia Recognition Awards by Corporate Governance Asia. The Exchange was also a finalist in the Corporate Governance Company of the Year Category of the 2014 Asia CEO Awards.

PSE President & CEO Hans B. Sicat also received several awards in 2014. He was among the recipients of the Asia's Best CEO for Investor Relations award during the 4th Asian Excellence Recognition Awards 2014 in April and the Corporate Director of the Year award at the 10th Corporate Governance Asia Recognition Awards 2014. Both awards were given by Hong Kong-based Corporate Governance Asia.

Mr. Sicat was also conferred the CEO (Communication Excellence in Organizations) Excel Award 2014 by the International Association of Business Communicators (IABC) Philippines.

The PSE bagged awards from two of the country's most prestigious organizations for its Annual Report 2013 entitled "All the Right Pieces." It was given an Excellence award in the Publications category of the Philippine Quill Awards 2014. The Philippine Quill Awards, given by IABC Philippines, recognizes organizations and corporations that made exemplary use of communication to achieve business goals. The annual report was also among the winners at the 50th Anvil Awards given by the Public Relations Society of the Philippines.





INFRASTRUCTURE SUPPORT

SECURITIES CLEARING CORPORATION OF THE PHILIPPINES

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary of the Philippine Stock Exchange, Inc. (PSE) and is under the regulatory supervision of the SEC. It was incorporated on January 23, 1996 to operate as a central securities clearing institution in the Philippines and to manage and support the clearance of trades in securities listed and executed on the PSE or other official securities market in the Philippines. It acts as a central counterparty to trades executed at the PSE.

SCCP started its commercial operations on January 3, 2000 and was granted its permanent license to operate on January 17, 2002. It is authorized by the SEC to impose fines and penalties and other sanctions as approved by the SCCP Board of Directors to ensure compliance of its Clearing Members.

Financial Performance

As the market saw trading activity dip in 2014 due to concerns at the start of the year on US Fed's tapering and the slowdown in the Chinese market, the SCCP registered an 18 percent drop in its net income from P345.4 million in 2013 to P281.5 million in 2014. The service fees earned by SCCP declined by 16.34 percent to P380.4 million in 2014 from P454.7 million in 2013 for the same reason. The average daily value turnover of equity investments dropped by a similar percentage to P8.80 billion from P10.52 billion in 2013.

SCCP paid out cash dividends to the PSE on May 30 amounting to P20.0 million. This was in addition to the P310.0 million cash dividends declared in December 2013 and paid on January 17.

On December 10, the SCCP Board approved the declaration of cash dividends totaling P245.0 million to stockholders payable on March 12, 2015.

Clearing and Settlement Operations

Clearing Members continued to adhere to the 12:00 noon settlement deadline for the delivery of both their cash and securities obligations to SCCP, achieving a higher average compliance rate of 99.98 percent from 99.96 percent in 2013. There were no overnight fails during the year.

SCCP's time of release of the cash and securities entitlements to the Clearing Members also improved. From an average of 12:38 p.m. in 2013, Clearing Members' entitlements were released in 2014 by the SCCP on average by 12:32 p.m., allowing Clearing Members to release much earlier the cash and securities entitlements of their client investors.

Mark to Market Collateral Requirements

In 2014, the Clearing Members complied 100 percent with the T+1 12:00 p.m. deadline for the submission of SCCP's mark to market collateral requirements to cover their negative exposures. Acceptable collateral are cash, securities comprising the PSEi, and PSE shares. The SCCP also requires the early delivery of the securities which caused the negative exposure. Securities used as collateral are imposed a 20 percent haircut to serve as a buffer against any price change on the securities collateral delivered by the clearing members.

New Settlement Banks

In 2014, the SCCP Board approved the requests of Asia United Bank (AUB) and China Banking Corporation to undergo the accreditation process to become settlement banks of SCCP. In March 2015, the SCCP signed a memorandum of agreement with AUB to officially mark the accreditation of AUB as a settlement bank that will support the SCCP in the secure and timely processing of payments and disbursement of funds with clearing members of the SCCP.

The SCCP's Contribution to the Clearing and Trade Guaranty Fund

As a reflection of its commitment to its role as a central counterparty, the SCCP contributed an additional P10 million to the Clearing and Trade Guaranty Fund (CTGF) by way of appropriation of its retained earnings in May. The amount is to be used solely for settlement of trade obligations of defaulting clearing members. This brings to P50 million the contribution of SCCP to the CTGF as of December 31.

BIR Award

SCCP was given a Plaque of Appreciation during awarding ceremonies held at the Makati Sports Club on February 18 for placing third "Top Corporate Collection Contributor with the highest Recorded Tax Payments for CY 2013" for Revenue Region No. 8, Revenue District No. 50 – South Makati.

Participation in the 11th Asia-Oceania Central Counterparties Meeting

The SCCP participated in the 11th Asia-Oceania Central Counterparties (AOCCP) meeting from October 30 to November 1 in Yogyakarta, Indonesia. Representatives of clearing houses, which are all central counterparties, shared the progress of each respective market on various issues and aspects related to CCP development in the region. The meeting provided participants the opportunity to learn and gain insights from their peers in the regions in the areas of risk management, improving operating efficiency and cutting down cost of operations.

IOSCO Principles Training Seminar

SCCP participated in the 7th AMCC Training Seminar on Implementing International Organization of Securities Commissions (IOSCO) Principles conducted from April 8 to 10 at the Tokyo Stock Exchange. Aside from IOSCO officers, there were speakers from organizations like Financial Industry Regulatory Authority in the United States, Australian Securities and Investments Commission and Bombay Stock Exchange.

IOSCO is the acknowledged international body that brings together the world's securities regulators and is recognized as the global standard-setter for the securities sector. Member agencies of IOSCO develop, implement, and promote adherence to internationally recognized standards for securities regulation.

Implementation of Central Bank Money for Settlement of Equities Trades

SCCP has been in a series of preliminary discussions with the SEC and the Bangko Sentral ng Pilipinas (BSP) regarding the BSP's proposal to use Central Bank money for equities settlements to conform to IOSCO Principle 9 on Money Settlements.

Depository Project

Preparatory to the commencement of the depository operations, SCCP conducted the following:

1. Functional hands-on trainings to operations and back-office personnel of Clearing Members and Custodian Banks in January, February, June and July.
2. Market Briefing and Information Campaign to authorized representatives of other Financial Institutions on July 30.
3. Functional orientation seminar and hands-on trainings to operations and back-office personnel of other Financial Institutions in August.
4. Administrator training for Custodian Banks and other Financial Institutions in September.

This project is being evaluated in the context of the offer of the PSE to acquire the shares of shareholders of PDS, the operator of the Philippine Depository & Trust Corp.

Annual Credit Review of Settlement Banks

Since majority of settlements of equity trades are done through the commercial banking system, SCCP annually conducts a formal credit review of its local Settlement Banks in addition to its regular monitoring throughout the year.

The 2014 credit review of Settlement Banks covered the banks' creditworthiness, liquidity, adherence to the capital adequacy ratio requirement of the BSP, quality of loan portfolio and technical and operational capability. SCCP uses banks' audited financial statements, press releases during the year 2013, the banks' annual reports, disclosures to the PSE and verifications made with their Corporate Planning Head, Investor Relations Officer or Financial Institutions Group credit officer. SCCP likewise referred to the BSP's annual report and news releases for their assessment of the banking industry.

The annual credit review of the banks' 2013 performance confirmed that SCCP's financial partners are liquid and well capitalized above the minimum capital adequacy ratio requirements and have adequate buffers against potential credit losses.

Business Continuity and Disaster Recovery Testing

As it had consistently done so in the past, SCCP successfully conducted its quarterly testing of its Business Continuity and Disaster Recovery (BC/DR) plan in 2014. This included SCCP's participation in the PSE Enterprise-wide offsite BCP testing conducted in August where full cycle testing was performed.

Certificate of Compliance on General Labor Standards and Occupational Safety and Health Standards

The Department of Labor and Employment issued a Certificate of Compliance on General Labor Standards and Occupational Safety and Health Standards to SCCP on October 1.

Updates to SCCP's Manual of Corporate Governance

SCCP revised its Manual of Corporate Governance to the SEC in compliance with the SEC Memorandum Circular No. 9, series of 2014, and submitted same to the SEC on July 30.

PSE's New Trading System Project

In line with the testing of PSE's new trading system, SCCP came up with test scripts to verify correctness and accuracy of end-of-day reports and data file extracts and its conformance to the current requirements. Actual component testing started in January 2015.

SECURITIES CLEARING CORPORATION OF THE PHILIPPINES

BOARD OF DIRECTORS AND OFFICERS



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Chairman-Independent Director



HANS B. SICAT
President and Chief
Executive Officer, Director



WILLIAM L. ANG
Director



EMMANUEL O. BAUTISTA
Director



ANABELLE L. CHUA
Director



FRANCIS CHUA
Director



DAKILA B. FONACIER
Independent Director



EDDIE T. GOBING
Director



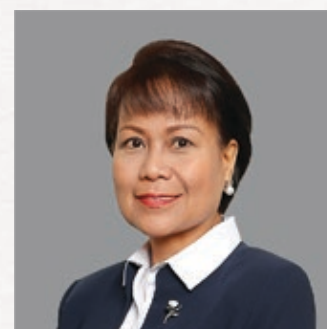
AMOR C. ILISCUPIDEZ
Director



CORNELIO T. PERALTA
Independent Director



ALEJANDRO T. YU
Director



OMELITA J. TIANGCO
Treasurer



RENEE D. RUBIO
Chief Operating Officer



AISSA V. ENCARNACION
Corporate Secretary

CAPITAL MARKETS INTEGRITY CORPORATION

BOARD OF DIRECTORS AND OFFICERS



DAKILA B. FONACIER
Chairman



CORNELIO C. GISON
President



PAUL P. SAGAYO, JR.
Independent Director
and Corporate Secretary



VIRGINIA T. OBCENA
Independent Director



ANDREW JEROME T. GAN
Director



**MARIA FARAH
NICOLAS-SUCHIANCO**
Director



KATHERINE L. SHIH
Director



OMELITA J. TIANGCO
Treasurer



JENNIFER B. REYES
Assistant
Corporate Secretary



GRACE M. CALUBAQUIB
Assistant Vice President and
Head, Surveillance Department

CAPITAL MARKETS INTEGRITY CORPORATION

The Capital Markets Integrity Corporation (CMIC) is the independent audit, surveillance and, compliance unit of the Philippine Stock Exchange, Inc. (PSE). The CMIC is principally responsible for carrying out the Self-Regulatory Organization (SRO)'s enforcement role pursuant to the securities law. It was incorporated on March 14, 2011 and granted SRO status by the SEC on February 2, 2012.

The CMIC is composed of three major departments, all contributing to fulfill the group's role to safeguard the investing public's interests and maintain the market's integrity the Surveillance Department (SD); the Audit and Compliance Department (ACD); and the Investigation and Enforcement Department (IED).

Surveillance

The SD, which monitors daily market activities, identifies irregularities in the market and investigates unfair trading practices, investigated a total of 87 cases, 16 of which were referred to the IED for further investigation.

Audit and Compliance

The ACD, through its Regular Examination Unit, completed its regular audit of all trading participants (TPs) in 2014. By year end, 70 percent of the TPs had no material violations, a positive indicator of the CMIC's ultimate goal of strengthening the capital markets industry. On the other hand, the ACD's Risk Management Unit, which takes care of determining TPs' compliance with the Risk Based Capital Adequacy Ratio (RBCA) and their Reserve Requirement, among other requirements, was able to conduct spot audits on 57 TPs, 76 percent of which had no material violations.

Investigation and Enforcement

The IED, which conducts investigations and inquiries to determine possible violations of pertinent securities laws, resolved 10 investor complaints and 34 endorsed cases involving purported trading-related irregularities, unusual trading activities, and other securities laws violations. In 2014, the IED also received and consequently investigated eight new cases filed by investors and 16 new cases endorsed by the SD, 14 of which were endorsed to the Securities and Exchange Commission (SEC) for further investigation and/or appropriate action.

In December, the CMIC took over the books, records and trade-related assets of a TP, pursuant to the Rules on Suspension of Trading Operations, in relation to the Rule on Protection of Customer Accounts in Case of Business Failure of a Trading Participant.

CMIC Website

On March 28, the website of the CMIC, www.cmic.com.ph, was officially launched. The CMIC website provides an avenue for a judicious exchange of information among TPs, the investing public, and the CMIC.

Investors' Symposium

Simultaneous with the launching of the website, the CMIC conducted its first Investors' Symposium on March 28, in line with its mandate to develop and protect the interests of the investing public. The symposium was attended by investors and representatives of several investors' organizations. A presentation on current industry practices and a discussion of the rules relevant to the capital markets industry, including a brief discourse on manipulative practices and other trading irregularities, were made during the symposium.

Seminars and Trainings

The CMIC also conducted an 11-day seminar on RBCA computation, which was attended by 227 participants representing 123 TPs. Several personnel from the CMIC took active roles as lecturers in the series of certification seminars for Associated Persons (APs) being regularly conducted by the SEC.

In addition, the CMIC continued to provide training for its staff to equip them with the capabilities to adhere to the corporation's core standards and values of professionalism, integrity, teamwork, competence, honesty, and fairness. Accordingly, a seminar on the relevance of the Anti-Money Laundering Act (AMLA) to securities laws was attended by all the CMIC employees and officers. In April, the CMIC President attended the International Organization of Securities Commissions Affiliate Members Consultative Committee's (IOSCO AMCC) Mid-year Meeting and its 7th Training Seminar held in Tokyo, Japan.

CMIC likewise sent two of its surveillance analysts from the SD to the Korea Exchange in Seoul, South Korea to participate in the continuing training relative to the Total Market Surveillance, the CMIC's surveillance system developed to be responsive to the conditions of the Philippine stock market.

In October, the Head of the SD participated in a seminar on supervision of self-regulatory organizations and financial market infrastructures held in Bandar Seri Begawan, Brunei.

CMIC Management and Amendment of Rules

To enhance the participation of industry stakeholders, the CMIC sought amendments to its articles of incorporation and by-laws to include among its board of directors additional members who are knowledgeable about the capital markets and the stock brokerage business. The CMIC's board of directors currently has a full complement of seven directors. In addition, the CMIC started revising its rules to further strengthen its capacity and effectiveness in enforcing them.

The CMIC continues to work towards a capital market industry that is fundamentally objective, integrally dynamic, and essentially progressive.





LISTED COMPANIES STATISTICS & DIRECTORY

2014 TOP 25 COMPANIES BY MARKET CAPITALIZATION

TABLE: 11

COMMON SHARES

RANK	ISSUE	CODE	MARKET CAPITALIZATION (IN PHP)
1	MANULIFE FINANCIAL CORPORATION	MFC	1,578,718,665,216.00
2	SUN LIFE FINANCIAL INC.	SLF	940,054,759,340.00
3	SM INVESTMENTS CORPORATION	SM	649,017,626,490.00
4	PHILIPPINE LONG DISTANCE TELEPHONE COMPANY	TEL	627,858,082,150.00
5	SM PRIME HOLDINGS, INC.	SMPH	492,100,499,489.76
6	AYALA LAND, INC.	ALI	478,219,467,100.60
7	JG SUMMIT HOLDINGS, INC.	JGS	463,134,649,362.00
8	AYALA CORPORATION	AC	429,888,689,488.00
9	UNIVERSAL ROBINA CORPORATION	URC	427,574,378,868.00
10	BDO UNIBANK, INC.	BDO	393,180,111,014.40
11	BANK OF THE PHILIPPINE ISLANDS	BPI	369,334,496,942.00
12	ABOITIZ POWER CORPORATION	AP	315,684,124,770.30
13	ABOITIZ EQUITY VENTURES, INC.	AEV	291,883,234,878.90
14	MANILA ELECTRIC COMPANY	MER	288,537,268,480.00
15	INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.	ICT	234,147,228,900.00
16	ALLIANCE GLOBAL GROUP, INC.	AGI	231,584,620,926.45
17	GLOBE TELECOM, INC.	GLO	229,624,418,940.00
18	JOLLIBEE FOODS CORPORATION	JFC	229,359,890,850.00
19	METROPOLITAN BANK & TRUST COMPANY	MBT	227,818,488,478.00
20	DMCI HOLDINGS, INC.	DMC	208,456,279,000.00
21	GT CAPITAL HOLDINGS, INC.	GTCAP	179,877,600,000.00
22	SAN MIGUEL CORPORATION	SMC	175,507,110,889.20
23	EMPERADOR, INC.	EMP	155,700,000,000.00
24	ENERGY DEVELOPMENT CORPORATION	EDC	153,750,000,000.00
25	SEMIARA MINING AND POWER CORPORATION	SCC	151,762,500,000.00

2014 TOP 25 PRICE GAINERS

TABLE: 12

COMMON ISSUES

RANK	ISSUE	CODE	2014 CLOSE [IN PHP]	2013 CLOSE [IN PHP]	% CHANGE
1	ISLAND INFORMATION & TECHNOLOGY, INC.	IS	0.305	0.209	951.72
2	PREMIUM LEISURE CORP.	PLC	2.13	0.270	688.89
3	CENTRAL AZUCARERA DE TARLAC, INC.	CAT	89.20	12.52	612.46
4	IRIPPLE, INC.	RPL	70.00	11.00	536.36
5	MAX'S GROUP, INC.	MAXS	24.55	7.50	227.33
6	NICKEL ASIA CORPORATION	NIK1	47.60	15.20	213.16
7	SOUTHEAST ASIA CEMENT HOLDINGS, INC.	CMT	2.74	0.97	182.47
8	INTEGRATED MICRO-ELECTRONICS, INC.	IMI	6.77	2.50	170.80
9	D&L INDUSTRIES, INC.	DNL	16.66	6.30	164.44
10	MACAY HOLDINGS, INC.	MACAY	46.50	18.12	156.62
11	DOUBLEDRAAGON PROPERTIES CORP.	DD	7.50	3.00	150.00
12	VICTORIAS MILLING COMPANY, INC.	VMC	4.58	1.90	141.05
13	CONCEPCION INDUSTRIAL CORPORATION	CIC	43.00	18.85	128.16
14	MARCVENTURES HOLDINGS, INC.	MARC	6.70	2.95	127.12
15	ATN HOLDINGS, INC. "B"	ATNB	2.70	1.26	114.29
16	ATN HOLDINGS, INC. "A"	ATN	2.64	1.27	107.87
17	FEDERAL RESOURCES INVESTMENT GROUP, INC.	FED	16.60	8.00	107.50
18	MEDCO HOLDINGS, INC.	MED	0.420	0.205	104.88
19	OMICO CORPORATION	OM	0.74	0.365	102.74
20	DA VINCI CAPITAL HOLDINGS, INC.	DAVIN	1.74	0.86	102.33
21	PREMIERE HORIZON ALLIANCE CORPORATION	PHA	0.60	0.300	100.00
22	STARMALLS, INC.	STR	7.20	3.62	98.90
23	ABRA MINING AND INDUSTRIAL CORPORATION	AR	0.0063	0.0032	96.88
24	2GO GROUP, INC.	2GO	3.34	1.70	96.47
25	FIRST GEN CORPORATION	FGEN	25.50	13.06	95.25

2014 TOP 25 PRICE LOSERS

TABLE: 13

COMMON ISSUES

RANK	ISSUE	CODE	2014 CLOSE [IN PHP]	2013 CLOSE [IN PHP]	% CHANGE
1	AGRINURTURE, INC.	ANI	2.10	5.30	-60.38
2	GREENERGY HOLDINGS INCORPORATED	GREEN	0.490	1.10	-55.45
3	PHILIPPINE BANK OF COMMUNICATIONS	PBC	32.00	68.00	-52.94
4	THE PHILODRILL CORPORATION	OV	0.018	0.035	-48.57
5	GRAND PLAZA HOTEL CORPORATION	GPH	25.00	45.00	-44.44
6	TRANS-ASIA PETROLEUM CORPORATION	TAPET	4.20	7.40	-43.24
7	CHEMICAL INDUSTRIES OF THE PHILIPPINES	CIP	120.00	210.00	-42.86
8	PANASONIC MANUFACTURING PHILIPPINES CORPORATION	PMPC	4.02	6.49	-38.06
9	MACROASIA CORPORATION	MAC	2.45	3.95	-37.97
10	I-REMIT, INC.	I	1.82	2.86	-36.36
11	PHILEX PETROLEUM CORPORATION	PXP	5.04	7.77	-35.14
12	ATOK-BIG WEDGE COMPANY, INC.	AB	11.78	18.00	-34.56
13	JOLLIVILLE HOLDINGS CORPORATION	JOH	3.80	5.80	-34.48
14	NATIONAL REINSURANCE CORPORATION OF THE PHILIPPINES	NRCP	0.90	1.36	-33.82
15	DEL MONTE PACIFIC LIMITED	DMPL	15.48	22.70	-31.81
16	PHOENIX PETROLEUM PHILIPPINES, INC.	PNX	3.09	4.50	-31.33
17	GINEBRA SAN MIGUEL, INC.	GSMI	15.88	23.00	-30.96
18	ATLAS CONSOLIDATED MINING AND DEVELOPMENT CORPORATION	AT	10.20	14.54	-29.85
19	ANCHOR LAND HOLDINGS, INC.	ALHI	10.02	14.10	-28.94
20	DISCOVERY WORLD CORPORATION	DWC	1.80	2.48	-27.42
21	BOULEVARD HOLDINGS, INC.	BHI	0.105	0.143	-26.57
22	PHILIPPINE H2O VENTURES CORPORATION	H2O	4.85	6.52	-25.61
23	ASIA AMALGAMATED HOLDINGS CORPORATION	AAA	1.50	2.00	-25.00
24	PHILIPPINE SAVINGS BANK	PSB	106.00	140.00	-24.29
25	LEPANTO CONSOLIDATED MINING COMPANY "A"	LC	0.221	0.291	-24.11

2014 TOP 25 COMPANIES BY VALUE TRADED

TABLE: 14

REGULAR MARKET

RANK	ISSUE	CODE	VALUE TRADED (IN PHP) [REGULAR MARKET]
1	PHILIPPINE LONG DISTANCE TELEPHONE COMPANY	TEL	182,890,136,090
2	AYALA LAND, INC.	ALI	91,990,930,890
3	BDO UNIBANK, INC.	BDO	84,929,632,973
4	SM INVESTMENTS CORPORATION	SM	84,797,546,390
5	UNIVERSAL ROBINA CORPORATION	URC	80,129,260,703
6	ALLIANCE GLOBAL GROUP, INC.	AGI	75,574,283,570
7	METROPOLITAN BANK & TRUST COMPANY	MBT	70,466,127,355
8	AYALA CORPORATION	AC	65,944,614,665
9	SM PRIME HOLDINGS, INC.	SMPH	64,630,644,554
10	MEGAWORLD CORPORATION	MEG	62,015,549,638
11	BANK OF THE PHILIPPINE ISLANDS	BPI	39,659,384,140
12	ENERGY DEVELOPMENT CORPORATION	EDC	39,378,395,480
13	GT CAPITAL HOLDINGS, INC.	GTCAP	37,085,746,505
14	JG SUMMIT HOLDINGS, INC.	JGS	36,912,586,330
15	INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.	ICT	36,375,630,420
16	DMCI HOLDINGS, INC.	DMC	34,920,371,895
17	ABOITIZ POWER CORPORATION	AP	34,082,041,695
18	PUREGOLD PRICE CLUB, INC.	PGOLD	33,162,780,840
19	GLOBE TELECOM, INC.	GLO	29,562,977,750
20	BLOOMBERRY RESORTS CORPORATION	BLOOM	28,573,036,696
21	JOLLIBEE FOODS CORPORATION	JFC	27,301,917,107
22	SECURITY BANK CORPORATION	SECB	27,030,382,631
23	METRO PACIFIC INVESTMENTS CORPORATION	MPI	26,634,317,853
24	NICKEL ASIA CORPORATION	NIKL	26,338,628,640
25	ROBINSONS RETAIL HOLDINGS, INC.	RRHI	24,686,077,877

2014 TOP 25 COMPANIES BY TRADING FREQUENCY

TABLE: 15

REGULAR MARKET

RANK	ISSUE	CODE	NUMBER OF TRADES
1	SM PRIME HOLDINGS, INC.	SMPH	328,143
2	METROPOLITAN BANK & TRUST COMPANY	MBT	318,948
3	MEGAWORLD CORPORATION	MEG	283,970
4	AYALA LAND, INC.	ALI	276,687
5	PHILIPPINE LONG DISTANCE TELEPHONE COMPANY	TEL	263,861
6	BDO UNIBANK, INC.	BDO	259,185
7	UNIVERSAL ROBINA CORPORATION	URC	244,149
8	ALLIANCE GLOBAL GROUP, INC.	AGI	239,501
9	AYALA CORPORATION	AC	201,060
10	JOLLIBEE FOODS CORPORATION	JFC	192,297
11	ENERGY DEVELOPMENT CORPORATION	EDC	190,713
12	SM INVESTMENTS CORPORATION	SM	181,944
13	DOUBLEDRAON PROPERTIES CORP.	DD	159,748
14	PUREGOLD PRICE CLUB, INC.	PGOLD	158,837
15	METRO PACIFIC INVESTMENTS CORPORATION	MPI	157,902
16	DMCI HOLDINGS, INC.	DMC	153,369
17	D&L INDUSTRIES, INC.	DNL	151,355
18	ABOITIZ POWER CORPORATION	AP	149,598
19	BANK OF THE PHILIPPINE ISLANDS	BPI	141,837
20	BLOOMBERRY RESORTS CORPORATION	BLOOM	140,262
21	MANILA ELECTRIC COMPANY	MER	129,217
22	JG SUMMIT HOLDINGS, INC.	JGS	126,126
23	NICKEL ASIA CORPORATION	NIKL	125,587
24	LT GROUP, INC.	LTG	123,818
25	INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.	ICT	117,521

LISTED COMPANIES AND ISSUES AS OF YEAREND 2014

PHILIPPINE STOCK EXCHANGE

TABLE: 16

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
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FINANCIAL SECTOR

BANKS

Asiastream Development Bank, Inc.	ASIA	10.00	- no corporate website -
Asia United Bank Corporation	AUB	10.00	www.aub.com.ph
BDO Unibank, Inc.	BDO	10.00	www.bdo.com.ph
Bank of the Philippine Islands	BPI	10.00	www.bpi.com.ph
China Banking Corporation	CHIB	10.00	www.chinabank.ph
Citystate Savings Bank, Inc.	CSB	10.00	www.citystate.com.ph
Export and Industry Bank, Inc. "A"	EIBA	0.25	- no corporate website -
Export and Industry Bank, Inc. "B"	EIBB	0.25	- no corporate website -
East West Banking Corporation	EW	10.00	www.eastwestbanker.com
Metropolitan Bank & Trust Company	MBT	20.00	www.metrobank.com.ph
Philippine Business Bank	PBB	10.00	www.pbb.com.ph
Philippine Bank of Communications	PBC	25.00	www.pbcom.com.ph
Philippine National Bank	PNB	40.00	www.pnb.com.ph
Philippine Savings Bank	PSB	10.00	www.psb.com.ph
Philippine Trust Company	PTC	10.00	www.philtrustbank.com
Rizal Commercial Banking Corporation	RCB	10.00	www.rcbc.com
Security Bank Corporation	SECB	10.00	www.securitybank.com
Union Bank of the Philippines	UBP	10.00	www.unionbankph.com

OTHER FINANCIAL INSTITUTIONS

AG Finance, Incorporated	AGF	1.00	www.agfinance.ph
Bright Kindle Resources & Investments Inc.	BKR	0.55	www.brightkindle.com
BDO Leasing and Finance, Inc.	BLFI	1.00	www.bdo.com.ph/business/leasing-financing/about-us
COL Financial Group, Inc.	COL	1.00	www.colfinancial.com
First Abacus Financial Holdings Corporation	FAF	1.00	www.firstabacusfinancial.com.ph
Filipino Fund, Inc.	FFI	1.00	- no corporate website -
I-Remit, Inc.	I	1.00	www.myiremit.com
Medco Holdings, Inc.	MED	1.00	www.medco.com.ph
Manulife Financial Corporation	MFC	-	www.manulife.com
National Reinsurance Corporation of the Philippines	NRCP	1.00	www.nrmp.com.ph
The Philippine Stock Exchange, Inc.	PSE	1.00	www.pse.com.ph
Sun Life Financial Inc.	SLF	-	www.sunlife.com
Vantage Equities, Inc.	V	1.00	www.vantage.com.ph

INDUSTRIAL SECTOR

ELECTRICITY, ENERGY, POWER & WATER

Alsons Consolidated Resources, Inc.	ACR	1.00	www.acr.com.ph
Aboitiz Power Corporation	AP	1.00	www.aboitzpower.com
Energy Development Corporation	EDC	1.00	www.energy.com.ph
First Gen Corporation	FGEN	1.00	www.firstgen.com.ph
First Philippine Holdings Corporation	FPH	10.00	www.fphc.com
Philippine H2O Ventures Corporation	H2O	1.00	www.h2o.ph
Manila Electric Company	MER	10.00	www.meralco.com.ph
Manila Water Company, Inc.	MWC	1.00	www.manilawater.com
Petron Corporation	PCOR	1.00	www.petron.com
Phoenix Petroleum Philippines, Inc.	PNX	1.00	www.phoenixfuels.ph
SPC Power Corporation	SPC	1.00	- no corporate website -
Trans-Asia Oil and Energy Development Corporation	TA	1.00	www.transasia-energy.com
Vivant Corporation	WT	1.00	www.vivant.com.ph

ISSUE/SECURITY

CODE

PAR VALUE

WEBSITE

FOOD, BEVERAGE & TOBACCO

AgriNurture, Inc.	ANI	1.00	www.ani.com.ph
Bogo-Medellin Milling Company, Inc.	BMM	10.00	- no corporate website -
Central Azucarera de Tarlac, Inc.	CAT	10.00	www.luisitasugar.com
Century Pacific Food, Inc.	CNPF	1.00	www.centurypacific.com.ph
Del Monte Pacific Limited	DMPL	\$0.01	www.delmontepacific.com
D&L Industries, Inc.	DNL	1.00	www.dnl.com.ph
Emperador Inc.	EMP	1.00	www.emperadorbrandy.com
Alliance Select Foods International, Inc.	FOOD	1.00	www.allianceselectfoods.com
Ginebra San Miguel, Inc.	GSMI	1.00	www.ginebrasanmiguel.com
Jollibee Foods Corporation	JFC	1.00	www.jollibee.com.ph
Liberty Flour Mills, Inc.	LFM	10.00	www.libertygroup.com.ph
Macay Holdings, Inc.	MACAY	1.00	www.maybank.atrke.com
Max's Group, Inc.	MAXS	1.00	www.maxsgroupinc.com
San Miguel Pure Foods Company, Inc.	PF	10.00	www.sanmiguelpurefoods.com
Pepsi-Cola Products Philippines, Inc.	PIP	0.15	www.pepsiphilippines.com
Roxas and Company, Inc.	RCI	1.00	www.roxascompany.com.ph
RFM Corporation	RFM	1.00	www.rfmfoods.com
Roxas Holdings, Inc.	ROX	1.00	www.roxascompany.com.ph
Swift Foods, Inc.	SFI	1.00	- no corporate website -
Universal Robina Corporation	URC	1.00	www.urc.com.ph
Vitarich Corporation	VITA	1.00	www.vitarich.com
Victorias Milling Company, Inc.	VMC	1.00	www.victoriasmilling.com

CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES

Asiabest Group International Inc.	ABG	1.00	www.asiabestgroup.com
Concrete Aggregates Corporation "A"	CA	10.00	www.cac.com.ph
Concrete Aggregates Corporation "B"	CAB	10.00	www.cac.com.ph
Southeast Asia Cement Holdings, Inc.	CMT	0.35	- no corporate website -
Da Vinci Capital Holdings, Inc.	DAVIN	0.023	- no corporate website -
EEI Corporation	EEI	1.00	www.eei.com.ph
Federal Resources Investment Group, Inc.	FED	1.00	www.federalresourcesinv.com
Holcim Philippines, Inc.	HLCM	1.00	www.holcim.ph
Lafarge Republic, Inc.	LRI	1.00	www.lafarge.com.ph
Megawide Construction Corporation	MWIDE	1.00	www.megawide.com.ph
Phinma Corporation	PHN	10.00	www.phinma.com.ph
Philippine National Construction Corporation	PNC	10.00	www.pncc.ph
Supercity Realty Development Corporation	SRDC	1.00	www.supercity.com.ph
TKC Steel Corporation	T	1.00	www.tkcmetals.com.ph
Vulcan Industrial & Mining Corporation	VUL	1.00	vulcanminingandpetroleum.webs.com

CHEMICALS

Chemical Industries of the Philippines	CIP	10.00	www.chemphil.com.ph
Chemrez Technologies, Inc.	COAT	1.00	www.chemrez.com
Euro-Med Laboratories Philippines, Inc.	EURO	1.00	www.euromedlab.net
LMG Chemicals Corporation	LMG	1.00	www.chemphil.com.ph
Metro Alliance Holdings & Equities Corporation "A"	MAH	1.00	- no corporate website -
Metro Alliance Holdings & Equities Corporation "B"	MAHB	1.00	- no corporate website -
Mabuhay Vinyl Corporation	MVC	1.00	www.mvc.com.ph
Pryce Corporation	PPC	1.00	www.prycegardens.com

ELECTRICAL COMPONENTS & EQUIPMENT

Cirtek Holdings Philippines Corporation	CHIPS	1.00	www.cirtekholdings.com
Concepcion Industrial Corporation	CIC	1.00	www.cic.ph
Greenergy Holdings Incorporated	GREEN	1.00	www.ghi.com.ph
Integrated Micro-Electronics, Inc.	IMI	1.00	www.global-imi.com
Ionics, Inc.	ION	1.00	www.ionicsgroup.com
Panasonic Manufacturing Philippines Corporation	PMPC	1.00	www.panasonic.com/ph/
Phoenix Semiconductor Philippines Corp.	PSPC	1.00	www.pspc.com.ph

OTHER INDUSTRIALS

Filsyn Corporation "A"	FYN	5.00	www.filsyncorp.com
Filsyn Corporation "B"	FYNB	5.00	www.filsyncorp.com
Picop Resources, Inc.	PCP	1.00	- no corporate website -
Splash Corporation	SPH	1.00	www.splash.com.ph
Steniel Manufacturing Corporation	STN	1.00	- no corporate website -

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
HOLDING FIRMS SECTOR			
Asia Amalgamated Holdings Corporation	AAA	1.00	- no corporate website -
AbaCore Capital Holdings, Inc.	ABA	1.00	www.abacorecapital.com
Ayala Corporation	AC	50.00	www.ayala.com.ph
Aboitiz Equity Ventures, Inc.	AEV	1.00	www.aboitiz.com
Alliance Global Group, Inc.	AGI	1.00	www.allianceglobalinc.com
A. Soriano Corporation	ANS	1.00	www.anscor.com.ph
Anglo Philippine Holdings Corporation	APO	1.00	www.anglophil.com
ATN Holdings, Inc. "A"	ATN	1.00	www.atnholdings.com
ATN Holdings, Inc. "B"	ATNB	1.00	www.atnholdings.com
BHI Holdings, Inc.	BH	100.00	www.bhi-holdings.com
Cosco Capital, Inc.	COSCO	1.00	www.coscocapital.com
DMCI Holdings, Inc.	DMC	1.00	www.dmciholdings.com
Filinvest Development Corporation	FDC	1.00	www.filinvestgroup.com
F & J Prince Holdings Corporation "A"	FJP	1.00	www.fjprince.com
F & J Prince Holdings Corporation "B"	FJPB	1.00	www.fjprince.com
Forum Pacific, Inc.	FPI	1.00	- no corporate website -
GT Capital Holdings, Inc.	GTCAP	10.00	www.gtcapital.com.ph
House of Investments, Inc.	HI	1.50	www.hoi.com.ph
JG Summit Holdings, Inc.	JGS	1.00	www.jgsummit.com.ph
Jolliville Holdings Corporation	JOH	1.00	www.joh.ph
Keppel Philippines Holdings, Inc. "A"	KPH	1.00	- no corporate website -
Keppel Philippines Holdings, Inc. "B"	KPHB	1.00	- no corporate website -
Lodestar Investment Holdings Corporation	LIHC	0.10	www.lodestarholdings.com
Lopez Holdings Corporation	LPZ	1.00	www.lopez-holdings.ph
LT Group, Inc.	LTG	1.00	www.ltg.com.ph
Metro Global Holdings Corporation	MGH	1.00	- no corporate website -
Mabuhay Holdings Corporation	MHC	1.00	www.mabuhayholdingscorp.com
Minerales Industrias Corporation	MIC	1.00	www.mineralesindustrias.com
MJC Investments Corporation	MJIC	1.00	www.mjcinvestmentscorp.com
Metro Pacific Investments Corporation	MPI	1.00	www.mpic.com.ph
Pacifica, Inc.	PA	0.005	- no corporate website -
Prime Orion Philippines, Inc.	POPI	1.00	www.primeorion.com
Prime Media Holdings, Inc.	PRIM	1.00	www.primemediaholdingsinc.com
Republic Glass Holdings Corporation	REG	1.00	www.repglass.net
Solid Group, Inc.	SGI	1.00	www.solidgroup.com.ph
Synergy Grid & Development Phils., Inc.	SGP	1.00	www.synergygrid.ph
SM Investments Corporation	SM	10.00	www.sminvestments.com
San Miguel Corporation	SMC	5.00	www.sanmiguel.com.ph
SOCResources, Inc.	SOC	1.00	www.southchinarresourcesinc.com.ph
Seafront Resources Corporation	SPM	1.00	www.seafrontresources.com.ph
Top Frontier Investment Holdings, Inc.	TFHI	1.00	www.topfrontier.com.ph
Unioil Resources & Holdings Company, Inc.	UNI	1.00	- no corporate website -
Wellex Industries, Inc.	WIN	1.00	www.wellex.com.ph
Zeus Holdings, Inc.	ZHI	1.00	www.zeusholdingsinc.com

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
PROPERTY SECTOR			
Arthaland Corporation	ALCO	0.18	www.arthaland.com.ph
Anchor Land Holdings, Inc.	ALHI	1.00	www.anchorland.com.ph
Ayala Land, Inc.	ALI	1.00	www.ayalaland.com.ph
Araneta Properties, Inc.	ARA	1.00	www.aranetaproperties.com
Belle Corporation	BEL	1.00	www.bellecorp.com
A Brown Company, Inc.	BRN	1.00	www.abrown.ph
Cityland Development Corporation	CDC	1.00	www.citylandcondo.com
Crown Equities, Inc.	CEI	0.10	www.crownequitiesinc.com
Cebu Holdings, Inc.	CHI	1.00	www.cebuholdings.com
Century Properties Group Inc.	CPG	0.53	www.century-properties.com
Cebu Property Venture & Development Corporation "A"	CPV	1.00	www.cpvdc.com
Cebu Property Venture & Development Corporation "B"	CPVB	1.00	www.cpvdc.com
Cyber Bay Corporation	CYBR	1.00	- no corporate website -
Empire East Land Holdings, Inc.	ELI	1.00	www.empire-east.com
Ever-Gotesco Resources & Holdings, Inc.	EVER	1.00	- no corporate website -
Filinvest Land, Inc.	FLI	1.00	www.filinvest.com.ph
Global-Estate Resorts, Inc.	GERI	1.00	www.global-estate.ph
Gotesco Land, Inc. "A"	GO	1.00	- no corporate website -
Gotesco Land, Inc. "B"	GOB	1.00	- no corporate website -
8990 Holdings, Inc.	HOUSE	1.00	www.8990housing.com
IRC Properties, Inc.	IRC	1.00	www.ircproperties.com
Keppel Philippines Properties, Inc.	KEP	1.00	www.keppelland.com.ph
City & Land Developers, Inc.	LAND	1.00	www.citylandcondo.com
Marsteel Consolidated, Inc. "A"	MC	0.01	- no corporate website -
Marsteel Consolidated, Inc. "B"	MCB	0.01	- no corporate website -
Megaworld Corporation	MEG	1.00	www.megaworldcorp.com
MRC Allied, Inc.	MRC	0.10	www.mrcallied.com
Philippine Estates Corporation	PHES	1.00	- no corporate website -
Primetown Property Group, Inc.	PMT	1.00	- no corporate website -
Primex Corporation	PRMX	1.00	- no corporate website -
Robinsons Land Corporation	RLC	1.00	www.robinsonsland.com
Philippine Realty and Holdings Corporation	RLT	1.00	www.philrealty.com.ph
Rockwell Land Corporation	ROCK	1.00	www.e-rockwell.com
Shang Properties, Inc.	SHNG	1.00	www.shangproperties.com
Sta. Lucia Land, Inc.	SLI	1.00	www.stalucialand.com.ph
SM Prime Holdings, Inc.	SMPH	1.00	www.smpriime.com
Starmalls, Inc.	STR	1.00	www.starmallsinc.com.ph
Suntrust Home Developers, Inc.	SUN	1.00	www.suntrusthomedev.com.ph
PTFC Redevelopment Corporation	TFC	1.00	- no corporate website -
Uniwide Holdings, Inc.	UW	1.00	- no corporate website -
Vista Land & Lifescapes, Inc.	VLL	1.00	www.vistaland.com.ph

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
SERVICES SECTOR			

MEDIA ←

ABS-CBN Corporation	ABS	1.00	corporate.abs-cbn.com
GMA Network, Inc.	GMA7	1.00	www.gmanetwork.com
Manila Bulletin Publishing Corporation	MB	1.00	www.mb.com.ph
Manila Broadcasting Company	MBC	1.00	www.manilabroadcasting.com

TELECOMMUNICATIONS ←

Globe Telecom, Inc.	GLO	50.00	www.globe.com.ph
Liberty Telecoms Holdings, Inc.	LIB	1.00	www.libertytelecomsholdingsinc.net
Philippine Telegraph and Telephone Corporation	PTT	1.00	www.ptt.net.ph
Philippine Long Distance Telephone Company	TEL	5.00	www.pldt.com

INFORMATION TECHNOLOGY ←

DFNN, Inc.	DFNN	1.00	www.dfnn.com
Imperial Resources, Inc. "A"	IMP	5.00	www.imperialresources.ph
Imperial Resources, Inc. "B"	IMPB	5.00	www.imperialresources.ph
Island Information & Technology, Inc.	IS	0.01	www.iiti.ph
ISM Communications Corporation	ISM	1.00	www.ismcorp.com.ph
Jackstones, Inc.	JAS	1.00	- no corporate website -
Millennium Global Holdings, Inc.	MG	1.00	www.millennium-globalholdingsinc.com
Now Corporation	NOW	1.00	www.now-corp.com
Transpacific Broadband Group International, Inc.	TBGI	1.00	www.tbgi.net.ph
Philweb Corporation	WEB	1.00	www.philweb.com.ph
Yehey! Corporation	YEHEY	1.00	www.yeheydigitalgroup.com

TRANSPORTATION SERVICES ←

2GO Group, Inc.	2GO	1.00	www.2go.com.ph
Asian Terminals, Inc.	ATI	1.00	www.asianterminals.com.ph
Cebu Air, Inc.	CEB	1.00	www.cebupacificair.com
International Container Terminal Services, Inc.	ICT	1.00	www.ictsi.com
Lorenzo Shipping Corporation	LSC	1.00	www.lorenzoshipping.com
MacroAsia Corporation	MAC	1.00	www.macroasiacorp.com
PAL Holdings, Inc.	PAL	1.00	www.philippineairlines.com
Globalport 900, Inc.	PORT	1.00	- no corporate website -
Harbor Star Shipping Services, Inc.	TUGS	1.00	www.harborstar.com.ph

HOTEL & LEISURE ←

Acesite (Philippines) Hotel Corporation	ACE	1.00	- no corporate website -
Boulevard Holdings, Inc.	BHI	0.10	www.boulevardholdings.com
Discovery World Corporation	DWC	1.00	www.discoveryhotels-resorts.com
Grand Plaza Hotel Corporation	GPH	10.00	www.grandplazahotelcorp.com
Waterfront Philippines, Inc.	WPI	1.00	www.waterfronthotels.com.ph

EDUCATION ←

Centro Escolar University	CEU	1.00	www.ceu.edu.ph
Far Eastern University, Inc.	FEU	100.00	www.feu.edu.ph
iPeople, Inc.	IPO	1.00	www.ipeople.com.ph
STI Education Systems Holdings, Inc.	STI	0.50	www.stiholdings.com

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
CASINOS & GAMING ←			
Berjaya Philippines, Inc.	BCOR	1.00	www.berjaya.com
Bloomerry Resorts Corporation	BLOOM	1.00	www.bloomerry.ph
IP E-Game Ventures, Inc.	EG	0.01	- no corporate website -
Pacific Online Systems Corporation	LOTO	1.00	www.loto.com.ph
Leisure & Resorts World Corporation	LR	1.00	www.lrwc.com.ph
Melco Crown (Philippines) Resorts Corporation	MCP	1.00	www.melco-crown-philippines.com
Manila Jockey Club, Inc.	MJC	1.00	www.manilajockey.com
Premiere Horizon Alliance Corporation	PHA	0.25	www.premierehorizon.com
Premium Leisure Corp.	PLC	0.25	www.premiumleisurecorp.com
Philippine Racing Club, Inc.	PRC	1.00	www.santa-ana-park.com
Travellers International Hotel Group, Inc.	RWM	0.10	www.travellers.com.ph

RETAIL ←

Calata Corporation	CAL	1.00	www.calatacorp.com
Puregold Price Club, Inc.	PGOLD	1.00	www.puregold.com.ph
Robinsons Retail Holdings, Inc.	RRHI	1.00	www.robinsonsretailholdings.com.ph
Philippine Seven Corporation	SEVN	1.00	www.7-eleven.com.ph
SSI Group, Inc.	SSI	1.00	www.ssigroup.com.ph

OTHER SERVICES ←

APC Group, Inc.	APC	1.00	www.apcaragorn.net
Easycall Communications Philippines, Inc.	ECP	1.00	www.easycall.com.ph
Paxys, Inc.	PAX	1.00	www.paxys.com
Philcomsat Holdings Corporation	PHC	1.00	www.philcomsat.com.ph

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
MINING & OIL SECTOR			

MINING ←

Atok-Big Wedge Company, Inc.	AB	1.00	www.atokbigwedge.com
Apex Mining Company, Inc.	APX	1.00	www.apexmines.com
Abra Mining and Industrial Corporation	AR	0.01	www.abramining.com
Atlas Consolidated Mining and Development Corporation	AT	8.00	www.atlasmining.com.ph
Benguet Corporation "A"	BC	3.00	www.benguetcorp.com
Benguet Corporation "B"	BCB	3.00	www.benguetcorp.com
Coal Asia Holdings Incorporated	COAL	1.00	www.coalasiaholdings.com
Century Peak Metals Holdings Corporation	CPM	1.00	www.centurypeakmetals.com
Dizon Copper Silver Mines, Inc.	DIZ	1.00	www.dizonmines.com
GEOGRACE Resources Philippines, Inc.	GEO	1.00	www.geograce.com
Lepanto Consolidated Mining Company "A"	LC	0.10	www.lepantomining.com
Lepanto Consolidated Mining Company "B"	LCB	0.10	www.lepantomining.com
Manila Mining Corporation "A"	MA	0.01	www.manilamining.com
Manila Mining Corporation "B"	MAB	0.01	www.manilamining.com
Marcventures Holdings, Inc.	MARC	1.00	www.marcventuresholdings.com
NiHAO Mineral Resources International, Inc.	NI	1.00	www.nihaomining.com
Nickel Asia Corporation	NIKL	0.50	www.nickelasia.com
Omico Corporation	OM	1.00	www.omico.com.ph
Oriental Peninsula Resources Group, Inc.	ORE	1.00	www.orientalpeninsula.com
Philex Mining Corporation	PX	1.00	www.philexmining.com.ph
Semirara Mining and Power Corporation	SCC	1.00	www.semiraramining.com
United Paragon Mining Corporation	UPM	0.01	www.unitedparagon.com

OIL ←

Basic Energy Corporation	BSC	0.25	www.basicenergy.ph
Oriental Petroleum and Minerals Corporation "A"	OPM	0.01	www.opmc.com.ph
Oriental Petroleum and Minerals Corporation "B"	OPMB	0.01	www.opmc.com.ph
The Philodrill Corporation	OV	0.01	www.philodrill.com
PetroEnergy Resources Corporation	PERC	1.00	www.petroenergy.com.ph
Philex Petroleum Corporation	PXP	1.00	www.philexpetroleum.com.ph
Trans-Asia Petroleum Corporation	TAPET	1.00	www.transasia-petroleum.com

ISSUE/SECURITY	CODE	PAR VALUE	WEBSITE
PREFERRED			
Allied Banking Corporation - 15% Cumulative Convertible Preferred A Shares	ABC	1,000.00	www.alliedbank.com.ph
Ayala Corporation Preferred Class "A" Shares	ACPA	100.00	www.ayala.com.ph
Ayala Corporation Class "B" Series 1 Preferred Shares	ACPB1	100.00	www.ayala.com.ph
Ayala Corporation Class "B" Series 2 Preferred Shares	ACPB2	100.00	www.ayala.com.ph
Benguet Corporation - 8% Cumulative Convertible Preferred A Shares	BCP	3.44	www.benguetcorp.com
DMCI Holdings, Inc. - Cumulative Convertible Preferred Shares	DMCP	1.00	www.dmciholdings.com
First Gen Corporation Series "F" Preferred Shares	FGNF	10.00	www.firstgen.com.ph
First Gen Corporation Series "G" Preferred Shares	FGENG	10.00	www.firstgen.com.ph
First Philippine Holdings Corporation - Preferred Shares	FPHP	100.00	www.fphc.com
First Philippine Holdings Corporation Series "C" Preferred Shares	FPHPC	100.00	www.fphc.com
Globe Telecom, Inc. Series A Voting Perpetual Preferred Shares	GLOPA	5.00	www.globe.com.ph
Globe Telecom, Inc. Series A Non-Voting Perpetual Preferred Shares	GLOPP	50.00	www.globe.com.ph
Leisure & Resorts World Corporation Preferred Shares	LRP	1.00	www.lrwc.com.ph
Megawide Construction Corporation Perpetual Preferred Shares	MWP	1.00	www.megawide.com.ph
San Miguel Pure Foods Company, Inc. - Preferred Shares	PFP	10.00	www.sanmiguelpurefoods.com
Petron Corporation - Preferred Shares	PPREF	1.00	www.petron.com
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2A" Shares	PRF2A	1.00	www.petron.com
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2B" Shares	PRF2B	1.00	www.petron.com
Swift Foods, Inc. Convertible Preferred Shares	SFIP	1.00	- no corporate website-
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-A" Shares	SMC2A	5.00	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-B" Shares	SMC2B	5.00	www.sanmiguel.com.ph
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-C" Shares	SMC2C	5.00	www.sanmiguel.com.ph
San Miguel Corporation - Preferred Series "1" Shares	SMCP1	5.00	www.sanmiguel.com.ph
Philippine Long Distance Telephone Company Convertible Preferred Series II Shares	TLII	10.00	www.pldt.com

PHILIPPINE DEPOSITARY RECEIPTS			
ABS-CBN Holdings Corporation - Philippine Deposit Receipts	ABSP	0.10*	www.abs-cbn.com
GMA Holdings, Inc. - Philippine Deposit Receipts	GMAP	0.05*	www.gmanetwork.com

WARRANTS			
Leisure & Resorts World Corporation Warrants	LRW	15.00*	www.lrwc.com.ph
Megaworld Corporation Warrants2	MEGW2	1.00*	www.megaworldcorp.com

SMALL, MEDIUM & EMERGING			
DoubleDragon Properties Corp.	DD	0.10	www.doubledragon.com.ph
Makati Finance Corporation	MFIN	1.00	www.makatifinance.ph
iRipple, Inc.	RPL	1.00	www.ripple.com
Xurpas Inc.	X	0.10	www.xurpas.com

ETF SECTOR			
ETF - EQUITY			
First Metro Philippine Equity Exchange Traded Fund, Inc.	FMETF	100.00	www.firstmetroetf.com.ph

CERTIFICATION

This is to certify that the following directors and key officials have attended the Corporate Governance trainings during 2014:

1.) Training Provider: Securities and Exchange Commission

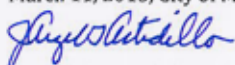
Directors and Key Officials	Date of Training	Program
Hans B. Sicat <i>Director, President, and CEO</i>	October 21, 2014	SEC-PSE Corporate Governance Forum for Publicly-Listed Companies
Francis Chua <i>Director</i>	June 30, 2014	Public Seminar on Corporate Governance for Publicly-Listed Companies

2.) Training Provider: SGV & Co.

Directors and Key Officials	Date of Training	Program
Jose T. Pardo, <i>Chairman and Independent Director</i>	November 12, 2014	Corporate Governance Seminar
Emmanuel O. Bautista, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Annabelle L. Chua, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
David O. Chua, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Dakila B. Fonacier, <i>Independent Director</i>	November 12, 2014	Corporate Governance Seminar
Eddie T. Gobing, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Amor C. Iliscupidez, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Edgardo G. Lacson, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Cornelio T. Peralta, <i>Independent Director</i>	June 17, 2014	Corporate Governance Seminar
Eusebio H. Tanco, <i>Director</i>	November 14, 2014	Corporate Governance Seminar
Robert G. Vergara, <i>Director</i>	March 22, 2014	Corporate Governance Seminar
Alejandro T. Yu, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Ma. Vivian Yuchengco, <i>Director</i>	November 12, 2014	Corporate Governance Seminar
Aissa V. Encarnacion, <i>Corporate Secretary</i>	November 12, 2014	Corporate Governance Seminar
Omelita J. Tiangco, <i>Treasurer</i>	November 12, 2014	Corporate Governance Seminar
Roel A. Refran, <i>SVP and COO</i>	November 12, 2014	Corporate Governance Seminar
J. Argel G. Astudillo, <i>VP & Head of Governance, Risk, and Compliance</i>	November 12, 2014	Corporate Governance Seminar
Rachelle C. Blanch, <i>VP & Head of Market Operations Division</i>	November 12, 2014	Corporate Governance Seminar
Concepcion J. Jimenez <i>(Fmr.) AVP & Head of Controllershship & Treasury Division</i>	November 12, 2014	Corporate Governance Seminar
Buenaventura S. Sanguyo, Jr., <i>AVP & General Counsel</i>	November 12, 2014	Corporate Governance Seminar
Jinky A. Alora <i>AVP & Head of Internal Audit Group</i>	November 12, 2014	Corporate Governance Seminar
John Benette B. Mamunġun <i>AVP & Head of Corporate Planning & Investor Relations Division</i>	November 12, 2014	Corporate Governance Seminar
Marsha Angelyn M. Resurrecion <i>Assistant Vice President & Head of Issuer Regulation Division</i>	November 12, 2014	Corporate Governance Seminar

This certification is issued pursuant to SEC Memorandum No. 20-2013 dated 06 December 2013. Scanned copies of the proof of attendance may be viewed through the company website.

March 11, 2015, City of Makati.



J. Argel G. Astudillo

Compliance Officer

Vice-President, Governance, Risk, and Compliance

REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI

) SS

CERTIFICATE

I, J. Argel G. Astudillo, of legal age and with office address at the 3/F Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City, after being sworn to in accordance with law, depose and state that:

1. I am the incumbent Compliance Officer of the Philippine Stock Exchange, Inc. (the "Company"), a corporation duly organized and existing in accordance with the laws of the Republic of the Philippines, with office address at the 2/F, Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City;

2. I certify that the Company has complied with the provisions of its Manual on Corporate Governance for the calendar year ending December 31, 2014, as prescribed by the Securities and Exchange Memorandum Circulars No. 6, Series of 2009 and No. 9, Series of 2014; and

3. I am issuing this Certificate based on the requirement of the Securities and Exchange Commission on the annual reporting on the Company's compliance with the Revised Manual on Corporate Governance.

IN WITNESS WHEREOF, I have signed this Certificate this 30th day of January, 2015 at Makati City, Metro Manila, Philippines.

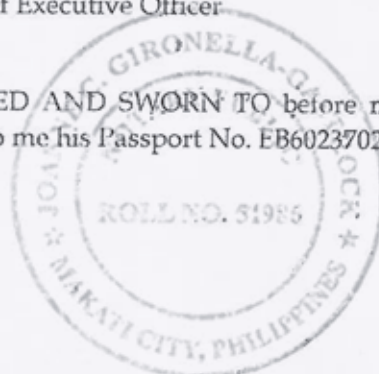

J. ARGEL G. ASTUDILLO
Compliance Officer

Countersigned by:


HANS B. SICAT
President and Chief Executive Officer

SUBSCRIBED AND SWORN TO before me this JAN 30 2015 at Makati City, affiant exhibiting to me his Passport No. EB6023702 issued at Manila, Philippines, on July 25, 2012.

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Page No. : 41
Book No. : 1
Series of 2015



JOANNE L. GIRONELLA-GARCIA
Notary Public
Un. No. 31, 2015
PTR # 4156-0000-1-08-2015; Makati City
IBP # 00845-0000-1-07-2015; Quezon City
ROLL OF ATTORNEYS NO. 51986
NOTARIAL COMMISSION NO. M-544
5F MONTEFINO BLDG., 138 AMORSOLO ST.,
LEGASPI VILLAGE, MAKATI CITY



REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI

) SS

CERTIFICATE

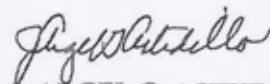
I, J. Argel G. Astudillo, of legal age and with office address at the 3/F Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City, after being sworn to in accordance with law, depose and state that:

1. I am the incumbent Compliance Officer of the Securities Clearing Corporation of the Philippines (the "Company"), a corporation duly organized and existing in accordance with the laws of the Republic of the Philippines, with office address at the 2/F Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City;

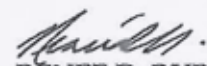
2. I certify that the Company has complied with the provisions of its Manual on Corporate Governance for the calendar year ending December 31, 2014, as prescribed by the Securities and Exchange Memorandum Circular No. 6, Series of 2009 and No. 9, Series of 2014; and

3. I am issuing this Certificate based on the requirement of the Securities and Exchange Commission on the annual reporting on the Company's compliance with the Revised Manual on Corporate Governance.

IN WITNESS WHEREOF, I have signed this Certificate this 2nd day of January, 2015 at Makati City, Metro Manila, Philippines.

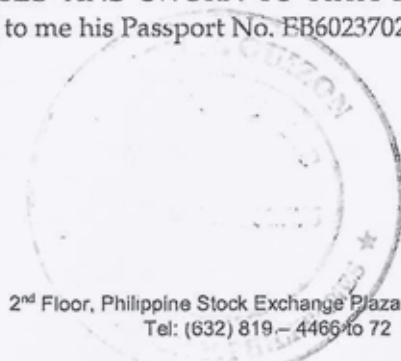

J. ARGEL G. ASTUDILLO
Compliance Officer

Countersigned by:


RENEE D. RUBIO
Chief Operating Officer

SUBSCRIBED AND SWORN TO before me this JAN 20 2015 at Makati City, affiant exhibiting to me his Passport No. EB6023702 issued at Manila, Philippines, on July 25, 2012.

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RENEE D. RUBIO
Chief Operating Officer
Until December 31, 2015
PTR # 4750371; 01-08-2015; Makati City
IBP # 0924694; 01-07-2015; Makati City
C. 52376
C. 11-386
2nd Floor, Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City
Tel: (632) 819-4466 to 72 / Fax: (632) 848-6616 / 26
LEON VILLALBA, MAKATI CITY



REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI

) SS

CERTIFICATE

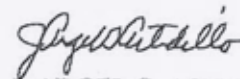
I, J. Argel G. Astudillo, of legal age and with office address at the 3/F Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City, after being sworn to in accordance with law, depose and state that:

1. I am the incumbent Compliance Officer of the Capital Markets Integrity Corporation (the "Company"), a corporation duly organized and existing in accordance with the laws of the Republic of the Philippines, with office address at the 27th Floor, Philippine Stock Exchange Plaza, Ayala Triangle, Ayala Avenue, Makati City;

2. I certify that the Company has complied with the provisions of its Manual on Corporate Governance for the calendar year ending December 31, 2014, as prescribed by the Securities and Exchange Memorandum Circulars No. 6, Series of 2009 and No. 9, Series of 2014; and

3. I am issuing this Certificate based on the requirement of the Securities and Exchange Commission on the annual reporting on the Company's compliance with the Revised Manual on Corporate Governance.

IN WITNESS WHEREOF, I have signed this Certificate this 21st day of January, 2015 at Makati City, Metro Manila, Philippines.


J. ARGEL G. ASTUDILLO
Compliance Officer

Countersigned by:


CORNELIO C. GISON
President

SUBSCRIBED AND SWORN TO before me this JAN 21 2015 at Makati City, affiant exhibiting to me his Passport No. EB6023702 issued at Manila, Philippines, on July 25, 2012.

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NOTARY PUBLIC - MAKATI CITY
APPOINTMENT NO. M 32
UNTIL DECEMBER 31, 2016
ROLL OF ATT. NO. 42348
MCLE COMPLIANCE NO. IV-0016333/1-10-2013
IBP NO. 746702 - LIFETIME MEMBER
PTR. NO. 474 - 8510 JAN 09, 2015
EXECUTIVE BLDG. CENT. R.
MAKATI AVE. COR. HILLER

INFORMATION REQUIRED BY THE SECURITIES REGULATION CODE

The Philippine Stock Exchange, Inc. was incorporated on July 14, 1992 as a non-stock corporation and later became a stock corporation on August 3, 2001. On December 15, 2003, pursuant to the demutualization mandate of Republic Act No. 8799, or the Securities Regulation Code, the Company's outstanding capital stock was listed by way of introduction. On February 18, 2004, the Company sold 6,077,505 shares from its unissued stock to five strategic investors by way of private placement that was approved by the Securities and Exchange Commission. The strategic investors were the PLDT Beneficial Trust Fund, SMC Retirement Fund, Government Service Insurance System, Kim Eng Investment, Ltd., and KE Strategic Pte. Ltd.

The Company's revenues are primarily derived from listing-related fees. The Company charges listing fees for initial public offerings and additional listings, and for annual listing maintenance. Other sources of revenue are membership, transaction, data feed, and miscellaneous fees, which include service fees. Membership and transaction fees are charged to trading participants while data feed fees are collected from data vendors.

Subsidiary and Affiliates

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary organized primarily as a clearance, settlement and depository agency for SCCP-eligible trades executed through the facilities of the Company. SCCP is responsible for (a) synchronizing the settlement of funds for transactions of clearing members and the transfer of securities through Delivery versus Payment (DVP) clearing; (b) the administration of the Clearing and Trade Guaranty Fund (CTGF) and guaranteeing the settlement of trade through the implementation of its Fails Management System in the event of a Trading Participant's default; and (c) performance of Risk Management and Monitoring to ensure final and irrevocable settlement. Recently, the Securities and Exchange Commission provisionally granted SCCP the license to operate a depository.

The Capital Markets Integrity Corporation (CMIC) is another wholly-owned subsidiary. It functions as the independent audit, surveillance and compliance unit of the Company, having taken over the Market Regulation Division of the Company. CMIC operates to

ensure the integrity of the capital market and has jurisdiction to investigate all violations of the Securities Regulation Code and CMIC Rules by Trading Participants, and investigate trading-related irregularities and unusual trading activities committed by Issuers. The Securities and Exchange Commission granted CMIC its authority to operate as the independent audit, surveillance and compliance unit of the Company with provisional self-regulatory organization status on 2 February 2012.

The Company is also a shareholder of the Philippine Dealing System Holdings Corporation (PDSHC), the holding company of the Philippine Dealing & Exchange Corporation (PDEX), otherwise known as the Fixed Income Exchange (FIE), the Philippine Depository & Trust Corp. (PDTC) and the Philippines Securities Settlement Corporation (PSSC). As of December 31, 2010, the Company is a stockholder of record of 1,311,439 shares, or 20.98%, of all of the issued and outstanding shares.

Properties

The Company is the registered owner of offices at the PSE Centre in Ortigas Center, Pasig City, and the PSE Plaza along Ayala Avenue, Makati City.

In addition, over a seven-year period beginning January 2005, the outstanding shares of Crescent West Development Corporation (CWDC), a subsidiary of Fort Bonifacio Development Corporation (FBDC) and the registered owner of a 2,182 square meter lot in Bonifacio Global City, will be transferred to the Company. In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Company, FBDC and Ayala Land, Inc. for the joint development of an office building in Bonifacio Global City to house the Company's headquarters, management offices and unified operations in equities and securities for the National Capital Region. The Company provisionally approved the relocation of its headquarters and offices to a new building located at Bonifacio Global City to be developed by Ayala Land, Inc.

Market for Issuers Common Equity and Related Stockholder Matters

Principal market where the registrant's common equity is traded:

The common stock of the Company is listed in The Philippine Stock Exchange, Inc.

Stock Prices

The high and low prices of the Company's shares in the stock exchange for each quarter of fiscal years 2013 and 2014 are as follows:

2013	High	Low
Q1	P429.17	P340.83
Q2	P415.83	P308.50
Q3	P345.83	P294.17
Q4	P330.00	P292.67
2014	High	Low
Q1	P310.00	P294.00
Q2	P299.00	P277.00
Q3	P295.00	P276.00
Q4	P299.80	P280.20

The highest and lowest prices of the Company's shares during the year were P310.00 and P276.00, respectively. The stock price of the Company closed at P350.00 on 18 March 2015.

Dividends

Dividends per Share:

P10.00 in 2010.

P12.00 in 2011.

P7.00 in 2012.

P9.00 in 2013

P9.00 in 2014, broken down as P5.47 regular dividend and P3.53 special cash dividend to stockholders of record as of 03 April 2014 payable on 28 April 2014.

Dividend Policy

The Company adopts a policy for the declaration of regular cash dividend out of the unrestricted retained earnings equivalent to fifty percent (50%) of the Company's audited net income. The declaration of dividends is dependent on the cash flow, business plan and financial condition of the Company.

Recent Sale of Unregistered/Exempt Securities

The common shares granted to eligible employees pursuant to the Employee Stock Purchase Plan is an exempt transaction under Section 10.2 of the Securities Regulation Code, as stated under Resolution No. 179 Series of 2008 of the Securities and Exchange Commission.

Holders

The number of shareholders of record as of 28 February 2015 is 265. Total shares outstanding as of 28 February 2015 is 73,380,390 shares with a par value of P1.00.

The top twenty (20) holders as of 28 February 2015 are as follows:

	Stockholder	Nationality	No. of Shares	Amount	Percentage
1	PCD Nominee Corp.	Filipino	45,895,176	45,895,176.00	62.54%
2	The First Resources Management and Securities Corp.	Filipino	8,843,149	8,843,149.00	12.05%
3	San Miguel Corporation Retirement Plan	Filipino	7,555,200	7,555,200.00	10.30%
4	PCD Nominee Corp.	Other Alien	6,974,637	6,974,637.00	9.50%
5	Government Service Insurance System	Filipino	6,673,202	6,673,202.00	9.09%
6	Banco de Oro Trust Banking Group	Filipino	6,673,200	6,673,200.00	9.09%
7	Ansaldo Godinez & Company, Inc.	Filipino	240,000	240,000.00	0.33%
8	Apex Phils. Equities Corporation	Filipino	240,000	240,000.00	0.33%
9	Armstrong Securities, Inc.	Filipino	240,000	240,000.00	0.33%
10	BDO Securities Corporation	Filipino	240,000	240,000.00	0.33%
11	Chan, Vicky L.	Filipino	240,000	240,000.00	0.33%
12	Chia Kim Teck	Singaporean	240,000	240,000.00	0.33%
13	Chilip, Christopher L.	Filipino	240,000	240,000.00	0.33%
14	Chong, Jose	Filipino	240,000	240,000.00	0.33%
15	Christfund Securities (Phils.), Inc.	Filipino	240,000	240,000.00	0.33%
16	DBS Vickers Securities (Phils.), Inc.	Filipino	240,000	240,000.00	0.33%
17	Deutsche Regis Partners, Inc.	Filipino	240,000	240,000.00	0.33%
18	FEB Stock Brokers, Inc.	Filipino	240,000	240,000.00	0.33%
19	Five Karats Property Holdings	Filipino	240,000	240,000.00	0.33%
20	Go, Genevieve W. J.	Filipino	240,000	240,000.00	0.33%

2014 Report of the Audit Committee

The Audit Committee is the body tasked with assisting the Board of Directors of the Exchange in the performance of its supervision and control over the financial reporting process, system of internal controls, audit process, and monitoring of compliance with applicable laws, rules and regulations. The Audit Committee directly exercises oversight authority over the financial management functions of the Exchange, as well as oversight and direct interface with its internal and external auditors. It is composed of six members and chaired by an independent director.

In accordance with its mandate, the Committee confirms that:

- It held a total of 14 meetings during the year, in which a majority of the members were present;
- It discussed and approved the scope, frequency and risk-based audit plan of the Internal Audit Group of the Exchange, covering the following key risk areas as identified and assessed: 1) Regulatory Compliance, 2) Financial and operational processes, 3) Budget Process, and 4) Review of Project Efficiencies;
- It reviewed the Internal Audit Group's reports and recommendations, and ensured communication to Management of their findings and recommendations for timely and corrective action;
- It recommended to the Board of Directors the appointment of SGV &Co. as the independent external auditor of the Exchange for the year 2014, after an evaluation of their qualification and past performance;
- It reviewed and approved the audit scope and approach of SGV &Co., assessed their performance in relation to their engagement, and approved all audit services rendered for 2014, including the related fees for such services after concluding that such services do not impair their independence;
- It reviewed and discussed with management and SGV &Co. the annual consolidated financial statements of the Exchange, and its subsidiaries as of December 31, 2014, before submission to the Board.
- It reviewed and discussed with Management the proposed 2015 Budget and endorsed its approval to the Board with some revisions.
- It exercised oversight over the risk management function of the Exchange, and guided Management in the identification and assessment of the Top Key Risks, the development of business unit continuity plans, the holding of several disaster preparedness drills and system disaster recovery tests.

The Committee performed this function in the following context:

- Management retains primary responsibility for the financial statements and for assessing the effectiveness of internal control over financial reporting; and
- SGV &Co. is responsible for expressing an opinion on the conformity of the annual consolidated financial statements with Philippine Financial Reporting Standards.

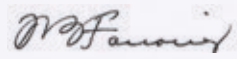
In keeping with the mandate of the Committee and based on the reviews and discussions undertaken, the Committee recommended to the Board of Directors of the Exchange –

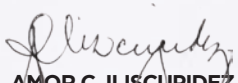
- (i) the inclusion of its audited consolidated financial statements as of December 31, 2014 in the Annual Report to the Stockholders; and
- (ii) the filing of the audited consolidated financial statements with the Securities and Exchange Commission.

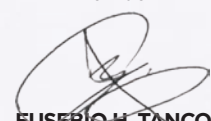
18 March 2015.


CORNELIO T. PERALTA
Committee Chairman


ANABELLE LIM-CHUA
Member


DAKILA B. FONACIER
Member


AMOR C. ILISCUPIDEZ
Member


EUSEBIO H. TANCO
Member

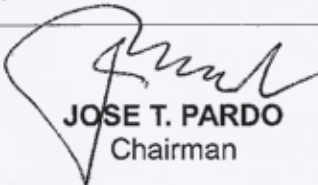
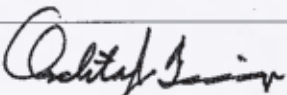

ALEJANDRO T. YU
Member

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The management of The Philippine Stock Exchange, Inc. and Subsidiaries is responsible for the preparation and fair presentation of the consolidated financial statements which comprise the consolidated balance sheets as of December 31, 2014 and 2013, and the consolidated statements of comprehensive income, statements of changes in equity and statements of cash flows for each of the three years in the period ended December 31, 2014, including the additional components attached therein, in accordance with the Philippine Financial Reporting Standards. This responsibility includes designing and implementing internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The Board of Directors reviews and approves the financial statements and submits the same to the stockholders.

SyCip, Gorres, Velayo & Co. (SGV & Co.), the independent auditors, appointed by the stockholders, has examined the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries in accordance with Philippine Standards on Auditing, and its report to the Board of Directors and stockholders, has expressed its opinion on the fairness of presentation upon completion of such examination.

 JOSE T. PARDO Chairman	 HANS B. SICAT President and Chief Executive Officer	 OMELITA J. TIANGCO Treasurer
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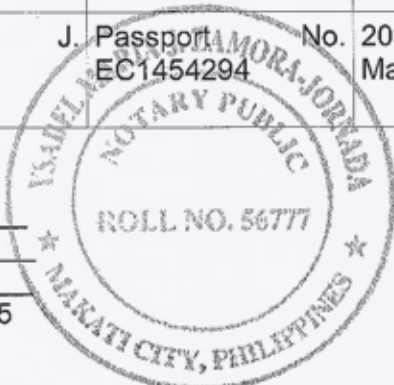
REPUBLIC OF THE PHILIPPINES
MAKATI CITY

MAR 02 2015

SUBSCRIBED AND SWORN TO before me, affiants presented to me the following competent evidence of their identity:

NAME	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE
JOSE T. PARDO	Passport No. EB6622316	23 October 2012 / Manila	Senior Citizen ID No. 46489	August 17, 2010
HANS B. SICAT	Passport No. EB3469834	23 August 2016 / Manila	Passport No. 452050974	18 April 2020 / USA
OMELITA TIANGCO	J. Passport No. EC1454294	20 June 2014 / Manila	Driver's License No. N26-99- 031789	03 September 2016 / Quezon City

Doc. No. 70
Page No. 11
Book No. VII
Series of 2015



YSABEL MARIA ZAMORA-JORNADA
Notary Public
Until December 31, 2015
PTR # 4756370 ; 07-08-2015 ; Makati City
IBP # 0984693 ; 07-07-2015 ; Makati City
ROLL OF ATTORNEYS NO. 56777
NOTARIAL COMMISSION NO. M-367
SF MONTEPINO BLDG., 138 AMORSOLO ST.,
LEGASPI VILLAGE, MAKATI CITY

The Philippine Stock Exchange, Inc. and Subsidiaries

Consolidated Financial Statements

December 31, 2014 and 2013

and Years Ended December 31, 2014, 2013 and 2012

and

Independent Auditors' Report

COVER SHEET
for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

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Company Name

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		I	N	C	.			A	N	D		S	U	B	S	I	D	I	A	R	I	E	S						

Principal Office (No./Street/Barangay/City/Town/Province)

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				i	t	y																										

Form Type

A	C	F	S
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Department requiring the report

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Secondary License Type, If
Applicable

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COMPANY INFORMATION

Company's Email Address

www.pse.com.ph

Company's Telephone Number/s

688-7600

Mobile Number

--

No. of Stockholders

266

Annual Meeting
Month/Day

05/24

Fiscal Year
Month/Day

12/31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

--

Email Address

--

Telephone Number/s

--

Mobile Number

--

Contact Person's Address

--

Note: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

INDEPENDENT AUDITORS' REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.
2nd Floor, PSE Plaza, Ayala Triangle
Ayala Avenue, Makati City

We have audited the accompanying consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries, which comprise the consolidated statement of financial position as at December 31, 2014, and the consolidated statements of comprehensive income, statements of changes in equity and statements of cash flows for the periods ended December 31, 2014 and December 31, 2012, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Philippine Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Philippine Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

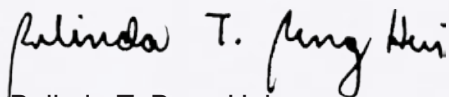
Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of The Philippine Stock Exchange, Inc. and Subsidiaries as at December 31, 2014, and their financial performance and their cash flows for the periods ended December 31, 2014 and December 31, 2012 in accordance with Philippine Financial Reporting Standards.

Other Matter

The consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries as at and for the year ended December 31, 2013 were audited by another auditor who expressed an unqualified opinion on those statements on March 12, 2014.

SYCIP GORRES VELAYO & CO.



Belinda T. Beng Hui

Partner

CPA Certificate No. 88823

SEC Accreditation No. 0923-AR-1 (Group A),

March 25, 2013, valid until March 24, 2016

Tax Identification No. 153-978-243

BIR Accreditation No. 08-001998-78-2012,

June 19, 2012, valid until June 18, 2015

PTR No. 4751259, January 5, 2015, Makati City

February 25, 2015

INDEPENDENT AUDITORS' REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.

We have audited the accompanying consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries, which comprise the consolidated statement of financial position as at December 31, 2014, and the consolidated statements of comprehensive income, statements of changes in equity and statements of cash flows for the periods ended December 31, 2014 and December 31, 2012, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Philippine Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Philippine Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

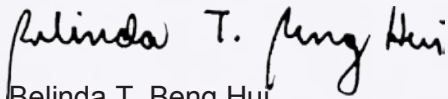
Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of The Philippine Stock Exchange, Inc. and Subsidiaries as at December 31, 2014, and their financial performance and their cash flows for each of the periods ended December 31, 2014 and December 31, 2012 in accordance with Philippine Financial Reporting Standards.

Other Matter

The consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries as at and for the year ended December 31, 2013 were audited by another auditor who expressed an unqualified opinion on those statements on March 12, 2014.

SYCIP GORRES VELAYO & CO.



Belinda T. Beng Hui

Partner

CPA Certificate No. 88823

SEC Accreditation No. 0923-AR-1 (Group A),

March 25, 2013, valid until March 24, 2016

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BIR Accreditation No. 08-001998-78-2012,

June 19, 2012, valid until June 18, 2015

PTR No. 4751259, January 5, 2015, Makati City

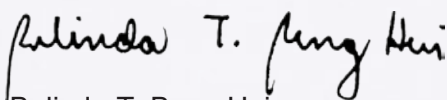
February 25, 2015

INDEPENDENT AUDITORS' REPORT ON SUPPLEMENTARY SCHEDULES

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.
2nd Floor, PSE Plaza, Ayala Triangle
Ayala Avenue, Makati City

We have audited in accordance with Philippine Standards on Auditing, the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries as at December 31, 2014 and for the periods ended December 31, 2014 and December 31, 2012, included in this Form 17-A, and have issued our report thereon dated February 25, 2015. Our audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The schedules listed in the Index to the Consolidated Financial Statements and Supplementary Schedules are the responsibility of the Company's management. These schedules are presented for purposes of complying with Securities Regulation Code (SRC) Rule 68, As Amended (2011) and are not part of the basic financial statements. These schedules have been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, fairly state, in all material respects the information required to be set forth therein in relation to the basic financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.



Belinda T. Beng Hui
Partner

CPA Certificate No. 88823

SEC Accreditation No. 0923-AR-1 (Group A),
March 25, 2013, valid until March 24, 2016

Tax Identification No. 153-978-243

BIR Accreditation No. 08-001998-78-2012,
June 19, 2012, valid until June 18, 2015

PTR No. 4751259, January 5, 2015, Makati City

February 25, 2015

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2014	2013
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5, 6 and 7)	₱1,045,474,985	₱1,070,968,004
Financial assets at fair value through profit or loss (Notes 5, 6 and 8)	458,841,833	374,277,271
Available-for-sale investments (Notes 5, 6 and 9)	50,790,469	—
Receivables (Notes 5, 6 and 10)	93,393,273	190,594,179
Other current assets	42,718,214	46,771,290
Total Current Assets	1,691,218,774	1,682,610,744
Noncurrent Assets		
Long-term available-for-sale investments (Notes 5, 6 and 9)	621,831,599	626,008,883
Property and equipment (Note 11)	464,585,654	509,847,016
Investment in an associate (Note 12)	317,402,352	275,737,820
Deferred tax assets - net (Note 24)	15,938,495	26,881,507
Other noncurrent assets (Notes 5, 6 and 13)	26,105,377	31,373,834
Total Noncurrent Assets	1,445,863,477	1,469,849,060
	₱3,137,082,251	₱3,152,459,804
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 14)	₱272,742,843	₱287,250,797
Income tax payable	18,836,048	93,680,491
Deferred fees and others (Note 15)	35,476,116	173,860,301
Total Current Liabilities	327,055,007	554,791,589
Noncurrent Liability		
Retirement liability (Note 25)	15,594,458	33,249,397
Total Liabilities	342,649,465	588,040,986
EQUITY		
Capital stock (Notes 1 and 17)	73,480,413	73,430,409
Additional paid-in capital (Notes 1, 17 and 30)	1,071,644,783	1,057,118,399
Treasury stock (Note 17)	(68,000,023)	(68,000,012)
Retained earnings (Note 17):		
Unappropriated	1,270,940,071	1,063,358,765
Appropriated	71,000,000	71,000,000
Donated capital (Note 16)	387,637,585	387,637,585
Net unrealized gain on available-for-sale investments - net (Note 9)	8,388,801	6,422,857
Remeasurement losses on retirement liability - net (Note 25)	(20,658,844)	(26,549,185)
Total Equity	2,794,432,786	2,564,418,818
	₱3,137,082,251	₱3,152,459,804

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2014	2013	2012
REVENUES (Note 18)	₱1,519,848,711	₱1,528,005,052	₱1,141,914,400
COST AND EXPENSES			
Cost of services (Note 20)	249,328,985	187,943,825	176,954,410
General and administrative expenses (Note 21)	342,828,495	340,996,903	323,727,751
	592,157,480	528,940,728	500,682,161
OTHER INCOME (EXPENSES)			
Mark-to-market gain (loss) on financial assets at fair value through profit or loss (Note 8)	97,078,827	(158,381)	65,108,656
Interest income (Note 19)	44,070,430	43,070,419	54,770,920
Equity in net income of an associate (Note 12)	43,503,303	40,848,060	38,773,027
Dividend income	9,873,506	7,191,893	5,027,755
Other income (loss) - net	(307,084)	26,919,569	(880,432)
	194,218,982	117,871,560	162,799,926
INCOME BEFORE INCOME TAX	1,121,910,213	1,116,935,884	804,032,165
PROVISION FOR INCOME TAX (Note 24)	254,355,442	272,166,126	178,689,300
NET INCOME	867,554,771	844,769,758	625,342,865
OTHER COMPREHENSIVE INCOME			
Items to be reclassified to profit or loss in subsequent periods -			
Net change in the fair value of available-for-sale investments - net of tax (Note 9)	1,965,944	(6,820,817)	8,181,615
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement gains (losses) on retirement liability - net of tax (Note 25)	7,729,112	(4,330,097)	20,601,699
Share in remeasurement losses on retirement liability of an associate (Note 12)	(1,838,771)	(1,132,920)	-
	5,890,341	(5,463,017)	20,601,699
	7,856,285	(12,283,834)	28,783,314
TOTAL COMPREHENSIVE INCOME	₱875,411,056	₱832,485,924	₱654,126,179
Basic/Diluted Earnings Per Share (Note 26)	₱11.81	₱11.53	₱8.54

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Capital Stock (Notes 1 and 17)	Additional Paid-in Capital (Notes 1, 17 and 30)	Treasury Stock (Note 17)	Unappropriated (Note 17)	Appropriated (Note 17)	Donated Capital (Note 16)	Net Unrealized Gain on Available for-Sale Investments - net (Note 9)	Remeasurement losses on retirement liability - net (Note 25)	Total
Balances at January 1, 2014	₱73,430,409	₱1,057,118,399	(₱68,000,012)	₱1,063,358,765	₱71,000,000	₱387,637,585	₱6,422,857	(₱26,549,185)	₱2,564,418,818
Net income	-	-	-	867,554,771	-	-	-	-	867,554,771
Other comprehensive income	-	-	-	-	-	-	1,965,944	5,890,341	7,856,285
Total comprehensive income	-	-	-	867,554,771	-	-	1,965,944	5,890,341	875,411,056
Subscription of employee share purchase plan	50,000	14,526,384	-	-	-	-	-	-	14,576,384
Acquisition of treasury stock	4	-	(11)	-	-	-	-	-	(7)
Cash dividends	-	-	-	(659,973,465)	-	-	-	-	(659,973,465)
Balances at December 31, 2014	₱73,480,413	₱1,071,644,783	(₱68,000,023)	₱1,270,940,071	₱71,000,000	₱387,637,585	₱8,388,801	(₱20,658,844)	₱2,794,432,786
Balances at January 1, 2013	₱61,158,130	₱1,038,100,114	(₱68,000,012)	₱780,339,127	₱71,000,000	₱387,637,585	₱13,243,674	(₱21,086,168)	₱2,262,392,450
Net income	-	-	-	844,769,758	-	-	-	-	844,769,758
Other comprehensive income	-	-	-	-	-	-	(6,820,817)	(5,463,017)	(12,283,834)
Total comprehensive income	-	-	-	844,769,758	-	-	(6,820,817)	(5,463,017)	832,485,924
Subscription of employee share purchase plan	50,603	19,018,285	-	-	-	-	-	-	19,068,888
Cash dividends	-	-	-	(549,528,444)	-	-	-	-	(549,528,444)
Stock dividends	12,221,676	-	-	(12,221,676)	-	-	-	-	-
Balances at December 31, 2013	₱73,430,409	₱1,057,118,399	(₱68,000,012)	₱1,063,358,765	₱71,000,000	₱387,637,585	₱6,422,857	(₱26,549,185)	₱2,564,418,818
Balances at January 1, 2012	₱61,108,733	₱1,018,810,564	(₱68,000,012)	₱582,057,274	₱71,000,000	₱387,637,585	₱5,062,059	(₱41,687,867)	₱2,015,988,336
Net income	-	-	-	625,342,865	-	-	-	-	625,342,865
Other comprehensive income	-	-	-	-	-	-	8,181,615	20,601,699	28,783,314
Total comprehensive income	-	-	-	625,342,865	-	-	8,181,615	20,601,699	654,126,179
Subscription of employee share purchase plan	49,397	19,289,550	-	-	-	-	-	-	19,338,947
Cash dividends	-	-	-	(427,061,012)	-	-	-	-	(427,061,012)
Balances at December 31, 2012	61,158,130	₱1,038,100,114	(₱68,000,012)	₱780,339,127	₱71,000,000	₱387,637,585	₱13,243,674	(₱21,086,168)	₱2,262,392,450

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2014	2013	2012
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	₱1,121,910,213	₱1,116,935,884	₱804,032,165
Adjustments for:			
Depreciation (Note 11)	139,504,987	80,683,875	77,327,729
Mark-to-market (gain) loss on financial assets at fair value through profit or loss (Note 8)	(97,078,827)	158,381	(65,108,656)
Interest income (Note 19)	(44,070,430)	(43,070,419)	(54,770,920)
Equity in net income of an associate (Note 12)	(43,503,303)	(40,848,060)	(38,773,027)
Movement in pension liability	(15,059,928)	8,767,167	(941,663)
Dividend income	(9,873,506)	(7,191,893)	(5,027,755)
Amortization of computer software (Note 13)	5,666,290	5,443,743	3,388,474
Employee share purchase plan expense (Note 30)	1,582,884	2,457,259	2,560,331
Amortization of debt premium (Note 9)	1,372,759	1,455,009	38,506
Unrealized foreign exchange (gains) losses	(186,690)	(564,134)	2,555,313
Gain on disposal of property and equipment	(130,975)	(171,189)	—
Recovery of impairment losses (Notes 9 and 12)	(20,000)	(24,684,106)	—
Income before working capital changes	1,060,113,474	1,099,371,517	725,280,497
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	115,924,409	(105,831,844)	(15,996,262)
Other current assets	4,053,076	(21,368,939)	7,795,959
Increase (decrease) in:			
Accounts payable and other current liabilities	(50,484,659)	80,356,678	16,480,344
Deferred and other fees	(138,384,185)	140,440,608	10,098,145
Cash generated from operations	991,222,115	1,192,968,020	743,658,683
Income taxes paid	(318,546,867)	(219,526,546)	(191,770,405)
Interest received	43,296,101	41,210,381	55,495,218
Cash provided by operating activities	715,971,349	1,014,651,855	607,383,496
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisitions of:			
Property and equipment (Note 11)	(58,934,440)	(75,677,300)	(61,891,198)
Available-for-sale investments (Note 9)	(56,000,000)	(306,257,418)	(149,955,537)
Financial assets at fair value through profit or loss	—	(100,000,000)	—
Computer software (Note 13)	—	(3,623,312)	(24,637,095)
Proceeds from sale/maturities of:			
Available-for-sale investments (Note 9)	10,000,000	—	42,433,799
Property and equipment (Note 11)	277,019	14,566,267	6,204,233
Dividends received	9,873,506	7,341,461	3,432,938
Decrease (increase) in other noncurrent assets	(397,828)	1,570,435	(703,628)
Net cash used in investing activities	(95,181,743)	(462,079,867)	(185,116,488)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend payments (Note 17)	(659,973,465)	(549,528,444)	(427,061,012)
Proceeds from share-based payments (Note 30)	13,165,751	16,346,793	16,474,393
Net cash used in financing activities	(646,807,714)	(533,181,651)	(410,586,619)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(26,018,108)	19,390,337	11,680,389
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	525,089	222,470	(1,969,654)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	1,070,968,004	1,051,355,197	1,041,644,462
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	₱1,045,474,985	₱1,070,968,004	₱1,051,355,197

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments.

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.8 million divided into 36.8 million shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 entitled "Securities Regulation Code" (SRC) and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.4 million shall be treated as additional paid-in capital;
- c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 17). Gross proceeds from the private placement offering amounted to ₱726.3 million, inclusive of additional paid-in capital of ₱720.2 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.1 million were recorded as a reduction of the additional paid-in capital.

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management.

To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD).

SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

The registered office address of the Parent Company is 2nd Floor, PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City.

The accompanying consolidated financial statements were authorized for issue by the BOD on February 25, 2015.

2. Basis of Preparation and Consolidation, Statement of Compliance and Changes in Accounting Policies and Disclosures

Basis of Preparation

The financial statements of the Parent Company and its subsidiaries (collectively referred to as the Group) have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVPL) and available-for-

sale (AFS) investments, which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under Philippine Financial Reporting Standards (PFRS). All values are rounded to the nearest peso, except when otherwise indicated.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2014 and 2013 and for the three years ended December 31, 2014, 2013 and 2012.

Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure or rights to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any surplus or deficit in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

Non-controlling interests represent the interests in the subsidiaries not held by the Parent Company, and are presented separately in the consolidated statements of comprehensive income and within equity in the consolidated statements of financial position, separately from equity attributable to holders of the Parent Company.

The consolidated financial statements include the accounts of the Parent Company and the following wholly-owned subsidiaries as at December 31, 2014 and 2013:

		2014		2013	
		Direct	Indirect	Direct	Indirect
		Ownership	Ownership	Ownership	Ownership
Principal Activities					
Securities Clearing Corporation of the Philippines	Clearing agency	100.00%	—	100.00%	—
Capital Markets Integrity Corporation	Audit and surveillance unit	100.00%	—	100.00%	—

Statement of Compliance

The Group's financial statements have been prepared in compliance with PFRS.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the following new, amended and improvements to PFRS, Philippine Accounting Standards (PAS) and Philippine Interpretations from International Financial Reporting Interpretations Committee (IFRIC) which the Group adopted during the year:

- Investment Entities (*Amendments to PFRS 10, Consolidated Financial Statements*, PFRS 12, *Disclosure of Interests in Other Entities*, and PAS 27, *Separate Financial Statements*)
- PAS 32, *Financial Instruments: Presentation - Offsetting Financial Assets and Financial Liabilities (Amendments)*
- PAS 36, *Impairment of Assets - Recoverable Amount Disclosures for Non-Financial Assets (Amendments)*
- PAS 39, *Financial Instruments: Recognition and Measurement - Novation of Derivatives and Continuation of Hedge Accounting (Amendments)*
- Philippine Interpretation IFRIC 21, *Levies*
- Annual improvements to PFRSs 2010 - 2012 Cycle (PFRS 13, *Fair Value Measurement*)
- Annual improvements to PFRSs 2011 - 2013 Cycle (PFRS 1, *First-time Adoption of PFRS*)

The adoption of the new, amended and improvements to standards and interpretations did not have any impact on the financial statements of the Group.

Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its financial statements unless otherwise indicated.

Standards issued but not yet effective

- PFRS 9, *Financial Instruments - Classification and Measurement (2010 version)*, PFRS 9 (2010 version) reflects the first phase on the replacement of PAS 39 and applies to the classification and measurement of financial assets and liabilities as defined in PAS 39. PFRS 9 requires all financial assets to be measured at fair value at initial recognition. A debt financial asset may, if the fair value option (FVO) is not invoked, be subsequently measured at amortized cost if it is held within a business model that has the objective to hold the assets to collect the contractual cash flows and its contractual terms give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal outstanding. All other debt instruments are subsequently measured at fair value through profit or loss. All equity financial assets are measured at fair value either through other comprehensive income (OCI) or profit or loss. Equity financial assets held for trading must be measured at fair value through profit or loss. For FVO liabilities, the amount of change in the fair value of a liability that is attributable to changes in credit risk must be presented in OCI. The remainder of the change in fair value is presented in profit or loss, unless presentation of the fair value change in respect of the liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss. All other PAS 39 classification and measurement requirements for financial liabilities have been carried forward into PFRS 9, including the embedded derivative separation rules and the criteria for using the FVO.

PFRS 9 (2010 version) is effective for annual periods beginning on or after January 1, 2015. The mandatory adoption date was moved to January 1, 2018 when the final version of PFRS 9 was adopted by the Philippine Financial Reporting Standards Council (FRSC). Such adoption, however, is still for approval by the Board of Accountancy (BOA).

- Philippine Interpretation IFRIC 15, *Agreements for the Construction of Real Estate*, this interpretation covers accounting for revenue and associated expenses by entities that undertake the construction of real estate directly or through subcontractors. The SEC and the FRSC have deferred the effectivity of this interpretation until the Final Revenue Standard is issued by the International Accounting Standards Board and an evaluation of the requirements of the Final Revenue Standard against the practices of the Philippine real estate industry is completed.

Effective January 1, 2015

- PAS 19, *Employee Benefits - Defined Benefit Plans: Employee Contributions (Amendments)*, PAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. Where the contributions are linked to service, they should be attributed to periods of service as a negative benefit. These amendments clarify that, if the amount of the contributions is independent of the number of years of service, an entity is permitted to recognize such contributions as a reduction in the service cost in the period in which the service is rendered, instead of allocating the contributions to the periods of service. This amendment is effective for annual periods beginning on or after January 1, 2015.
- *Annual Improvements to PFRSs (2010 - 2012 cycle)*
 - PFRS 2, *Share-based Payment - Definition of Vesting Condition*, this improvement is applied prospectively and clarifies various issues relating to the definitions of performance and service conditions which are vesting conditions, including:
 - a. A performance condition must contain a service condition.
 - b. A performance target must be met while the counterparty is rendering service.

- c. A performance target may relate to the operations or activities of an entity, or to those of another entity in the same group.
 - d. A performance condition may be a market or non-market condition.
 - e. If the counterparty, regardless of the reason, ceases to provide service during the vesting period, the service condition is not satisfied.
- PFRS 3, *Business Combinations - Accounting for Contingent Consideration in a Business Combination*, the amendment is applied prospectively for business combinations for which the acquisition date is on or after July 1, 2014. It clarifies that a contingent consideration that is not classified as equity is subsequently measured at fair value through profit or loss whether or not it falls within the scope of PAS 39, (or PFRS 9, if early adopted).
 - PFRS 8, *Operating Segments - Aggregation of Operating Segments and Reconciliation of the Total of the Reportable Segments' Assets to the Entity's Assets*, the amendments are applied retrospectively and clarify that:
 - a. An entity must disclose the judgments made by management in applying the aggregation criteria in the standard, including a brief description of operating segments that have been aggregated and the economic characteristics (e.g., sales and gross margins) used to assess whether the segments are 'similar'.
 - b. The reconciliation of segment assets to total assets is only required to be disclosed if the reconciliation is reported to the chief operating decision maker, similar to the required disclosure for segment liabilities.
 - PAS 16, *Property, Plant and Equipment*, and PAS 38, *Intangible Assets - Revaluation Method - Proportionate Restatement of Accumulated Depreciation and Amortization*, the amendment is applied retrospectively and clarifies in PAS 16 and PAS 38 that the asset may be revalued by reference to the observable data on either the gross or the net carrying amount. In addition, the accumulated depreciation or amortization is the difference between the gross and carrying amounts of the asset.
 - PAS 24, *Related Party Disclosures - Key Management Personnel*, the amendment is applied retrospectively and clarifies that a management entity, which is an entity that provides key management personnel services, is a related party subject to the related party disclosures. In addition, an entity that uses a management entity is required to disclose the expenses incurred for management services.
 - *Annual Improvements to PFRSs (2011 - 2013 cycle)*
 - PFRS 3, *Business Combinations - Scope Exceptions for Joint Arrangements*, the amendment is applied prospectively and clarifies the following regarding the scope exceptions within PFRS 3:
 - a. Joint arrangements, not just joint ventures, are outside the scope of PFRS 3.
 - b. This scope exception applies only to the accounting in the financial statements of the joint arrangement itself.
 - PFRS 13, *Fair Value Measurement - Portfolio Exception*, the amendment is applied prospectively and clarifies that the portfolio exception in PFRS 13 can be applied not only to financial assets and financial liabilities, but also to other contracts within the scope of PAS 39 (or PFRS 9, as applicable).
 - PAS 40, *Investment Property*, the amendment is applied prospectively and clarifies that PFRS 3, and not the description of ancillary services in PAS 40, is used to determine if the transaction is the purchase of an asset or business combination. The description of ancillary services in PAS 40 only differentiates between investment property and owner-occupied property (i.e., property, plant and equipment).

Effective January 1, 2016

- PAS 16, *Property, Plant and Equipment*, and PAS 38, *Intangible Assets - Clarification of Acceptable Methods of Depreciation and Amortization (Amendments)*, the amendments clarify the principle in PAS 16 and PAS 38 that revenue reflects a pattern of economic benefits that are generated from operating a business (of which the asset is part) rather than the economic benefits that are consumed through use of the asset. As a result, a revenue-based method cannot be used to depreciate property, plant and equipment and may only be used in very limited circumstances to amortize intangible assets. The amendments are effective prospectively for annual periods beginning on or after January 1, 2016, with early adoption permitted.
- PAS 16, *Property, Plant and Equipment*, and PAS 41, *Agriculture - Bearer Plants (Amendments)*, the amendments change the accounting requirements for biological assets that meet the definition of bearer plants. Under the amendments, biological assets that meet the definition of bearer plants will no longer be within the scope of PAS 41. Instead, PAS 16 will apply. After initial recognition, bearer plants will be measured under PAS 16 at accumulated cost (before maturity) and using either the cost model or revaluation model (after maturity). The amendments also require that produce that grows on bearer plants will remain in the scope of PAS 41 measured at fair value less costs to sell. For government grants related to bearer plants, PAS 20, *Accounting for Government Grants and Disclosure of*

Government Assistance, will apply. The amendments are retrospectively effective for annual periods beginning on or after January 1, 2016, with early adoption permitted.

- PAS 27, *Separate Financial Statements - Equity Method in Separate Financial Statements (Amendments)*, the amendments will allow entities to use the equity method to account for investments in subsidiaries, joint ventures and associates in their separate financial statements. Entities already applying PFRS and electing to change to the equity method in its separate financial statements will have to apply that change retrospectively. For first-time adopters of PFRS electing to use the equity method in its separate financial statements, they will be required to apply this method from the date of transition to PFRS. The amendments are effective for annual periods beginning on or after January 1, 2016, with early adoption permitted.
- PFRS 10, *Consolidated Financial Statements* and PAS 28, *Investments in Associates and Joint Ventures - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*, these amendments address an acknowledged inconsistency between the requirements in PFRS 10 and those in PAS 28 (2011) in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The amendments require that a full gain or loss is recognized when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognized when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary. These amendments are effective from annual periods beginning on or after January 1, 2016.
- PFRS 11, *Joint Arrangements - Accounting for Acquisitions of Interests in Joint Operations (Amendments)*, the amendments to PFRS 11 require that a joint operator accounting for the acquisition of an interest in a joint operation, in which the activity of the joint operation constitutes a business must apply the relevant PFRS 3 principles for business combinations accounting. The amendments also clarify that a previously held interest in a joint operation is not remeasured on the acquisition of an additional interest in the same joint operation while joint control is retained. In addition, scope exclusion has been added to PFRS 11 to specify that the amendments do not apply when the parties sharing joint control, including the reporting entity, are under common control of the same ultimate controlling party.

The amendments apply to both the acquisition of the initial interest in a joint operation and the acquisition of any additional interests in the same joint operation and are prospectively effective for annual periods beginning on or after January 1, 2016, with early adoption permitted.

- PFRS 14, *Regulatory Deferral Accounts*, PFRS 14 is an optional standard that allows an entity, whose activities are subject to rate-regulation, to continue applying most of its existing accounting policies for regulatory deferral account balances upon its first-time adoption of PFRS. Entities that adopt PFRS 14 must present the regulatory deferral accounts as separate line item on the consolidated statement of financial position and present movements in these account balances as separate line items in the statement of profit or loss and other comprehensive income. The standard requires disclosures on the nature of, and risks associated with, the entity's rate-regulation and the effects of that rate-regulation on its financial statements.

PFRS 14 is effective for annual periods beginning on or after January 1, 2016.

- Annual Improvements to PFRSs (2012 - 2014 cycle)
 - PFRS 5, *Non-current Assets Held for Sale and Discontinued Operations - Changes in Methods of Disposal*, the amendment is applied prospectively and clarifies that changing from a disposal through sale to a disposal through distribution to owners and vice-versa should not be considered to be a new plan of disposal, rather it is a continuation of the original plan. There is, therefore, no interruption of the application of the requirements in PFRS 5. The amendment also clarifies that changing the disposal method does not change the date of classification.
 - PFRS 7, *Financial Instruments: Disclosures - Servicing Contracts*, PFRS 7 requires an entity to provide disclosures for any continuing involvement in a transferred asset that is derecognized in its entirety. The amendment clarifies that a servicing contract that includes a fee can constitute continuing involvement in a financial asset. An entity must assess the nature of the fee and arrangement against the guidance in PFRS 7 in order to assess whether the disclosures are required. The amendment is to be applied such that the assessment of which servicing contracts constitute continuing involvement will need to be done retrospectively. However, comparative disclosures are not required to be provided for any period beginning before the annual period in which the entity first applies the amendments.
 - PFRS 7, *Applicability of the Amendments to PFRS 7 to Condensed Interim Financial Statements*, this amendment is applied retrospectively and clarifies that the disclosures on offsetting of financial assets and financial liabilities are not required in the condensed interim financial report unless they provide a significant update to the information reported in the most recent annual report.
 - PAS 19, *Employee Benefits - Regional Market Issue Regarding Discount Rate*, this amendment is applied prospectively and clarifies that market depth of high quality corporate bonds is assessed based on the currency

in which the obligation is denominated, rather than the country where the obligation is located. When there is no deep market for high quality corporate bonds in that currency, government bond rates must be used.

- PAS 34, *Interim Financial Reporting - Disclosure of Information 'Elsewhere in the Interim Financial Report'*, the amendment is applied retrospectively and clarifies that the required interim disclosures must either be in the interim financial statements or incorporated by cross-reference between the interim financial statements and wherever they are included within the greater interim financial report (e.g., in the management commentary or risk report).

Effective January 1, 2018

- PFRS 9, *Financial Instruments - Hedge Accounting and amendments to PFRS 9, PFRS 7 and PAS 39 (2013 version)*, PFRS 9 (2013 version) already includes the third phase of the project to replace PAS 39 which pertains to hedge accounting. This version of PFRS 9 replaces the rules-based hedge accounting model of PAS 39 with a more principles-based approach. Changes include replacing the rules-based hedge effectiveness test with an objectives-based test that focuses on the economic relationship between the hedged item and the hedging instrument, and the effect of credit risk on that economic relationship; allowing risk components to be designated as the hedged item, not only for financial items but also for non-financial items, provided that the risk component is separately identifiable and reliably measurable; and allowing the time value of an option, the forward element of a forward contract and any foreign currency basis spread to be excluded from the designation of a derivative instrument as the hedging instrument and accounted for as costs of hedging. PFRS 9 also requires more extensive disclosures for hedge accounting.

PFRS 9 (2013 version) has no mandatory effective date. The mandatory effective date of January 1, 2018 was eventually set when the final version of PFRS 9 was adopted by the FRSC. The adoption of the final version of PFRS 9, however, is still for approval by BOA.

The adoption of PFRS 9 will have an effect on the classification and measurement of the Group's financial assets but will have no impact on the classification and measurement of the Group's financial liabilities. The adoption will also have an effect on the Group's application of hedge accounting. The Group is currently assessing the impact of adopting this standard.

- PFRS 9, *Financial Instruments (2014 or final version)*, in July 2014, the final version of PFRS 9, *Financial Instruments*, was issued. PFRS 9 reflects all phases of the financial instruments project and replaces PAS 39, *Financial Instruments: Recognition and Measurement*, and all previous versions of PFRS 9. The standard introduces new requirements for classification and measurement, impairment, and hedge accounting. PFRS 9 is effective for annual periods beginning on or after January 1, 2018, with early application permitted. Retrospective application is required, but comparative information is not compulsory. Early application of previous versions of PFRS 9 is permitted if the date of initial application is before February 1, 2015.

The adoption of PFRS 9 will have an effect on the classification and measurement of the Group's financial assets and impairment methodology for financial assets, but will have no impact on the classification and measurement of the Group's financial liabilities. The Group is currently assessing the impact of adopting this standard.

- IFRS 15, *Revenue from Contracts with Customers*, IFRS 15 was issued in May 2014 and establishes a new five-step model that will apply to revenue arising from contracts with customers. Under IFRS 15 revenue is recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The principles in IFRS 15 provide a more structured approach to measuring and recognizing revenue. The new revenue standard is applicable to all entities and will supersede all current revenue recognition requirements under IFRS. Either a full or modified retrospective application is required for annual periods beginning on or after January 1, 2017 with early adoption permitted. The Group is currently assessing the impact of IFRS 15 and plans to adopt the new standard on the required effective date once adopted locally.

3. Summary of Significant Accounting Policies and Financial Reporting

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability, or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statement of financial position when it becomes a party to the contractual provisions of the instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the market place.

Initial Recognition of Financial Instruments. Financial instruments are recognized initially at fair value, which is the fair value of the consideration given (in case of an asset) or received (in case of a liability). The initial measurement of financial instruments, except for those designated at FVPL, includes transaction cost.

The Group classifies its financial instruments in the following categories: financial assets and financial liabilities at FVPL, loans and receivables, held-to-maturity (HTM) investments, AFS investments and other financial liabilities. The classification depends on the purpose for which the instruments are acquired and whether they are quoted in an active market. Management determines the classification at initial recognition and, where allowed and appropriate, re-evaluates this classification at every reporting date.

The Group has no HTM investments and financial liabilities at FVPL as at December 31, 2014 and 2013.

Subsequent Measurement. The subsequent measurement of financial assets depend on their classification as follows:

Financial Assets at FVPL. Financial assets at FVPL include financial assets held for trading and financial assets designated upon initial recognition as at FVPL.

Financial assets are classified as held for trading if they are acquired for the purpose of selling in the near term. Derivatives, including any separated derivatives, are also classified under financial assets at FVPL, unless these are designated as hedging instruments in an effective hedge or financial guarantee contracts. Gains or losses on investments held for trading are included in the consolidated statement of comprehensive income. Interest income on investments held for trading is included in the consolidated statement of comprehensive income. Instruments under this category are

classified as current assets if these are held primarily for the purpose of trading or expected to be realized/settled within 12 months from reporting date. Otherwise, these are classified as noncurrent assets.

Financial assets may be designated by management at initial recognition as at FVPL when any of the following criteria is met:

- the designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or recognizing gains or losses on a different basis; or
- the assets are part of a group of financial assets, financial liabilities or both which are managed and their performance are evaluated on a fair value basis, in accordance with a documented risk management or investment strategy; or
- the financial instrument contains an embedded derivative, unless the embedded derivative does not significantly modify the cash flows or it is clear, with little or no analysis, that it would not be separately recorded.

Included under this category of financial assets at FVPL is the Group's investment in management account which is designated at FVPL as it is being managed on a fair value basis (see Note 6).

Loans and Receivables. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest method (EIR), less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. The EIR amortization as well as the losses arising from impairment is included in the "Interest income" account in the statement of comprehensive income. Loans and receivables are included in current assets if maturity is within twelve months from the reporting date. Otherwise, these are classified as noncurrent assets.

This category includes cash and cash equivalents, receivables, deposits in bank and refundable deposits under "Other noncurrent assets" (see Note 6).

AFS Investments. In the case of equity instruments classified as AFS investments, evidence of impairment would include a significant or prolonged decline in fair value of investments below its cost. Where there is evidence of impairment, the cumulative loss - measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognized in the statement of comprehensive income - is removed from the statement of comprehensive income and recognized in the statement of comprehensive income. Impairment losses on equity investments are not reversed through the statement of income. Increases in fair value after impairment are recognized directly in the statement of comprehensive income.

The Group's AFS investments in 2014 and 2013 include investments in government securities, corporate bonds and quoted equity securities (see Note 6).

Other Financial Liabilities. This category pertains to financial liabilities that are not held for trading or not designated as at FVPL upon the inception of the liability. These include liabilities arising from operations and borrowings. Other financial liabilities are recognized initially at fair value and are subsequently carried at amortized cost, taking into account the impact of applying the EIR method of amortization (or accretion) for any related premium, discount and any directly attributable transaction costs. Gains and losses are recognized in the statement of comprehensive income when the liabilities are derecognized as well as through the EIR amortization process.

This category includes accounts payable and other current liabilities (see Note 6).

Classification of Financial Instruments Between Liability and Equity

A financial instrument is classified as liability if it provides for a contractual obligation to:

- deliver cash or another financial asset to another entity;
- exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Company; or
- satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

If the Group does not have an unconditional right to avoid delivering cash or another financial asset to settle its contractual obligation, the obligation meets the definition of a financial liability.

The components of issued financial instruments that contain both liability and equity elements are accounted for separately, with the equity component being assigned the residual amount after deducting from the instrument as a whole the amount separately determined as the fair value of the liability component on the date of issue.

Derecognition of Financial Assets and Liabilities

Financial Asset. A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired; or
- the Company has transferred its rights to receive cash flows from the asset and either: (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the statement of comprehensive income.

Impairment of Financial Assets

The Group assesses at each reporting date whether a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired, if and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or a group of financial assets that can be reliably estimated. Objective evidence of impairment may include indications that the borrower or a group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Assets Carried at Amortized Cost. If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate (i.e., the effective interest rate computed at initial recognition). The carrying amount of the asset is reduced through the use of an allowance account. The amount of the loss shall be recognized in the statement of comprehensive income. The financial assets, together with the associated allowance accounts, are written off when there is no realistic prospect of future recovery.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are no longer included in a collective assessment of impairment.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date. Any subsequent reversal of an impairment loss is recognized in the statement of comprehensive income. Interest income continues to be accrued on the reduced carrying amount based on the original effective interest rate of the asset. Loans, together with the associated allowance, are written off when there is no realistic prospect of future recovery and all collateral, if any, has been realized or has been transferred to the Company. If a future write-off is later recovered, the recovery is recognized in the statement of comprehensive income under "Other income (loss) - net" account. Any subsequent reversal of an impairment loss is recognized in the statement of comprehensive income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

Assets Carried at Cost. If there is an objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the loss is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset.

'Day 1 Difference'. Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the consolidated statements of comprehensive income unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the consolidated statement of comprehensive income only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the consolidated statement of financial position.

Property and Equipment

Property and equipment, except Land, is stated at cost less accumulated depreciation and any impairment in value. The cost of the land, which is represented by shares in the Condominium Corporation donated to the Exchange, is valued at the fair value of the land at the date of donation. Land is subsequently carried at cost less any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful life of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years
Transportation equipment	5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until they are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven years.

Investment in an Associate

The Group's investment in an associate is accounted for under the equity method of accounting. An associate is an entity in which the Group has significant influence and which is neither a subsidiary nor a joint venture.

Under the equity method, investment in an associate is carried in the consolidated statement of financial positions at cost plus post-acquisition changes in the Group's share in the net asset of the associate. The consolidated statement of comprehensive income reflect the share in the result of operations of the associate. Where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income. Profit and losses resulting from transactions between the Company and the associate are eliminated to the extent of the interest in the associate. After application of the equity method, the Group determines whether it is necessary to recognize any additional impairment loss with respect to the Group's net investment in the associate. An investment in associate is accounted for using the equity method from the date when it becomes an associate. On acquisition of the investment, any difference between the cost of the investment and the investor's share in the net fair value of the associate's identifiable assets, liabilities and contingent liabilities is accounted for as follows:

- Goodwill relating to an associate is included in the carrying amount of the investment. However, amortization of that goodwill is not permitted and is therefore not included in the determination of the Company's share in the associate's profits or losses.
- Any excess of the Company's share in the net fair value of the associate's identifiable assets, liabilities and contingent liabilities over the cost of the investment is excluded from the carrying amount of the investment and is instead included as income in the determination of the Company's share in the associate's profit or loss in the period in which the investment is acquired.

The Group discontinues the use of equity method from the date when it ceases to have significant influence over an associate and accounts for the investment in accordance with PAS 39 from that date, provided the associate does not become a subsidiary or a joint arrangement as defined in PFRS 11. Upon loss of significant influence over the associate, the Group measures and recognizes any remaining investment at its fair value. Any difference in the carrying amount of the associate upon loss of significant influence and the fair value of the remaining investment and proceeds from disposal is recognized in consolidated statements of comprehensive income. When the Group's interest in an investment in associate is reduced to zero, additional losses are provided only to the extent that the Group has incurred obligations or made payments on behalf of the associate to satisfy obligations of the investee that the Group has guaranteed or otherwise committed. If the associate subsequently reports profits, the Group resumes recognizing its share of the profits if it equals the share of net losses not recognized.

The financial statements of the associate are prepared for the same reporting period as the Parent Company. The accounting policies of the associate conform to those used by the Parent Company for like transactions and events in similar circumstances.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, computer software, and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in the profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees

Deferred fees represent listing fees, listing maintenance fees and data feed fees which are collected but not yet earned as at reporting date. This account is reversed and recognized as revenue when services are rendered.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in stockholders' equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital stock.

Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the consolidated statement of comprehensive income on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the shareholders of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting period.

Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which they are granted. The fair value is determined using a quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The Group has concluded that it is acting as principal in all of its revenue arrangements.

The following specific recognition criteria must also be met before revenue is recognized:

Listing Fees. Listing fees for initial public offering are recognized upon listing of an applicant. The annual listing fees are recognized on an accrual basis based on the listing agreement. The additional listing fees are recognized upon the listing of new securities issued by an applicant.

Listing Maintenance, Processing, Service Fees, Trading-related and Regulatory Fees. Revenue is recognized when the related services are rendered.

Other Revenues. Revenue is recognized when the services are rendered or when penalties or fines are charged. This account mainly consists of trading and listing related fines and penalties for late payment, late submission of requirements, noncompliance and nondisclosure of listed companies.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in the consolidated statement of comprehensive income when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the consolidated statement of comprehensive income on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statement of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Retirement Expense

The Parent Company has a funded noncontributory defined benefit retirement plan, while SCCP has an unfunded noncontributory defined benefit retirement plan, administered by trustees, covering their permanent employees. The Parent Company and SCCP's retirement cost is actuarially determined using the projected unit credit method.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method.

Defined benefit costs comprise the following:

- Service cost
- Net interest on the net defined benefit liability or asset
- Remeasurements of net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in the consolidated statement of income. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in the consolidated statement of income.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to the consolidated statement of income in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Company's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Parent Company recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Parent Company recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Leave Entitlement. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting period. They are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to pay as a result of the unused entitlement.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting period are discounted to their present value.

Operating Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date, whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a Lessee. Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognized as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

Income Taxes

Current Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted at reporting date.

Deferred Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward of unused tax credits and unused NOLCO can be utilized.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiaries.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantially enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Value-added Tax (VAT). Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

Foreign Currency-Denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year by the weighted average number of shares outstanding during the year.

Diluted EPS is computed by dividing net income by the weighted average number of shares outstanding during the year, adjusted for the effects of dilutive stock options. Stocks under ESPP are deemed to have been converted into shares on the date when granted.

Business Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Company reports its segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

Events after the Reporting Date

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting date (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statements when material.

4. Significant Accounting Judgments, Estimates and Assumptions

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Fair Values of Financial Assets and Liabilities. The Group carries certain financial assets at fair value. Fair value determinations for financial assets and liabilities are based generally on listed or quoted market prices. If prices are not readily determinable or if liquidating the positions is reasonably expected to affect market prices, fair value is based on management's estimate of amounts that could be realized under current market conditions, assuming an orderly liquidation over a reasonable period of time.

Functional Currency. The functional currency of the Group is the currency of the primary economic environment in which the Group operates. It is the currency that mainly influences the revenue from and cost of rendering services. Based on the economic substance of the relevant underlying circumstances, the functional and presentation currency of the Group is the Philippine peso.

Contingencies. The Group is currently involved in legal proceedings. The estimate of the probable costs for the resolution of these claims has been developed in consultation with counsel handling the defense in these matters and is based upon an analysis of potential results. The outcome of these legal proceedings are not presently determinable. In the opinion of management and its legal counsel, the eventual liability under these lawsuits or claims, if any, will not have a material or adverse effect on the consolidated financial position and results of operations.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Impairment of AFS Investments. The Group treats AFS equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgment. The Group treats 'significant' generally as 20% or more and 'prolonged' as greater than the period of six months. In addition, the Group evaluates other factors, including normal volatility in share price for quoted equities and the future cash flows and the discount factors for unquoted equities.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statement of comprehensive income.

There were no provisions for impairment losses in 2014, 2013 and 2012. Recovery of impairment loss amounted to ₱0.02 million, ₱0.18 million and nil in 2014, 2013 and 2012, respectively. As at December 31, 2014 and 2013, allowance for impairment losses on AFS equity investments amounted to ₱2.7 million. The carrying value of AFS equity investments amounted to ₱672.6 million and ₱626.0 million as at December 31, 2014 and 2013, respectively (see Note 9).

Impairment of Receivables. The Group annually reviews its receivables that are individually significant to assess impairment. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, it collectively assesses them for impairment. For the purpose of a collective evaluation of impairment, receivables are grouped based on credit risk. In determining whether an impairment loss should be recorded in the consolidated statements of comprehensive income, the Group makes judgment as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from the receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers. Allowance for impairment losses is maintained at a level considered adequate to provide for potentially uncollectible receivables.

There were no provisions for impairment losses in 2014, 2013 and 2012. As at December 31, 2014 and 2013, allowance for impairment losses on receivables amounted to ₱2.6 million. As at December 31, 2014 and 2013, the carrying values of receivables amounted to ₱93.4 million and ₱190.6 million, respectively (see Note 10).

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. The factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and
- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There were no provisions for impairment losses in 2014 and 2013. The provision for impairment losses amounting to ₱24.5 million in 2012 was reversed in 2013. The carrying value of the investment in an associate amounted to ₱317.4 million and ₱275.7 million as at December 31, 2014 and 2013, respectively (see Note 12).

Impairment of Other Nonfinancial Assets. The Group assesses impairment on its other nonfinancial assets (e.g., property and equipment, computer software) whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable.

Among others, the factors that the Group considers important which could trigger an impairment review on its nonfinancial assets include the following:

- Significant underperformance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business; and
- Significant negative industry or economic trends.

An impairment loss is recognized whenever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is determined based on the asset's value in use computation which considers the present value of estimated future cash flows expected to be generated from the continued use of the asset. The Group is required to make estimates and assumptions that can materially affect the carrying amount of the asset being assessed.

There were no provisions for impairment losses in 2014, 2013 and 2012. As at December 31, 2014 and 2013, the aggregate carrying value of property and equipment and computer software amounted to ₱478.5 million and ₱529.4 million, respectively (see Notes 11 and 13).

Estimation of Useful Lives of Property and Equipment and Computer Software. The Group estimated the useful lives of its property and equipment and computer software based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment and computer software would increase the recorded depreciation and amortization expense and decrease the related assets.

In 2014, there was a change in estimated useful life of certain trading system equipment due to change in the anticipated use of the asset. Such change resulted to an increase in depreciation accounted under "Cost of services" in the consolidated statement of comprehensive income (see Notes 11 and 20). There were no changes in the estimated useful lives of the Group's property and equipment and computer software in 2013.

Present Value of Retirement Liability. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The assumption of the expected return on plan assets is determined on a uniform basis, taking into consideration the long-term historical returns, asset allocation and future estimates of long-term investment returns.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations.

Other key assumptions for pension obligations are based in part on current market conditions.

While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension and other pension obligations.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 25.

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting period. Deferred tax assets are recognized for all deductible temporary difference to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2014 and 2013, the Group recognized deferred tax asset amounting to ₱16.5 million and ₱27.0 million, respectively. Unrecognized deferred tax asset amounted to ₱0.8 million as at December 31, 2014 and 2013 (see Note 24).

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, financial assets at FVPL and AFS investments. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets or liabilities such as receivables, other noncurrent assets - deposits in bank and refundable deposits and accounts payable and other current liabilities which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, fair value interest rate risk and foreign currency risk. The Parent Company's BOD, management and the Corporate Governance Office review agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk or funding risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may also result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows.

To meet the requirement for liquidity, adequate cash flow is provided for administrative/operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the Group's financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at December 31, 2014				Total
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	₱914,445,635	₱-	₱-	₱131,029,350	₱1,045,474,985
Receivables:					
Receivables from:					
Trading participants	78,833,964	576,307	-	-	79,410,271
Listed companies	3,453,246	-	-	-	3,453,246
Data vendors	6,276,074	-	-	-	6,276,074
Accrued interest receivable	5,003,566	-	-	-	5,003,566
Advances to officers and employees	1,487,403	-	-	-	1,487,403
Others	366,660	-	-	-	366,660
Other noncurrent assets:					
Deposits in bank	-	-	335,354	-	335,354
Refundable deposits	-	-	395,548	-	395,548
Financial assets at FVPL	458,841,833	-	-	-	458,841,833
AFS investments:					
Government debt securities:					
Short-term	50,790,469	-	-	-	50,790,469
Long-term	-	30,972,224	446,361,378	-	477,333,602
Corporate bonds	-	31,420,069	112,677,928	-	144,097,997
Equity securities	-	-	-	3,078,000	3,078,000
	₱1,519,498,850	₱62,968,600	₱559,770,208	₱134,107,350	₱2,276,345,008

As at December 31, 2014					
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Liabilities					
Accounts payable and other current liabilities:					
Trade payables	P80,212,137	P-	P-	P-	P80,212,137
Due to SEC	113,711,179	-	-	-	113,711,179
Accrued expenses	45,193,503	-	-	-	45,193,503
Funds held in trust	-	-	-	15,870,098	15,870,098
Others	3,863,424	-	-	-	3,863,424
	P242,980,243	P-	P-	P15,870,098	P258,850,341

As at December 31, 2013					
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	P994,494,151	P-	P-	P76,473,853	P1,070,968,004
Receivables:					
Receivables from:					
Listed companies	92,953,144	-	-	-	92,953,144
Trading participants	79,382,321	-	-	-	79,382,321
Data vendors	13,571,217	-	-	-	13,571,217
Accrued interest receivable	4,229,237	-	-	-	4,229,237
Advances to officers and employees	1,343,149	-	-	-	1,343,149
Others	1,719,057	-	-	-	1,719,057
Other noncurrent assets:					
Deposits in bank	-	-	333,960	-	333,960
Refundable deposits	315,165	-	-	-	315,165
Financial assets at FVPL	374,277,271	-	-	-	374,277,271
AFS investments:					
Government debt securities -					
Long-term	-	53,021,727	469,310,427	-	522,332,154
Corporate bonds	10,256,543	-	93,040,186	-	103,296,729
Equity securities	-	-	-	3,078,000	3,078,000
	P1,572,541,255	P53,021,727	P562,684,573	P79,551,853	P2,267,799,408

Financial Liabilities					
Accounts payable and other current liabilities:					
Trade payables	P56,975,547	P-	P-	P-	P56,975,547
Due to SEC	114,179,641	-	-	-	114,179,641
Accrued expenses	60,091,082	-	-	-	60,091,082
Funds held in trust	-	-	-	15,728,081	15,728,081
Others	25,298,030	-	-	-	25,298,030
	P256,544,300	P-	P-	P15,728,081	P272,272,381

Credit Risk

Credit risk refers to the potential loss arising from failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit risk exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of trading participants and takes note of participants with potential default.

The credit risk of the Group's other financial assets arises from default of the counterparty with a maximum exposure equal to their carrying amounts of these instruments. The fair values of these financial instruments are disclosed in Note 6.

The tables below show the aging analysis of the Group's financial assets as at December 31, 2014 and 2013:

As at December 31, 2014							
	Neither Past Due nor Impaired	Past Due but not Impaired				Past Due and Impaired	Total
		30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days		
Loans and receivables:							
Cash and cash equivalents*	P1,045,410,069	P-	P-	P-	P-	P-	P1,045,410,069
Receivables:							
Receivables from:							
Trading participants	78,833,964	309,120	-	-	164,519	102,668	79,410,271
Listed companies	210,730	768,237	-	-	-	2,474,279	3,453,246
Data vendors	1,443,961	4,469,964	362,149	-	-	-	6,276,074
Accrued interest receivable	5,003,566	-	-	-	-	-	5,003,566
Advances to officers and employees	1,487,403	-	-	-	-	-	1,487,403
Others	339,660	-	-	-	-	27,000	366,660
Other noncurrent assets:							
Deposits in bank	333,960	-	-	-	-	-	333,960
Refundable deposits	395,548	-	-	-	-	-	395,548
Financial assets at FVPL	458,841,833	-	-	-	-	-	458,841,833
AFS investments:							
Government debt securities:							
Short-term	50,790,469	-	-	-	-	-	50,790,469
Long-term	477,333,602	-	-	-	-	-	477,333,602
Corporate bonds	144,097,997	-	-	-	-	-	144,097,997
Equity securities	400,000	-	-	-	-	2,678,000	3,078,000
	P2,264,922,762	P5,547,321	P362,149	P-	P164,519	P5,281,947	P2,276,278,698

*Excluding cash on hand amounting to P0.06 million.

As at December 31, 2013							
	Neither Past Due nor Impaired	Past Due but not Impaired				Past Due and Impaired	Total
		30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days		
Loans and receivables:							
Cash and cash equivalents*	P1,086,696,085	P-	P-	P-	P-	P-	P1,086,696,085
Receivables:							
Receivables from:							
Trading participants	79,168,894	-	-	-	110,759	102,668	79,382,321
Listed companies	85,567,816	512,896	380,720	50,000	3,967,433	2,474,279	92,953,144
Data vendors	9,937,027	17,961	1,670,977	431,250	1,514,002	-	13,571,217
Accrued interest receivable	4,229,237	-	-	-	-	-	4,229,237
Advances to officers and employees	1,343,149	-	-	-	-	-	1,343,149
Others	1,358,798	1,680	963	27,000	303,616	27,000	1,719,057
Other noncurrent assets:							
Deposits in bank	333,960	-	-	-	-	-	333,960
Refundable deposits	315,165	-	-	-	-	-	315,165
Financial assets at FVPL	374,277,271	-	-	-	-	-	374,277,271
AFS investments:							
Government debt securities -							
Long-term	522,332,154	-	-	-	-	-	522,332,154
Corporate bonds	103,296,729	-	-	-	-	-	103,296,729
Equity securities	380,000	-	-	-	-	2,698,000	3,078,000
	P2,269,236,285	P532,537	P2,052,660	P508,250	P5,895,810	P5,301,947	P2,283,527,489

*Excluding cash on hand amounting to P0.06 million.

Credit Quality of Financial Assets

The credit quality of financial assets is managed by the Group using high quality and standard quality as internal credit ratings.

High Quality. This pertains to a counterparty who is not expected by the Group to default in settling its obligations, thus credit risk exposure is minimal. This normally includes large prime financial institutions, companies and government agencies.

Standard Quality. Other financial assets not belonging to high quality financial assets are included in this category.

The credit analyses of the Group's financial assets are as follows as at December:

	2014		
	High Quality	Standard Quality	Total
Cash and cash equivalents*	₱1,045,410,069	₱—	₱1,045,410,069
Receivables			
Receivables from:			
Trading participants	78,833,964	473,639	79,307,603
Listed companies	210,730	768,237	978,967
Data vendors	1,443,961	4,832,113	6,276,074
Accrued interest receivable	5,003,566	—	5,003,566
Advances to officers and employees	1,487,403	—	1,487,403
Others	—	339,660	339,660
Other noncurrent assets:			
Deposits in bank	—	333,960	333,960
Refundable deposits	—	315,165	315,165
Financial Assets at FVPL	458,841,833	—	458,841,833
AFS Investments			
Government debt securities:			
Short-term	50,790,469	—	50,790,469
Long-term	477,333,602	—	477,333,602
Corporate bonds	144,097,997	—	144,097,997
Equity securities	—	400,000	400,000
	₱2,263,453,594	₱7,462,774	₱2,270,916,368

*Excluding cash on hand amounting to ₱0.06 million.

	2013		
	High Quality	Standard Quality	Total
Cash and cash equivalents*	₱1,086,696,085	₱—	₱1,086,696,085
Receivables			
Receivables from:			
Trading participants	79,168,895	110,759	79,279,654
Listed companies	85,567,816	4,911,049	90,478,865
Data vendors	9,937,027	3,634,190	13,571,217
Accrued interest receivable	4,229,237	—	4,229,237
Advances to officers and employees	1,343,149	—	1,343,149
Others	1,358,798	333,259	1,692,057
Other noncurrent assets			
Deposits in bank	—	333,960	333,960
Refundable deposits	—	315,165	315,165
Financial Assets at FVPL	374,277,271	—	374,277,271
AFS Investments			
Government debt securities -			
Long-term	522,332,154	—	522,332,154
Corporate bonds	103,296,729	—	103,296,729
Equity securities	—	380,000	380,000
	₱2,268,207,161	₱10,018,382	₱2,278,225,543

*Excluding cash on hand amounting to ₱0.06 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group. For US dollar-denominated placements, the Group maintains a third party custodian bank.

The Treasury Manager is responsible for the identification of investments that provide a relatively stable rate of return and submit these identified investments to the Vice President for Finance and Investments Division who endorses it to the Treasurer or President for approval. The Exchange is guided by a BOD approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. In addition, on a monthly basis, the Treasurer reports the investment portfolio performance and management's performance associated with the investment portfolio to the BOD.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVPL and AFS investments in the consolidated balance sheets. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVPL as at December 31, 2014 and 2013) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss (In Millions)
2014	+9.27%	₱43.3
	-9.27%	(43.3)
2013	+6.69%	27.3
	-6.69%	(27.3)

As at December 31, 2014 and 2013, the Group's exposure to equity price risk arising from AFS investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on AFS fixed rate debt securities).

	Effect on Equity (In Millions)	
	2014	2013
Increase (Decrease) in interest rates:		
+70 basis points	(₱30.6)	(₱5.2)
-70 basis points	32.8	5.2

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Exchange's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2014 and 2013:

	2014		2013	
	In USD	In ₱	In USD	In ₱
Financial assets:				
Cash and cash equivalents	\$346,068	₱14,465,384	\$186,608	₱7,727,437
Receivables	115,202	5,151,833	286,587	11,867,568
	\$461,270	₱19,617,217	\$473,195	₱19,595,005

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was ₱44.72 to US\$1.00 and ₱41.41 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2014 and 2013, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2014		2013	
USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)	USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)
5%	₱1.0	5%	₱1.0
(5%)	(1.0)	(5%)	(1.0)

The increase in ₱ rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of comprehensive income.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets, by category and by class, recognized as at December 31, 2014 and 2013:

2014				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets Measured at Fair Value:				
Financial assets at FVPL	₱458,841,833	₱458,841,833	₱-	₱-
AFS investments:				
Government securities				
Short-term	50,790,469	50,790,469	-	-
Long-term	477,333,602	477,333,602	-	-
Corporate bonds	144,097,997	144,097,997	-	-
Equity securities	400,000	400,000	-	-
	672,622,068	672,622,068	-	-
	₱1,131,463,901	₱1,131,463,901	₱-	₱-
2013				
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets Measured at Fair Value:				
Financial assets at FVPL	₱374,277,271	₱374,277,271	₱-	₱-
AFS investments:				
Government securities				
Long-term	522,332,154	522,332,154	-	-
Corporate bonds	103,296,729	103,296,729	-	-
Equity securities	380,000	380,000	-	-
	626,008,883	626,008,883	-	-
	₱1,000,286,154	₱1,000,286,154	₱-	₱-

During the years ended December 31, 2014 and 2013, there were no transfer between level 1 and level 2 fair value measurements. There are no financial instruments classified under levels 2 and 3.

Cash and Cash Equivalents, Receivables, Other Noncurrent Assets - Deposits in Bank and Refundable Deposits and Accounts Payable and Other Current Liabilities

The carrying amounts approximate the fair values due to the short-term maturities of these financial instruments.

7. Cash and Cash Equivalents

This account consists of:

	2014	2013
Cash on hand and in banks	₱131,029,350	₱76,473,853
Time deposits	914,445,635	994,494,151
	₱1,045,474,985	₱1,070,968,004

Cash in banks earn interest at the respective bank deposit rates. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 1.50% to 2.00%, 0.88% to 1.50% and 1.63% to 3.90% in 2014, 2013 and 2012, respectively.

Interest income earned from cash and cash equivalents amounted to ₱13.3 million, ₱18.8 million and ₱38.4 million in 2014, 2013 and 2012, respectively (see Note 19).

8. Financial Assets at FVPL

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The financial assets at fair value through profit or loss mainly pertain to held for trading equity securities. In 2013, the Parent Company placed an additional ₱100.0 million in these investments. The fair value of the investment as at December 31, 2014 and 2013 amounted to ₱458.8 million and ₱374.3 million, respectively.

The fair values of the financial assets at FVPL have been determined directly by reference to quoted prices in active markets.

Mark-to-market gain (loss) on financial assets at FVPL amounted to ₱97.1 million, (₱0.2 million) and ₱65.1 million in 2014, 2013 and 2012, respectively.

9. Available-for-Sale Investments

This account consists of:

	2014	2013
Debt securities:		
Government debt securities	₱528,124,071	₱522,332,154
Corporate bonds	144,097,997	103,296,729
Total debt securities	672,222,068	625,628,883
Equity securities	3,078,000	3,078,000
Less allowance for impairment losses	(2,678,000)	(2,698,000)
Equity securities - net	400,000	380,000
Total AFS investments	672,622,068	626,008,883
Less short-term AFS investments	50,790,469	-
Long-term AFS investments	₱621,831,599	₱626,008,883

Short-term AFS investments in 2014 pertain to government debt securities with interest rate of 5.88% which will mature in 2015. There were no short-term AFS investments in 2013.

Peso-denominated long-term government debt securities earn annual interest rates ranging from 3.25% to 6.00%, 3.25% to 6.00% and 5.25% to 11.00% in 2014, 2013 and 2012, respectively. Long-term government debt securities and corporate bonds as at December 31, 2014 and December 31, 2013 will mature starting 2016 to 2032.

Interest income earned from AFS investments amounted to ₱30.7 million, ₱24.0 million and ₱16.0 million in 2014, 2013 and 2012, respectively (see Note 19).

Equity securities pertain to golf club membership shares. In 2014 and 2013, the fair value of these shares increased by ₱0.02 million and ₱0.18 million, respectively.

The rollforward analysis of the Group's AFS investments is as follows:

	2014	2013
Balance at beginning of year	₱626,008,883	₱327,847,291
Acquisitions	56,000,000	306,257,418
Maturities	(10,000,000)	—
Amortization of premium	(1,372,759)	(1,455,009)
Recovery of impairment loss	20,000	180,000
Net change in fair value	1,965,944	(6,820,817)
	₱672,622,068	₱626,008,883

Recovery of impairment loss is accounted under "Other income (loss) - net" account in the consolidated statements of comprehensive income.

As at December 31, 2014 and 2013, movements of net unrealized gain on AFS investments are as follows:

	2014	2013
Balance at beginning of year	₱6,422,857	₱13,243,674
Net change in fair value	1,965,944	(6,820,817)
Balance at end of year	₱8,388,801	₱6,422,857

10. Receivables

This account consists of:

	2014	2013
Receivables from:		
Trading participants (Note 27)	₱79,410,271	₱79,382,321
Data vendors	6,276,074	13,571,217
Listed companies	3,453,246	92,953,144
Accrued interest receivable	5,003,566	4,229,237
Advances to officers and employees	1,487,403	1,343,149
Others	366,660	1,719,058
	95,997,220	193,198,126
Less allowance for impairment losses	(2,603,947)	(2,603,947)
	₱93,393,273	₱190,594,179

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

As at December 31, 2014 and 2013, receivables from trading participants and listed companies with total carrying value of ₱2.6 million, which were specifically identified to be impaired, were fully provided with allowance.

There were no movements in the allowance for impairment losses in 2014, 2013 and 2012.

11. Property and Equipment

The composition of and movements in property and equipment are as follows:

December 31, 2014								
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures, Communication Equipment and Others	Transportation Equipment	Total
Cost								
At beginning of year	₱155,690,154	₱225,120,034	₱160,830,026	₱458,871,593	₱287,397,580	₱84,508,391	₱14,746,499	₱1,387,164,277
Additions	—	—	1,388,536	60,568,603	29,319,400	3,113,130	—	94,389,669
Disposals/Retirement	—	—	(3,876,640)	(154,936,206)	(10,491,689)	(5,405,660)	(669,642)	(175,379,837)
At end of year	155,690,154	225,120,034	158,341,922	364,503,990	306,225,291	82,215,861	14,076,857	1,306,174,109
Accumulated Depreciation								
At beginning of year	—	170,969,061	143,690,918	311,007,118	173,980,878	70,391,691	7,277,595	877,317,261
Depreciation (Notes 20 and 21)	—	8,995,803	7,426,903	83,112,284	33,557,778	3,971,476	2,440,743	139,504,987
Disposals/Retirement	—	—	(3,862,891)	(154,936,200)	(10,480,322)	(5,401,181)	(553,199)	(175,233,793)
At end of year	—	179,964,864	147,254,930	239,183,202	197,058,334	68,961,986	9,165,139	841,588,455
Net Book Value	₱155,690,154	₱45,155,170	₱11,086,992	₱125,320,788	₱109,166,957	₱13,253,875	₱4,911,718	₱464,585,654

December 31, 2013								
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures, Communication Equipment and Others	Transportation Equipment	Total
Cost								
At beginning of year	₱155,690,154	₱224,895,034	₱157,348,572	₱447,465,365	₱223,382,493	₱82,013,314	₱16,477,857	₱1,307,272,789
Additions	—	—	4,476,261	11,406,228	84,558,025	4,708,221	1,394,714	106,543,449
Reclassification	—	225,000	(225,000)	—	—	—	—	—
Disposals/Retirement	—	—	(769,807)	—	(20,542,938)	(2,213,144)	(3,126,072)	(26,651,961)
At end of year	155,690,154	225,120,034	160,830,026	458,871,593	287,397,580	84,508,391	14,746,499	1,387,164,277
Accumulated Depreciation								
At beginning of year	—	161,973,258	136,793,364	272,925,752	165,382,922	65,519,124	6,295,849	808,890,269
Depreciation (Notes 20 and 21)	—	8,995,803	6,897,554	38,081,366	18,751,490	4,872,567	3,085,095	80,683,875
Disposals/Retirement	—	—	—	—	(10,153,534)	—	(2,103,349)	(12,256,883)
At end of year	—	170,969,061	143,690,918	311,007,118	173,980,878	70,391,691	7,277,595	877,317,261
Net Book Value	₱155,690,154	₱54,150,973	₱17,139,108	₱147,864,475	₱113,416,702	₱14,116,700	₱7,468,904	₱509,847,016

During the years ended December 31, 2014 and 2013, the Group has acquisitions of property and equipment amounting to ₱35.5 million and ₱30.9 million, respectively, which remained unpaid as at the end of 2014 and 2013 and are recorded under "Accounts payable and other current liabilities" account in the consolidated statements of financial position.

The Group retired and disposed of property and equipment with carrying value amounting to ₱0.1 million and ₱14.4 million in 2014 and 2013, respectively. Gain on disposal of property and equipment amounted to ₱0.1 million and ₱0.2 million, included under "Other income (loss) - net" accounts in the consolidated statements of comprehensive income.

The cost of fully depreciated assets still in use by the Group amounted to ₱339.0 million and ₱480.8 million as at December 31, 2014 and 2013, respectively. The Group has no idle property and equipment as at December 31, 2014 and 2013.

Land. This represents shares in the condominium corporation donated to the Parent Company. Ayala Land, Inc. (ALI) established a stock condominium corporation with the corporate name of Tower One and PSE Exchange Plaza Condominium for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The PSE's share in the parcel of land where the condominium is located and the common areas of the condominium is classified under Land. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at ₱63,117,630 and ₱92,572,524, respectively. Such shares were received by the Exchange on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation (see Note 16).

Buildings. These represent properties donated by Philippine Realty and Holdings Corporation (PRHC) and ALI and a condominium unit at the Philippine Stock Exchange Centre in Pasig City (see Note 16).

Trading System Equipment. This represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware. In 2014, there was a change in estimated useful life of certain trading system equipment due to change in the anticipated use of the asset. Such change resulted to an increase in depreciation amounting to ₱43.5 million accounted under "Cost of services" in the consolidated statements of comprehensive income (see Note 20).

12. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC) whose principal activity is trading of securities.

	2014	2013
Acquisition cost	₱137,050,657	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	139,820,083	98,972,023
Share in net income of investee	43,503,303	40,848,060
Balance at end of year	183,323,386	139,820,083
Accumulated equity in other comprehensive loss - remeasurement losses on retirement liability:		
Balance at beginning of year	(1,132,920)	—
Share during the year	(1,838,771)	(1,132,920)
Balance at end of year	(2,971,691)	(1,132,920)
	₱317,402,352	₱275,737,820

Impairment losses amounting to ₱24.5 million was reversed in 2013 and presented under "Other income (loss) - net" account in the consolidated statements of comprehensive income.

Summarized financial information of PDSHC is as follows (amounts in millions):

	2014	2013
Current assets	₱1,184.4	₱937.7
Noncurrent assets	407.2	411.6
Current liabilities	150.4	127.8
Noncurrent liabilities	62.0	50.7
Revenue	863.6	837.1
Net income	207.4	194.7
Other comprehensive loss	(8.8)	(5.4)
Total comprehensive income	198.6	189.3

On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC.

On November 20, 2014, the Parent Company disclosed that it has also agreed with San Miguel Corporation (SMC) and Golden Astra Capital on the indicative terms for the proposed purchase by the Parent Company of SMC's 250,000 shares or 4.00% in PDSHC and Golden Astra's 22,536 shares or 0.36% in PDSHC, subject to finalization of terms and conditions after completion of due diligence on PDSHC.

The total PDSHC's shareholdings that are subject of the term sheet by PDS shareholders with the Parent Company to date accounts to a total of 33.26%.

The above transactions are still on going as at February 25, 2015.

13. Other Noncurrent Assets

This account consists of:

	2014	2013
Computer software - net	₱13,915,758	₱19,582,048
Other investments (Note 16)	10,480,181	10,480,181
Deposits in bank	335,354	333,960
Others	1,374,084	977,645
	₱26,105,377	₱31,373,834

The movements in computer software account follows:

	2014	2013
Cost:		
Balance at beginning of year	₱64,807,973	₱61,184,661
Additions	—	3,623,312
Balance at end of year	64,807,973	64,807,973
Accumulated amortization:		
Balance at beginning of year	45,225,925	39,782,182
Additions (Note 20)	5,666,290	5,443,743
Balance at end of year	50,892,215	45,225,925
Net book value	₱13,915,758	₱19,582,048

Other investments pertain to the donation of Fort Bonifacio Development Corporation (FBDC) in favor of the Parent Company of 10,480,181 shares of Crescent West Development Corporation (CWDC).

Deposits in bank represent the balance of ₱0.3 million in deposits in bank posted by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

Others include deferred input VAT, refundable deposits and advance rental of CMIC to ALI.

14. Accounts Payable and Other Current Liabilities

This account consists of:

	2014	2013
Trade payables	₱80,212,137	₱56,975,547
Due to SEC	113,711,179	114,179,641
Accrued expenses:		
Professional fees	13,312,252	2,338,496
Repairs and maintenance	11,189,508	7,689,141
Telecommunication and others	9,026,643	5,575,797
Occupancy costs	6,340,470	3,829,809
Compensation and other related staff costs	4,594,630	37,845,373
Taxes	730,000	2,812,466
Funds held in trust	15,870,098	15,728,081
Due to government agencies	13,892,502	14,978,416
Others	3,863,424	25,298,030
	₱272,742,843	₱287,250,797

Trade payables, accrued expenses, due to government agencies and others are noninterest-bearing and are normally settled within the next financial year.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants.

Funds held in trust pertain to deposits in escrow with the Exchange in connection with the sale of trading rights by certain trading participants. The sale is pending approval by the BOD of the Exchange as certain conditions have not been met.

15. Deferred Fees and Others

This account consists of:

	2014	2013
Listing fees	₱19,894,684	₱141,767,701
Data feed fees	11,682,954	11,193,286
Deferred output tax	2,911,367	17,430,081
Fines and penalties	375,446	2,872,233
Others	611,665	597,000
	₱35,476,116	₱173,860,301

Listing and data feed fees are normally settled within the next financial year.

16. Donated Capital

As at December 31, 2014 and 2013, this account consists of donations from:

ALI (Note 11)	₱235,690,154
PRHC (Note 11)	139,542,000
FBDC (Note 13)	10,480,181
United States Agency International Development	1,925,250
	₱387,637,585

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) CWDC shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

Date of Donation	%/Number of Shares to be Donated
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for ₱10.5 million. Such shares received were classified as other investments under "Other noncurrent assets" account in the consolidated statements of financial position (see Note 13).

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company's headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

In May 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the participation by the Parent Company in the schematic design planning stage for an office building in the West Super Block of Bonifacio Global City, in anticipation of the Parent Company's eventual purchase of office space in the said building. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office space in the West Super Block building, then the Definitive Agreement relating to CWDC shall be terminated, and FBDC shall buyback at book value the 10,480,181 CWDC shares that were previously donated to the Parent Company.

As at February 25, 2015, negotiations among the Parent Company, FBDC and ALI are still ongoing.

17. Equity

This account consists of:

	2014	2013
Capital stock - ₱1.00 par value		
Authorized - 120.0 million shares		
Issued - 73,480,413 shares in 2014		
and 73,430,409 shares in 2013	₱73,480,413	₱73,430,409
Additional paid-in capital	1,071,644,783	1,057,118,399
Treasury stock (100,023 and 100,012 shares in 2014 and 2013)	(68,000,023)	(68,000,012)
	₱1,077,125,173	₱1,062,548,796

The following summarizes the information on the Parent Company's registration of securities under the Securities Regulation Code:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	—	6,077,505	120.50
September 10, 2008	—	15,177,499	—
September 12, 2008	61,000,000	—	—
June 9, 2011	—	30,504,363	—
November 14, 2013	22,200,000	12,221,680	—
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2013		50,603	
2014		50,000	
	120,000,000	73,480,413	

	2014	2013
Balance at beginning of year	₱73,430,409	₱61,158,130
Issuance of capital stock (Note 30)	50,000	50,603
Acquisition of treasury stocks	4	—
Issuance of stock dividends	—	12,221,676
Balance at end of year	₱73,480,413	₱73,430,409

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange to stockholders of record as at December 13, 2013.

The Parent Company has total number of shareholders of 266 and 255 as at December 31, 2014 and 2013, respectively.

Parent Company's Cash Dividends

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
March 12, 2014	₱9.00	₱659,973,465	April 3, 2014	April 28, 2014
March 26, 2013	9.00	549,528,444	April 2, 2013	April 26, 2013
March 14, 2012	7.00	427,061,012	March 29, 2012	April 18, 2012

The balance of unappropriated retained earnings includes the accumulated equity in net income of an associate amounting to ₱183.3 million, ₱139.8 million and ₱99.0 million as at December 31, 2014, 2013 and 2012, respectively. The amount is not available for dividend distribution until such time that the Parent Company receives dividends from the associate.

As at December 31, 2014 and 2013, the total appropriated retained earnings is ₱71.0 million. In August 13, 2008, the Parent Company's BOD appropriated ₱68.0 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.0 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers (see Note 29).

Ownership in the Exchange

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Exchange. On August 13, 2007, the SEC imposed on the Exchange a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Exchange exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. The Exchange is studying the alternative courses of action in order to comply with the SRC.

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group considers all the components of its total equity as capital.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2014 and 2013.

The Group adopts a practice of providing shareholders with regular dividends.

18. Revenues

This account consists:

	2014	2013	2012
Listing-related fees:			
Listing	₱590,265,861	₱495,404,343	₱356,741,822
Listing maintenance	223,918,895	223,846,477	203,398,245
Processing	2,180,000	2,860,000	1,900,000
Service fees (Note 27)	380,378,723	454,675,515	316,376,987
Trading-related fees:			
Transaction (Note 27)	189,059,407	184,201,056	101,279,075
Data feed	61,209,566	56,503,262	47,674,730
Subscription (Note 27)	25,042,925	19,441,642	19,109,264
Block sales (Note 27)	23,943,550	56,635,825	30,632,267
Regulatory fees	—	13,780,931	45,259,770
Other revenues	23,849,784	20,656,001	19,542,240
	₱1,519,848,711	₱1,528,005,052	₱1,141,914,400

19. Interest Income

This account consists of interest income from:

	2014	2013	2012
AFS investments	₱30,745,430	₱24,044,027	₱16,003,310
Time deposits	12,755,047	16,933,068	37,206,616
Cash in banks	569,953	1,857,130	1,215,024
Financial assets at FVPL	—	236,194	345,970
	₱44,070,430	₱43,070,419	₱54,770,920

20. Cost of Services

This account consists of:

	2014	2013	2012
Depreciation (Note 11)	₱114,347,931	₱56,636,854	₱53,574,537
Compensation and other related staff costs (Note 22)	78,315,815	78,141,383	73,676,926
Repairs and maintenance	38,654,794	34,090,371	33,261,358
Communication	9,862,672	7,482,808	8,431,961
Amortization of computer software (Note 13)	5,666,290	5,443,743	3,388,474
Others	2,481,483	6,148,666	4,621,154
	₱249,328,985	₱187,943,825	₱176,954,410

21. General and Administrative Expenses

This account consists of:

	2014	2013	2012
Compensation and other related staff costs (Note 22)	₱136,473,138	₱172,243,620	₱144,081,906
Professional fees	59,768,780	44,271,963	43,568,019
Occupancy costs (Note 23)	54,354,095	48,668,168	44,708,795
Depreciation (Note 11)	25,157,056	24,047,021	23,753,193
Taxes and licenses	9,013,837	8,408,921	7,713,557
Membership development	8,438,865	6,884,123	8,990,373
Public relations	7,608,088	8,320,575	12,617,117
Travel and transportation	5,429,499	3,324,467	3,472,150
Office supplies	4,122,556	3,980,373	3,973,656

(Forward)

	2014	2013	2012
Market development	₱3,911,794	₱1,670,390	₱3,865,126
Repairs and maintenance	3,879,972	2,569,318	2,132,556
Insurance	2,288,769	1,890,110	1,907,426
Communication	2,091,450	1,456,738	1,362,555
Meetings and conferences	1,671,316	1,384,322	1,096,083
Donations and contributions	1,000,000	4,541,952	1,315,000
Other expenses	17,619,280	7,334,842	19,170,239
	₱342,828,495	₱340,996,903	₱323,727,751

22. Compensation and Other Related Staff Costs

This account consists of:

	2014	2013	2012
Salaries and wages (Note 27)	₱171,439,465	₱227,694,654	₱190,749,800
Retirement cost (Note 25)	17,451,221	15,100,298	19,125,264
Other employee benefits (Note 30)	25,898,267	7,590,051	7,883,768
	₱214,788,953	₱250,385,003	₱217,758,832

Other employee benefits include the employee share purchase plan expense amounting to ₱1.6 million, ₱2.5 million and ₱2.6 million in 2014, 2013 and 2012, respectively (see Note 30).

23. Occupancy Costs

This account consists of:

	2014	2013	2012
Utilities	₱25,460,383	₱24,532,336	₱24,943,404
Condominium dues	18,283,014	14,711,117	10,523,785
Security and janitorial services	10,610,698	9,424,715	9,241,606
	₱54,354,095	₱48,668,168	₱44,708,795

24. Income Tax

The provision for income tax consists of:

	2014	2013	2012
RCIT	₱232,241,841	₱269,024,444	₱165,029,021
Final	11,460,669	12,727,970	12,739,705
Deferred	10,652,932	(9,586,288)	920,574
	₱254,355,442	₱272,166,126	₱178,689,300

The components of the net deferred tax assets are as follows:

	2014	2013
Deferred tax assets:		
Unamortized past service costs	₱8,277,174	₱6,013,004
Retirement liability	5,970,232	9,974,821
Accrued expenses	1,494,008	10,284,966
Allowance for impairment losses on receivables	781,184	781,184
Unamortized discount on refundable deposits	12,960	18,062
	16,535,558	27,072,037
Deferred tax liabilities:		
Net unrealized gains on available-for-sale investments	528,808	—
Unrealized foreign exchange losses	56007	173,051
Deferred lease asset	12,248	17,479
	597,063	190,530
	₱15,938,495	₱26,881,507

As at December 31, 2014 and 2013, the Parent Company did not recognize deferred tax assets on allowance for impairment losses on AFS investments amounting to ₱0.8 million since management believes that this deductible temporary differences may not be realized in the future.

Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2014, 2013 and 2012 in computing its taxable income.

The reconciliation between the statutory tax rates and the Group's effective tax rates on income before income tax is as follows:

	2014	2013	2012
Provision for income tax at statutory income tax rate	30.00%	30.00%	30.00%
Adjustments for:			
Income subjected to final tax	(3.63%)	(0.20%)	(0.65%)
Equity in net income of an associate	(1.16%)	(1.10%)	(1.45%)
Nondeductible expenses	(2.54%)	(4.33%)	(3.73%)
Others	-	-	(1.95%)
Effective income tax rate	22.67%	24.37%	22.22%

25. Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan, while SCCP has an unfunded noncontributory defined benefit retirement plan covering all their regular employees. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2014 and 2013 are shown below:

	Parent Company		SCCP	
	2014	2013	2014	2013
Discount rate	4.46%	5.32%	4.46%	5.32%
Future salary increases	10.00%	10.00%	10.00%	10.00%

The latest actuarial valuation studies of the retirement plan of the Parent Company and SCCP were made on December 31, 2014.

The retirement expense included under "Compensation and other related staff costs" in the consolidated statements of comprehensive income are as follows:

	2014	2013	2012
Current service cost	₱16,290,037	₱14,131,093	₱16,773,957
Net interest cost	1,161,184	969,205	2,351,307
	₱17,451,221	₱15,100,298	₱19,125,264

The component of remeasurements in the statements of comprehensive income is as follows:

	2014	2013	2012
Remeasurement gains (losses) on retirement liability	₱10,343,837	(₱7,164,813)	₱29,562,398
Tax effect	(2,614,725)	2,834,716	(8,960,699)
	₱7,729,112	(₱4,330,097)	₱20,601,699

The retirement liability included in the consolidated statements of financial position as at December 31, 2014 and 2013 are as follows:

	2014	2013
Present value of the obligation	₱138,453,768	₱126,442,265
Fair value of plan assets	(122,859,310)	(93,192,868)
	₱15,594,458	₱33,249,397

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2014	2013
Balance at beginning of year	₱126,442,265	₱100,636,149
Current service cost	16,290,037	14,131,093
Interest cost on benefit obligation	6,726,729	6,171,558
Actuarial (gains) losses arising from:		
Changes in financial assumptions	8,993,449	7,355,819
Experience adjustments	(7,954,580)	2,015,074
Changes in demographic assumptions	(2,378,258)	—
Actual benefits paid:		
Book reserves	(5,613,165)	—
Plan assets	(4,052,709)	(3,867,428)
Balance at end of year	₱138,453,768	₱126,442,265

The movements in the fair value of plan assets recognized by the Parent Company are as follows:

	2014	2013
Balance at beginning of year	₱93,192,868	₱84,451,652
Interest income	5,565,545	5,202,353
Actual benefits paid	(4,052,709)	(3,867,428)
Remeasurement gain	1,255,622	2,206,080
Contributions	26,897,984	5,200,211
Balance at end of year	₱122,859,310	₱93,192,868

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan. The following table presents the carrying amounts and estimated fair values of the assets of the retirement plan as at December 31, 2014:

	2014		2013	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalents	₱35,974,065	₱35,974,065	₱13,555,237	₱13,555,237
Investment in equity securities	18,199,706	18,199,706	15,787,335	15,787,335
Investment in government securities, bonds and other debt instruments	68,008,579	68,008,579	63,234,860	63,234,860
Others	676,960	676,960	615,436	615,436
	₱122,859,310	₱122,859,310	₱93,192,868	₱93,192,868

The retirement plans' assets and investments consist of the following:

- Cash and cash equivalents includes regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds that bear interest ranging from 3.03% to 6.25% and have maturities from March 2016 to October 2037; and fixed-income treasury notes that bear interest ranging from 3.13% to 5.85% with maturities from September 2016 to August 2037.
- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 4.16% to 6.15% and have maturities from November 2019 to April 2025.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

The Parent Company expects to contribute ₱19.4 million to its defined benefit retirement plan in 2015.

The overall expected rate of return on assets is determined based on the market prices prevailing on that date, applicable to the period over which the obligation is settled. The sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting period after first adjusting one of the current assumption that were reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefit Obligation	
		2014	2013
Discount rate	100	(P10,374,501)	(P9,020,264)
	(100)	11,667,458	10,147,489
Future salary increases	100	9,723,183	8,525,849
	(100)	(8,915,560)	(7,806,536)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as they fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as at December 31, 2014 and 2013 consists of equity and debt securities, although the Parent Company also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows:

	2014	2013
Within one year	P-	P933,000
More than one year to five years	8,361,628	7,568,140
More than five years to ten years	25,009,177	33,561,087
	P33,370,805	P42,062,227

The weighted average duration of the defined benefit obligation at the end of the reporting period is 25.6 years and 26.5 years for the Parent Company and SCCP, respectively.

26. Basic/Diluted Earnings Per Share

Basic earnings per share are calculated by dividing the net income for the year by the weighted average number of common shares outstanding as at reporting date.

The basic and diluted earnings per share are the same as the dilutive effect of potential common shares from share-based payments have no impact.

	2014	2013	2012
Net income (a)	P867,554,771	P844,769,758	P625,342,865
Weighted average number of outstanding common shares (b)	73,434,499	73,286,119	73,230,397
Basic/diluted earnings per share (a/b)	P11.81	P11.53	P8.54

The weighted average number of issued and outstanding common shares for 2012 was restated for the effect of 20% stock dividends declared in 2013.

27. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control or common significant influence. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group. The Group, in its normal course of business, has transactions with related parties.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants :					
Revenues					
Trading-related fees:					
Transaction	2014	P189,059,407	P40,329,031	30 days term, non-	Unsecured; with
	2013	184,201,056	31,618,955	interest bearing	impairment
	2012	101,279,075	62,737,616		
Block sales	2014	23,943,550	2,435,894	Collectible monthly,	Unsecured; no
	2013	56,635,825	8,602,520	non-interest bearing	impairment
	2012	30,632,267	-		
Subscription	2014	25,042,925	576,307	Collectible monthly,	Unsecured; no
	2013	19,441,642	428,467	non-interest bearing	impairment
	2012	19,109,264	-		
Service fees	2014	380,378,723	36,007,980	Collectible monthly,	Unsecured; no
	2013	454,675,515	38,732,380	non-interest bearing	impairment
	2012	316,376,987	31,454,097		
Other revenues	2014	10,555,053	61,059	Collectible monthly,	Unsecured; no
	2013	7,460,976	-	non-interest bearing	impairment
	2012	657,021	-		

The receivable from trading participants included in the consolidated statements of financial position are net of allowance for impairment losses of P102,668 in 2014 and 2013.

Other revenues include recoveries from printing of data transaction report, penalty on trading floor, cancellation of matched orders, and other fees.

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" in the profit or loss as follows:

	2014	2013	2012
Short-term employee benefits	P58,134,860	P80,345,054	P58,894,859
Share-based payments (Note 30)	1,156,909	707,662	2,679,528
Post-employment pension and medical benefits (Note 25)	20,867,843	5,223,129	1,276,703
	P80,159,612	P86,275,845	P62,851,090

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

28. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

29. Contingencies

Parent Company

As at December 31, 2014, the Parent Company is involved in legal proceedings, the outcome of which is not presently determinable.

In 2007, the Parent Company's BOD appropriated a portion of its retained earnings amounting to ₱3.0 million to cover potential liability for certain cases filed against the Parent Company, its directors and/or officers. As at February 25, 2015, the said cases are still pending before the courts and quasi-judicial agencies. The amount of the appropriation which is based on available relevant information as at December 31, 2014, will be reassessed periodically to reflect material developments made known to the Parent Company.

SCCP

The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2014 and 2013. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2014	2013
Value of shares not yet delivered (net selling)	₱13,387,542,289	₱7,954,023,245
Amount of purchases unpaid (due clearing)	4,125,142,098	3,260,788,288
	₱17,512,684,387	₱11,214,811,533

All transactions outstanding as at December 31, 2014 and 2013 were subsequently settled in January 2015 and 2014, respectively. Accordingly, no failed trades occurred from these transactions.

30. Employee Stock Purchase Plan

On April 11, 2012, the BOD of the Exchange approved the ESPP for its employees and SCCP's employees, with the following terms and condition:

- Number of shares allotted for the offering is 150,000 shares for 3 years or about 0.25% of the outstanding capital stock of the Exchange. Each offering consists of 50,000 shares;
- All regular employees in good standing of the Exchange and SCCP with at least 1 year of continuous service as at the offer date is eligible;
- Offer date is annual for a period of 3 years exercisable from July to December of each offer year;
- If the exercise period shall lapse without the allocation having been exercised in full, the ESPP shares corresponding to the unexercised allocation will be forfeited and reverted back to the pool of unexercised allocation to be made available to interested participants;
- Offer price is fixed based on Volume Weighted Average Price of PSE shares of the month preceding the offer date;
- Discount of 10% from the offer price; and
- Cash payment is required during the exercise period.

The rollforward analysis of number of shares on ESPP is as follows:

	2014	2013	2012
Outstanding at beginning of year	—	603	—
Granted during the year	50,000	50,000	50,000
Exercised during the year	(50,000)	(50,603)	(49,397)
Outstanding at end of year	—	—	603

In 2014, a total of 50,000 shares of the Exchange were offered for availment. Subscription period was in November 2014 with an exercise price of ₱259.87 per share, which is based on the volume weighted average price of the shares during the preceding month, with a 10% discount, while the average fair value at grant date was ₱291.53, which is based on quoted market price.

In 2013, a total of 50,000 shares of the Exchange were offered for availment. Subscription period was in November 2013 with an exercise price of ₱323.04 per share, which is based on the volume weighted average price of the shares during the preceding month, with a 10% discount, while the average fair value at grant date was ₱376.83, which is based on quoted market price.

In 2012, a total of 50,000 shares of the Exchange were available for availment. Subscription period was from November to December 2012 with an exercise price of ₱333.51 per share while the average fair value at grant date was ₱386.78, which is based on quoted market price.

Out of the 49,397 shares of the Exchange that were availed of and fully paid by the participants under the ESPP, 43,888 shares and 5,509 shares were availed by the Group's qualified employees, respectively.

Total additional paid-in capital arising from share-based payments amounted to ₱14.5 million, ₱19.0 million and ₱19.3 million in 2014, 2013 and 2012, respectively. Total expense arising from share-based payments amounted to ₱1.6 million, ₱2.5 million and ₱2.6 million in 2014, 2013 and 2012, respectively.

31. Clearing and Trade Guaranty Fund

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

Starting in 2010, the CTGF is presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statements of financial position. The revised presentation is to better reflect the trading participants' contribution as trust monies and does not result in a change in net assets of the Group.

The CTGF consists of:

	2014	2013
Principal contributions from:		
Trading participants:		
Balance at beginning of year	₱434,403,514	₱333,336,010
Contributions	37,088,801	101,067,504
Balance at end of year	471,492,315	434,403,514
The Exchange	80,000,000	80,000,000
	551,492,315	514,403,514
Accumulated income:		
Balance at beginning of year	250,142,324	228,685,193
Interest income - net of management fee of ₱0.84 million and ₱0.78 million in 2014 and 2013, respectively	23,147,109	21,457,131
Balance at end of year	273,289,433	250,142,324
Net unrealized gains on AFS investments	13,746,492	21,757,248
	287,035,925	271,899,572
	₱838,528,240	₱786,303,086

Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, the Group continuously builds up the CTGF through the monthly contributions collected from the clearing participants and collection of initial contributions from new and returning trading participants.

On January 28, 2003, the SCCP's BOD approved the amendment of its rules on CTGF providing for the non-recourse of all CTGF contributions to members. In July 2007, the SCCP's BOD approved the full refund of contributions to the CTGF upon cessation of business of the clearing member and upon termination of its membership with the SCCP. This is subject to approval by the SEC.

Assets of CTGF

The assets of the CTGF consist of:

	2014	2013
Cash in banks	₱10,020,870	₱10,455,964
Time deposits	27,530,000	78,031,599
Accounts receivable	4,492,129	2,943,648
Accrued interest receivable	8,666,783	7,584,480
AFS investments - debt securities:		
Principal amount	739,720,600	624,000,600
Net unamortized premium	35,190,734	42,316,637
Net unrealized gains on AFS investments	13,746,492	21,757,248
	839,367,608	787,090,176
Less accrued management fees	(839,368)	(787,090)
	₱838,528,240	₱786,303,086

The CTGF invested on the following:

- a. Securities issued or guaranteed by the Republic of the Philippines; and
- b. Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

As at December 31, 2014 and 2013, AFS investments with principal amounts of nil and ₱34 million, respectively, will mature within one year from reporting date. Net unrealized gains (losses) from CTGF investments held as AFS follows:

	2014	2013
Balance at beginning of year	₱21,757,248	₱23,557,969
Change in fair value	(8,010,756)	(1,800,721)
Balance at end of year	₱13,746,492	₱21,757,248

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to ₱0.8 million in 2014 and 2013, is included under "Other revenues" account in the Group's profit or loss.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- a. Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- b. Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- c. The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- d. For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- e. For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- f. Payment of premium on any insurance policy taken for the CTGF.

32. Reclassification of Accounts

The comparative information has been reclassified from the consolidated financial statements previously presented to conform to the presentation of the statement of comprehensive income in 2014.

33. Events after the Reporting Date

On February 25, 2015, the BOD approved the declaration of cash dividend equivalent to a total of ₱9.0 per share broken down as follows: ₱5.50 per share regular cash dividend and ₱3.50 per share special cash dividend to stockholders of record as of March 25, 2015 payable on April 16, 2015.

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YOUR FEEDBACK MATTERS

Please send the
accomplished form to:

The Philippine Stock
Exchange, Inc.
2/F PSE Plaza, Ayala
Triangle Ayala Avenue,
1226 Makati City
Philippines

You may also email your
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- ☐ PSE Employee
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- ☐ Media representative
- ☐ If others, please specify:

CONTENT:
The figures and narrative are easy to read and understand

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

COVERAGE:
The report effectively communicates the 2014 performance of the PSE.

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

DESIGN & LAYOUT:
The images, photos, design and layout are visually attractive, relevant, and consistent with the theme of the Annual Report.

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

OVERALL RATING:
On a scale of 1 to 5, with 5 having the highest rating, assess the overall design, relevance, and readability of the 2014 PSE Annual Report.

- | | | | | |
|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| 1 | 2 | 3 | 4 | 5 |
| ☐ | ☐ | ☐ | ☐ | ☐ |

PARTS OF THE REPORT:
Rate each of the following parts of the 2013 PSE Annual Report on a scale of 1 to 5 with 5 having the highest rating in terms of presentation and effectiveness/clarity.

- ___ Messages of the Chairman & the President
- ___ Corporate Governance
- ___ Stock Market Performance
- ___ Operational Highlights
- ___ Table of Listed Companies & Issues
- ___ Gallery of Directors & Officers
- ___ Financial Statements & Documents
- ___ Active Trading Participants Directory

CORPORATE INFORMATION



ANNUAL MEETING

The annual meeting of shareholders will be held on Saturday, May 2, 2015, 8:00 a.m. at Pavilions A & B, Wack-Wack Golf & Country Club, Wack-Wack Road, Mandaluyong City, Metro Manila. Registration will start at 7:30 a.m.

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